

The background of the cover is a low-angle photograph of a modern building with a glass and reddish-brown facade. A large orange rectangle is positioned on the left side, containing the title text. A smaller yellow rectangle is placed above the orange one.

bankinter.

**Integrated  
Annual  
Report  
2023**

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#### 2023 milestones

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We know it is difficult to choose.  
That's why we want to make our  
commitments to you in writing.

#

Bankinter's  
commitments

#01

We are committed to **creating long-term value** for our shareholders, investors, customers and other stakeholders, considering their needs and expectations.

#02

We are committed to providing **tailored, efficient and professional service**.

#03

We are committed to **acting with integrity**, managing our activity through an ethical and transparent business model based on the principles of responsibility and good governance.

#04

We are committed to offering **quality products** tailored to the expectations and needs of our customers.

#05

We are committed to **listening to our customers' opinions** about our services and to dealing with their requests effectively.

#06

We are committed to **innovation** so we can stay one step ahead.

#07

We are committed to **training our people** and fostering their professional development.

#08

We are committed to facilitating **balance of family and work life for our people**, fostering a culture of health and well-being.

#09

We are committed to **developing a sustainable business model** that contributes to a prosperous and responsible economy for people and the planet.

#10

We are committed to promoting **financial inclusion** by facilitating access to financial services and education.



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Record net profit

€844.8 mn  
(+50.8%)



Historically  
high revenue, business  
volume,  
lending and customer  
acquisition

Commercial Retail Banking launched  
its Dual mortgage, combining the  
advantages of fixed and variable  
interest rates

Assets under management by Wealth  
Management and Retail Banking  
exceeded 100,000 million euros for the  
first time

Our new  
Sustainability  
Plan for 2024-26  
was approved and  
Portugal completed  
implementation  
of the bank's  
sustainability  
strategy

Bankinter is again the  
most robust Spanish bank  
in the EBA and ECB stress  
tests

Dividend  
distribution up

51%

In Corporate Banking,  
gross operating income,  
customer funds and fees  
performed very positively



Return on equity (RoE)

17.1%,  
the highest  
for a decade

EVO Bank delivered a  
balanced  
income statement  
for the first time

Highest quality capital (*fully loaded*)

12.3%, almost five points higher  
than the ECB requires from Bankinter



Corporate Banking  
made the biggest  
contribution  
to the bank's figures



In 2023, SICAV assets  
under management at  
Bankinter Luxembourg -  
an activity that  
is now ten years old - grew by

25%

After thirty years  
of activity, Partner  
Banking activity  
achieved

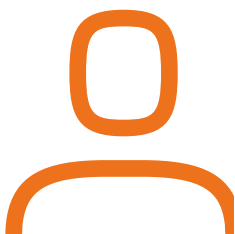
€2.0 bn  
of lending



Bankinter  
Investment SGEIC,  
S.A.U.  
launched the  
first Alternative  
Management Fund



Bankinter signed a  
consumer credit alliance  
with the Portuguese giant  
Sonae



Bankinter was  
included in the  
Dow Jones global  
sustainability index  
(DJSI) for the sixth  
consecutive year

The Portuguese  
subsidiary  
contributed  
10% to the bank's  
gross operating  
income

Implementation of  
the ChatGPT artificial intelligence  
application began for internal use



The Foundation  
celebrated its  
twentieth birthday  
with a renewed  
commitment to  
innovation

2023 milestones



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One of  
the **most  
reputable  
companies**



One of the most valuable Spanish brands  
BrandZ #30  
Interbrand #22

One of  
the most  
sustainable  
banks in the  
world

Member of  
**Dow Jones  
Sustainability Indices**  
Powered by the S&P Global CSA



One of the  
**best  
companies  
to work for**



Quality  
products  
and services



MEJOR EQUIPO DE BANQUEROS  
Y/O AGENTES  
**BANKINTER**



# 2023 awards

Integrated  
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# Interviews

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# Interview with the chairman

## 'I leave the Chairman's Office with immense gratitude to our shareholders, staff and customers'

**You are stepping down as Bankinter chairman after the Annual General Meeting at your own request. What are you feeling as that moment draws near?**

Immense gratitude. Gratitude to our shareholders for their trust. Gratitude to everyone in the bank's team for their commitment. And gratitude to our customers for being so loyal, and so demanding. Bankinter will be sixty in 2025, and I have had the honour of chairing it for seventeen of those years. We have come a long way in that time in terms of our size, our market share, our territorial presence, our quality of service, our capital adequacy and our commitment to society. But none of this would have been possible without the support of our shareholders and the work of our team, or without the push from our customers to become better and better. They have made Bankinter deserve the national and international recognition it now enjoys. It has been an extraordinary experience for me.

**What would you highlight from your 17 years at the helm of Bankinter?**

I think the most important thing has been the development of our business model: today, we are much more diversified, profitable and resilient. Some of the highlights of recent years include the assets managed by private banking having multiplied by more than four, making us one of the leaders in the Spanish market. Something similar has happened with consumer lending - in which we had only a token presence in 2007 - and international business. We have launched our investment banking and alternative management businesses with extraordinary success, becoming market leaders. And we are now an international brand active in Portugal, Ireland and Luxembourg, in addition to Spain. This all gives us much greater potential and reach.

I am particularly pleased about the leap forward Bankinter has made in sustainability. We are one of the most sustainable entities in the financial sector worldwide. We enjoy well-deserved recognition in this area, which is demonstrated by Bankinter being included in the Dow Jones Sustainability World Index - the flagship international sustainability index - for seven consecutive years. The work of the Bankinter Innovation Foundation has also been outstanding. It has repeatedly been recognised as one of the leading science and technology think tanks in the world.

**Pedro  
Guerrero**





Building on all this, and our increasingly powerful and diversified business lines, we have more than doubled our assets, lending and market share in Spain since 2006: we made a pre-tax profit of 316 million euros in 2006, whereas in 2023 we exceeded 1,300 million euros\*, excluding Línea Directa. Our capital adequacy has also improved significantly. Our CET1 ratio has almost doubled since 2006, and our cost-to-income ratio has improved by almost 15 percentage points. When I take stock of these 17 years, these numbers show a trend and underpin our confidence in the future.

This has only been possible because we have the best team in the Spanish financial system, managed by a brilliant executive line led by our current chief executive officer and future chairman, María Dolores Dancausa. Their work has been extraordinary.

### Turning to last year, the subject of this annual report. How would you describe economic conditions in 2023?

The outlook was bad at the start of the year. But the much-feared recession never materialised, not even in the eurozone. The world economy grew more strongly than expected - by three percent. This was led by a very good performance by North America, which grew by 2.5%, and relatively weak growth by emerging economies of 4%; with scant, but positive, growth in the eurozone, at 0.7%. This was marked by employment - which is undoubtedly influenced by demographics - being particularly strong, and inflation - while still high - coming down, particularly core inflation.

Against this backdrop, Spain performed reasonably well, with an increase in GDP and a better improvement in employment figures than our European neighbours, although both of these indicators lost steam after the summer. Domestic consumption and tourism were decisive for this growth, compensating for the slowdown in exports due to the lack of dynamism in the large European economies, which are our main trading partners.

### What do you think the prospects are for 2024?

The ongoing war in Ukraine and the escalating conflict in the Middle East between Israelis and Palestinians remain very important sources of geopolitical and financial uncertainty, with significant potential to destabilise economic decision-making in general and the energy market in particular. This will only worsen if new actors appear on the scene, destabilising very delicate situations. Despite this risk, the signs of relaxation of monetary policy by the European Central Bank and the Federal Reserve at the end of 2023 point to a better climate for lending, which is essential for levels of activity to increase.

The main international organisations and analysts forecast a positive performance for the world economy, but with slightly lower growth than in 2023.

\* Without considering the banking windfall tax (77 million euros), to make the figure for PBT comparable with previous years.

**Bankinter had an excellent year in 2023, with significant improvements in all income statement margins.**

**Bankinter continued to be the most resilient Spanish entity to an adverse scenario in the ECB stress tests.**



Lower growth and falling inflation is expected for Spain. However, the intensity with which fiscal consolidation proceeds - in line with recommendations from Brussels - and financial resources are released for the private sector will be key. With the same objective, the necessary mechanisms must be established for the flow of Next Generation European funds, which raised so many expectations when they were announced.

### What do you think about the banking sector?

There were some international episodes that generated concerns in the markets. There was the collapse of Credit Suisse, preceded by a series of scandals that seriously damaged its reputation, and the bankruptcy of Silicon Valley Bank, the second largest in US history.

Both of these episodes were resolved immediately and time has shown they were isolated cases.

In Spain, the return of interest rates to normal levels, after being at zero or negative for many years, has resulted in an improvement in net interest income, leading to a very positive development in profitability for the sector.

There was no significant deterioration in credit quality, largely due to the strong performance of employment.

This does not mean we can stop being vigilant, as restrictive monetary policy will necessarily translate, at some point, into lower demand for credit and economic activity, negatively impacting non-performing loans. The pace at which the European Central Bank decides to relax its monetary policy and lower interest rates in 2024 - as the market expects - will be key, as inflation subsides and economic activity slows.

### What do you think about the extension of the windfall banking tax?

We spoke out against the windfall banking tax when it was introduced and appealed against it to the Courts of Justice. However we did, of course, comply with it and have paid it. We believe that a sector tax is, in itself, discriminatory and goes against the principle of the general nature of taxation enshrined in our Constitution, which is a foundation of our modern Treasury. The arguments used to justify it are mistaken. After many years when profitability was greatly reduced by abnormal levels of interest rates (zero or negative), the profits of Spain's banking sector have recovered to slightly more than the cost of capital, which is essential for lending - and with it economic activity - to be able to grow sustainably. When in an off-hand way they say that last year's banking profits were scandalously high - or even obscene, as was said - they forget that they correspond to own funds contributed by shareholders of more than 220,000 million euros. What is a reasonable profit on lending of 220,000 million, which requires capital by law, when the cost of capital is over ten percent?

And in the Single Market, the tax discriminates against Spanish banks compared to their European competitors.

If we opposed the tax when it was created, we are even more opposed to extending it.

**If we opposed the windfall tax when it was created, we are even more opposed to extending it.**



## What do you think of Bankinter's performance in 2023?

There were two major milestones for profit in 2022. The historical record of 2019 - before the outbreak of the pandemic - was beaten, despite no longer having the income from Línea Directa. And the objective set for 2023 was reached a year early. So the bar was set very high. Even so, we had another excellent year, with significant improvements in all account margins and ratios.

Although I do not want to stray into what our chief executive officer is going to say in the following pages, I would like to offer a few examples that clearly demonstrate the health and robustness of our bank. Our return on equity (RoE) rose by no less than six percentage points, to 17.1%. Our highest quality capital (fully loaded) stood at 12.3%, almost five points higher than the regulatory minimum requirement the ECB has set for Bankinter. And our non-performing loans remained at an optimal 2.1%, compared to a sector average of 3.5%.

In 2023, the health and strength of Bankinter enabled it to once again be the most resistant Spanish bank to an adverse scenario in the stress tests of leading European financial institutions by the European Banking Authority and the European Central Bank, under the worst three-year economic scenario ever proposed. And we were one of the 5 best among the 70 European banks in the exercise.

Thanks to this strong performance in all areas, we can once again fulfil our commitment to distribute a dividend equivalent to 50% of our profit. Therefore, the board of directors plans to submit a proposed final dividend of 96,823,850 euros for the consideration of the Annual General Meeting. This means our shareholders will receive 422,393,685 euros against our 2023 results, 51% more than in 2022.

## Did Bankinter continue its commitment to innovation in 2023?

The sections of this report detail our main innovation initiatives introduced last year. I will mention some of them as an example.

We have improved our loan offering with the creation of our Dual mortgage, which combines the advantages of fixed- and variable-rate mortgages. This is not a typical mixed mortgage. Both interest rates coexist throughout the term of the loan, each affecting the part of the principal decided by the customer. This is a step forward in the tailoring of such products.

Our new fund manager, Bankinter Investment SGEIC, S.A.U., launched the first alternative management fund, enabling small investors to access a wide universe of investments in the real economy in a diversified way that was previously restricted to high-net-worth and institutional customers, given the large amounts involved.

With regard to equity investing, we launched our "Broker 0" service, which enables customers to trade in the Spanish market at zero cost, with the only requirement being that they make the securities deposited in their accounts available to the bank for its securities lending service.

**I want to expressly recognise the work of our team so that Bankinter can become better and better.**





Finally, at a time when the financial industry is exploring the use of generative artificial intelligence, we have already begun the implementation of ChatGPT for internal use, subject to the strictest security standards. This will make us more efficient when comparing documents, analysing complex texts, writing some communications, and translating and summarising large volumes of information. Of course, this will always be supervised by our employees.

### Innovation is why the Foundation exists...

Absolutely. Innovation and entrepreneurship, through the four programmes that are its core pillars. The Future Trends Forum, a think tank comprising more than 700 national and international experts in a range of fields, mainly related to science and technology, which is one of the most recognised of its kind in the world. Akademia, which has already enabled over 2,000 students from 12 universities to access the knowledge of the experts in the think tank. Startups, a project through which the bank has so far invested in the initial phases of development of fifty such companies. And Scale Up, a programme to promote the consolidation and growth of successful startups.

We also have a fifth programme - Cre100do - which is designed to foster the Spanish middle market. It was launched ten years ago and has merited becoming an independent foundation due to its success and impact on Spain's business community.

The ultimate objective of this is to transform society, not just by creating knowledge but by sharing it and applying it in decisions that have real impact. The Foundation has been promoting this for twenty years, an anniversary that was celebrated in 2023 with a major event at Madrid's Callao cinemas, which addressed key issues such as artificial intelligence and the energy transition.

### That was not the only anniversary in 2023...

2023 also marked thirty years since the launch of a unique business model - Bankinter Partner, which features 270 large companies, including almost all of the Ibex index. These companies have signed agreements with Bankinter, which offers their employees tailored financial services and products under special conditions through specific virtual offices, sharing the profits the activity generates with them.

With 47,910 customers, a loan book of 3,400 million euros and management of more than 14,000 million euros of savings and investment, this business model has established itself as an original and pioneering banking formula for Spain and is obtaining an increasingly significant weight in Bankinter's accounts.

**We have begun the implementation of artificial intelligence for internal use, subject to the strictest security standards.**



### Let's talk about sustainability, which the bank has been committed to for years.

Indeed, Bankinter has been developing a sustainability strategy based on solid corporate governance foundations and committed to social and environmental management. We are establishing a responsible culture that integrates ESG (Environmental, Social and Governance) criteria into the Group's value chain. We do this to promote the economic growth and social development of the countries where we operate and to protect the environment. Managing sustainability provides a magnificent opportunity for innovation and for the sustainable transformation of the economy, comparable to the digital transformation in which we have also been pioneers.

Within the Strategic Sustainability Plans we have implemented over recent years - such as the one we completed in 2023 - I would highlight the management of environmental and social risks, both those deriving from operational activity and those associated with financial activity. For example, we achieved neutrality in our carbon footprint in 2020, and we have calculated the CO<sub>2</sub> intensity of our financial activity, for which we have defined a path of progressive decarbonisation to achieve net zero emissions before 2050.

We have identified and are capturing the new business opportunities that are emerging in the necessary transition to a sustainable economy. We are working with our corporate customers on the transformation and adaptation of their business models for the needs of this new economic system.

I should also mention our management of the quality of the service we provide to our customers, and our management of the people who are part of our Group, which promotes diversity, work-life balance, health and talent.

Bankinter's commitment to sustainable and inclusive development, and excellent performance in managing environmental, social and governance aspects, have been recognized by the leading ESG rating agencies and analysts, which have ranked the bank in the main sustainability indices, such as the IBEX ESG, the selective FTSE4Good and the Dow Jones Sustainability family, which recognises Bankinter as one of the twenty-seven most sustainable banks in the world. These are excellent non-financial credentials that go hand-in-hand with the Group's exceptional financial results in the last financial year.

**In addition to failing in our commitment to society, not moving towards sustainability would be a strategic error.**



# Interview with the chief executive officer

## 'Very satisfactory results with Bankinter again achieving record profits'

### How were Bankinter's results in 2023?

They were very satisfactory, with Bankinter again achieving record profits. These profits were generated from our ordinary activity with our customers, not from financial operations or other types of extraordinary income.

The bank's net profit increased to 845 million euros in 2023, 51% higher than in 2022, despite the negative impact of the new financial sector tax, which represented an expense of 77 million euros for Bankinter.

These are our best-ever figures in terms of income, business volumes and customer acquisition, which show a pattern of gradual growth with no fluctuations. And most importantly, this is happening in a balanced way across all our business lines and in all the countries where we operate, from corporate banking to consumer lending, and from Bankinter Portugal to Avant Money in Ireland.

These figures also represent record lending, record retail funds, record net interest income and record fees, and, therefore, record gross operating income. This is all paving the way for our results to continue to be excellent in the future.

### How do you explain these outstanding growth rates?

They are due to a combination of multiple factors. Favourable movements in interest rates obviously contributed to the improvement in our results. But it would be unfair to ignore the influence of the commercial drive by the network on this, which has enabled us to increase our loan book, and our defence of our net interest margin, our strategic focus on key segments and the effects of past investments. These initiatives have been successful and are bearing fruit. They include the expansion of our activity to Eurozone countries outside Spain, and projects and new businesses that have been successful or that have generated greater efficiency in our operations.

**María  
Dolores  
Dancausa**





## What other indicators for 2023 would you highlight?

The growth of all balance sheet items and effective management of spreads have enabled us to improve all our account ratios, which provide a true picture of our activity.

Profitability was one of the outstanding indicators in the year, with Bankinter leading listed banks in Spain. Our return on equity - RoE - improved to 17.1%, the highest level in the last decade, while our ROTE was 18.1%.

Bankinter Group's efficiency - its operating cost-to-income ratio - has continued to improve. We ended 2023 with a cost-to-income ratio of 37.3%, down 670 basis points compared to 2022.

Turning to capital adequacy, our CET1 (fully loaded) capital ratio was 12.3% - with a significant margin over the minimum 7.8% set for us by the ECB - and the lowest in the sector. This indicator is representative of the sustainability of our results. It is particularly commendable when we consider the inflationary backdrop of the Spanish economy in 2023. With regard to liquidity, our customer funding gap remained negative, meaning we have more customer deposits than loans, with a ratio of 106%.

And our non-performing loans remained similar to the previous year and consistent with all our asset quality indicators. This ratio stood at 2.1%, just 1 basis point higher than last year, close to the levels before the 2008 crisis.

## Focusing on non-performing loans, how has the framework agreement with the government to help with mortgage payments for taxpayers who are vulnerable or at risk of becoming vulnerable worked?

The reform of the framework of codes of good practices - which includes facilities for bank customers with difficulties paying their mortgages - is working well. However, we have not received many requests. This is good news for two reasons. First, it means that the payment capacity of vulnerable customers has not suffered significantly at the moment due to robust levels of employment and accumulated household savings. Second, it means the banks are doing things well, and that we have our own mechanisms for mitigating the burdens on mortgage holders who have payment problems. No one is more interested in helping their customers in these circumstances than the banks.

Bankinter will always look for tailored solutions to help our customers overcome temporary difficulties. We demonstrated this during the 2008 crisis and again throughout the coronavirus pandemic, with measures to help companies and families. And we are doing it now, of course, when higher interest rates have increased mortgage payments.

**The bank's net profit increased to 845 million euros in 2023, 51% higher than in 2022, despite the negative impact of the new financial sector tax.**

**The 2023 figures are our best-ever figures in terms of income, business volumes and customer acquisition.**

**Our return on equity - RoE - was 17.1%, the highest level in the last decade, while our ROTE was 18.1%.**



### Bankinter's lending increased in 2023 while the trend in the sector as a whole is the opposite, due to weak demand. Why is Bankinter going against the current?

Demand for credit contracted in Spain during the year, mainly due to the tightening of monetary policy by the European Central Bank (ECB) to fight high inflation. But Bankinter has been able to manage this dynamic, increasing its loan portfolio by 4% in the year. This was due to loans to companies, mortgages from Ireland, Portugal and EVO, and the consumer lending business, which more than offset lower mortgages in Spain. In short, it is because we have a diversified strategy, both geographically and in types of products, and because we have stayed close to our customers.

### How would you sum up these achievements and projects from the point of view of the business?

The bank's diversification strategy has continued to work, in both our most mature and established areas and in our international business lines, particularly Portugal and Ireland, which grew more quickly.

Our Corporates business, which contributes most to the Group's income, maintained its solid commercial momentum, increasing its lending - unlike the sector - despite the difficult environment in which it was operating. Its loan portfolio increased to 32,800 million euros, 4.6% higher than in the previous year. This was mainly due to the dynamism of International Business activity, where the loan portfolio now exceeds 8,800 million euros, and effective management of European funds.

Growth in all segments of commercial retail banking - banking with individual customers - remained constant, with assets under management for Wealth Management and Retail Banking customers exceeding 100,000 million euros for the first time, up 11% on the previous year.

This growth was particularly strong for what are known as "value products", which are more tailored to the profiles of each customer and generate greater returns for the bank through fees and commission. The increases in investment and pension funds were notable, as was the increase in wealth management, due to attracting external assets and internal transfers from accounts and deposits.

On the asset side, Bankinter Group's residential mortgage portfolio increased by 3.5% to 34,900 million euros, due, in particular, to growth in the Irish and Portuguese markets. Cooling of the real estate market due to increases in interest rates was most noticeable in new mortgage production, which was 14% lower than in 2022. However, despite this, we continued to improve our market share, which now stands at 7% in Spain.

Bankinter's activity in other geographies performed very strongly. This is best represented by our Portugal business, which confirmed our best expectations in 2023. The excellent growth in lending, customer funds and off-balance sheet funds fed through to the income statement, with pre-tax profit of 166 million euros, more than double the previous year.

**Efficiency has continued to improve. We ended 2023 with a cost-to-income ratio of 37.3%, down 670 basis points compared to 2022.**



Our business in Ireland also performed positively, through the Avant Money brand. Its loans and receivables increased by 34%, to 3,000 million euros, with mortgages, a relatively recent activity in Ireland, growing by 41% in the year to 2,200 million. We have already established ourselves as a very important player in this area.

Our activity in Ireland is consolidated through our Bankinter Consumer Finance subsidiary, which also reported extraordinary figures. In addition to Avant Money's mortgage portfolio, its consumer activity achieved strong momentum during the year, particularly the personal loan portfolio, which increased by 19% to 3,100 million euros.

Finally, EVO Banco, the Group's digital brand, was also very dynamic, particularly in the mortgage market and the consumer business. Its loan book increased by 25% during the year, to 3,400 million euros.

### With these business foundations, what is the growth strategy for the immediate future?

We are committed to organic growth. This has always been the case at Bankinter and we have no reason to change now. We have a defined and well-established strategy, with no wavering or changes of course, that is clearly identifiable for customers, analysts and investors. Therefore, we are going to continue with a business model based on diversifying our sources of income, controlling costs and risks, and applying technology to our processes to improve our efficiency and the quality of service for our customers.

This does not mean we would not be interested in takeover and partnership opportunities that might complement our main businesses, provided they are prudent and suitable for our scale. This is what we did in Luxembourg, Portugal and Ireland, and with the acquisition of our digital bank, EVO.

For example, it is worth noting the agreement signed by Bankinter Consumer Finance and the Portuguese group Sonae in 2023 to establish a joint venture that will create the first consumer credit institution in the Portuguese market, with a portfolio of more than one million customers. We are very excited about this operation. It will strengthen Bankinter's presence in Portugal and may lead to other partnership agreements in future.

### The strong results in the banking sector over the last two years have opened a debate about the surplus capital generated. What is Bankinter's view?

In general, at times of uncertainty - like those we are living through - it is prudent to try to preserve capital, because this uncertainty means we do not know whether we are going to need more own funds to cover any incidents that affect asset values or non-performing loans. And if the strong performance of the business generates capital levels that exceed what is reasonable, we think the surplus should be dedicated to growth and investing in new projects. That is why we are not considering the possibility of share buy-backs, which other banks have done. Our dividend, with a 50% payout, is very attractive for investors in itself. We see no need to complement our dividends with this type of operation.

**Bankinter will continue to grow in size in 2024 and will continue to maintain a robust position of leadership in the market.**



## Regulators and supervisors are pushing Spanish banks to increase remuneration on deposits. What are the expectations for the coming months about this?

With the utmost respect for everyone's opinions, I believe that the remuneration of liabilities should be an individual decision for each bank, as part of their commercial strategy, based on variables such as interest rates, competition, and their balance sheet management and liquidity levels.

If we analyse all of these variables, I believe it is very unlikely that there will be a war to capture or retain customer deposits in the sector, as there was at the end of the last century in Spain. We do not even expect a generalised offer by large or medium-sized banks, although a certain trend towards a gradual increase in the cost of liabilities has been observed.

Bankinter does not currently see a need to remunerate savings in general. We do pay interest on certain products, such as our Salary Account, the EVO Banco Smart Account and our Digital Account, as part of our business strategy. But we do not pay interest on all deposits, and we do not plan to do so in the short term.

## Approval of the European Next Generation funds generated great expectations, in the belief they could be a powerful driver of growth for the Spanish economy. Have these expectations been met?

Not fully. The processing and implementation process would need to be speeded up. This is a huge opportunity to revitalise the Spanish economy and we cannot afford to miss it. These funds must be taken advantage of as they have the potential to transform and modernise sectors that will be key for the future. The banks should play a major role in the transmission of this aid. We are eager to work with the authorities to make distribution of these funds as efficient as possible.

Bankinter has been proactive in helping all companies - from SMEs to large corporations - with plans to advise them on managing and presenting projects. And we complement these with other financial solutions, such as guarantees, advances of funds and complementary funding.

## Considering all of this, how might Bankinter develop in 2024?

It will be difficult to repeat such a positive year for income and profits, with such a fast growth rate, as 2023. The improvement in net interest income, which made a major contribution to boosting our results last year, will probably be more limited, as repricing of the loan book is running out. The increase in interest rates also has some side effects. These include higher liability costs and a trend, which is just beginning, towards an increase in non-performing loans, particularly for consumer credit.



We must also keep a careful eye on signs of a slowdown in the real estate market, both residential and, in particular, commercial. Extension of the banking tax will not help either. In addition to eating into our profitability, this tax negatively impacts investor confidence in Spain, as we have often pointed out.

We must also consider a foreseeable cooling of economic activity and keep an eye out for signs from key indicators, such as weakness in exports or household savings, with the reserves accumulated during the pandemic starting to run out. It never hurts to remember that banking is very dependent on the performance of the economy.

But having said that, I do not doubt that Bankinter will continue to grow in size in 2024 and will continue to maintain a robust position of leadership for asset quality, capital adequacy, profitability, efficiency and liquidity in Spain.

**We cannot talk about 2024 without considering the proposed changes to the bank's senior management, which will be effective from the date of the forthcoming Annual General Meeting, 21 March. In particular, you are leaving your position as chief executive officer and becoming the non-executive chairman. What is the objective of these changes and what might they mean for the future of Bankinter?**

The Bank's board of directors has proposed my appointment as non-executive chairman, replacing Pedro Guerrero, who is stepping down at his own request, and the appointment of Gloria Ortiz, the head of Commercial Retail Banking, as the new chief executive officer. This is an internal replacement that is part of the normal course of business, fitting perfectly into the renewal policy for Bankinter's management positions. I believe it is a necessary step forward to contribute new points of view to the bank's management, enhance its strategy and extend its path of success, always respecting the principles of prudent growth, quality and innovation that have characterised it throughout its history.

My work in the Bank will change significantly. After many years managing day-to-day activities, I will be leaving behind executive duties and starting to oversee the main lines of our strategy, in accordance with our governance model and European Central Bank guidelines. I am taking on this new challenge with great enthusiasm, convinced that Pedro Guerrero's brilliant career as chairman will serve as inspiration and guide me to lead Bankinter to the leading place it deserves.

**The change in management positions is a necessary step forward to contribute new points of view to the bank's management, enhance its strategy and extend its success.**

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# Strategy and results



# Strategy

## A diversified business with great potential

The 2023 financial year was characterised by a number of variables that will most likely remain unresolved in 2024, at least during the first part of the year, so that some of the main uncertainties will persist.

Prominent among these dynamics is the abrupt rise in interest rates by central banks in an attempt to control inflation, which, despite providing a better scenario for the financial sector after a long period of unusually low rates, has also led to a slowdown in economic growth due to the rise in the cost of credit.

The current consensus among experts is that this upward trend in rates will no longer continue and that once inflation is definitively under control, the movement will be downwards, although this will not occur until the second half of the year.

Also persisting through 2024 will be some of the geopolitical uncertainties, such as the Ukraine-Russia war, that have had an impact on inflation and the economy, as well as other conflicts, like those in the Middle East, which are highly destabilising and have the potential to escalate.

However, 2023 was a year of economic growth that ultimately turned out weaker than expected, especially in Europe and particularly in the last quarter of the year, although Spain was able to show higher GDP growth and improved employment data than our immediate neighbours.

In this scenario, the activity of financial institutions was favoured by the normalisation of monetary policy, which has allowed institutions to obtain wider margins from the rise in interest rates without, so far, increasing the levels of non-performing loans due to the increase in the cost of credit.

As regards Bankinter, this tailwind was increased by a greater commercial drive that has reached all business lines, increasing their volume of activity and, consequently, also their income, resulting in the record profit presented by the Bank at the end of the year.



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In Commercial Retail Banking, the bank consolidated its strategy based on a structure based on two large customer segments: Retail Banking and Wealth Management. As for Retail Banking, the bank was able to manage spreads effectively in an environment of falling credit, while at the same time facilitating the transfer of customers' funds from accounts and deposits to value products, such as investment funds and managed portfolios, with higher returns for the bank and also for the customer.

Wealth Management has continued to increase assets under management and its market share in this business thanks to an offering that sets it apart in customer management that is capable of meeting all their needs in a global way. As part of this proposal, the bank has consolidated its leading position in the "alternative investment" business, giving customers the opportunity to allocate some of their investments to the real economy through new investment vehicles in all types of sectors with an excellent risk-return ratio, which have been very well received by customers.

In Corporate Banking, Bankinter has positioned itself as a priority partner for companies in areas of particular importance, such as the management and processing of European funds, which have reached a higher speed of arrival that will increase even more in 2024, or the support provided to companies in their foreign activities, as a result of the new projects arising in International Banking, an area that is becoming increasingly important in this segment.

The strong performance of consumption has provided Bankinter Consumer Finance with a way to consolidate its personal loans and credit business. It has also opened up a new avenue of activity in Portugal, with the creation of a joint venture with Sonae that aims to become the leader in consumer finance in Portugal.

Bankinter is continuing to strengthen its position in all the geographical areas where it operates, in addition to Spain - Ireland, Luxembourg and Portugal - having achieved double digit growth in all balance sheet items and record profits in Portugal.

EVO Banco has continued its positive performance over the last few years, achieving break even (the point where total costs and income balance) on its activity during the year and consolidating its position as one of the leading digital financial operators.

In summary, it was a successful year in which Bankinter boosted its diversified growth, keeping the costs and risks arising from its activity under control and extending the scope of its business with new projects with the potential to generate greater income.

**Bankinter is continuing to strengthen its position in all the geographical areas where it operates, in addition to Spain - Ireland, Luxembourg and Portugal.**





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# Results

## The highest recurring profit in the Bank's history

Bankinter Group closed a successful 2023 with record recurring profit, with all business lines growing at a good pace. This enabled the bank to continue expanding its market share in each customer segment and in every country where it operates.

The positive changes in interest rates, the increase in volumes in all balance sheet headings and the more active management of customer assets led to substantial growth in all areas and improvements in profitability and the cost-to-income ratio.

Pre-tax profit was 1,228.8 million euros (+56.5%) and net profit was 844.8 million (+50.8%), despite the impact of the new tax on the financial sector, which for Bankinter amounted to 77 million euros.

**Pre-tax profit totalled 1,228.8 million euros (+56.5%) while pre-tax profit was 844.8 million euros (+50.8%).**





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## Ratios

The bank achieved a record return on equity (RoE): 17.1%, compared to 12% in 2022, with a ROTE of 18.1%, the highest in Spain's financial sector.

The CET1 fully-loaded capital ratio was 12.3%, while the regulatory minimum required of Bankinter by the ECB is 7.8%, which is the lowest among listed banks in Spain.

The non-performing loans (NPL) ratio remained at a similar level to the previous year, at 2.1%. In Spain, the NPL ratio was 2.4%, well below the sector average, which stood at 3.57% in November, according to Banco de España. The coverage of non-performing loans was 64.7% at 31 December.

The bank's cost-to-income ratio was a successful 37.3% on that date. This compares very favourably with the 44% in 2022. The figure for Spain is even better, at 34%.

The liquidity situation is even more positive than it was a year ago. The bank has a deposit-to-loan ratio of 106%, compared to 102.8% in 2022.

## Balance sheet

The Group's total assets at 31 December 2023 stood at 113,011.6 million euros.

The customer credit portfolio stood at 76,885.7 million euros (+3.6%). In Spain, the bank's lending grew slightly less, at 1%, given the poor performance of our real estate market, which is reflected in a 3.5% fall across the financial sector portfolio as a whole, according to Banco de España figures to November.

Retail funds totalled 81,574.8 million euros (+8.5%) at year-end 2023. Off-balance-sheet managed funds also experienced strong growth of 18.1%, reaching 43,937 million euros, thanks to the acquisition of new business and transfers within the bank from other products.

## Operating margins

All account margins increased significantly in 2023. Net interest income was 2,213.5 million euros (+44%), while gross operating income, which includes all the Group's income, reached a record of 2,660.5 million euros (+27.7%).

Fee and commission income amounted to 817 million euros, of which 196 million euros was from the asset management business. Net fees and commission (the difference between the fees and commission collected and those the bank pays to third parties) amounted to 624.3 million euros, up 3%.

The pre-provision operating profit at year-end 2023 was 1,667.2 million euros (+43%), after absorbing operating costs, which increased by 8% due to greater variable remuneration for the workforce due to objectives being met, increased Social Security contributions and costs from the creation of the new joint venture in Portugal.

Net interest income

€2.2 bn  
+44%

Gross operating income

€2.7 bn  
+27.7%

Return on equity  
(RoE)

17.1%





## Business lines

Bankinter enhanced its strategy of diversifying its sources of income in 2023, with growth in all lines of business and geographies, with special emphasis on new businesses, whose contribution to the Group's income is gaining more and more prominence without preventing consolidated lines from increasing their market share.

**Corporate Banking.** The largest contribution to the bank's gross operating income came from this business line, in which Bankinter has offered highly specialised service since its inception. The corporate loan portfolio closed 2023 with a volume of 32,800 million euros (+4.6%). The portfolio in Spain grew by 2.8%, compared to the sector average of a drop of 5%, according to Banco de España figures to November.

International Corporate Banking has become an essential pillar of this activity, with a loans and receivables portfolio that was up 11% over 2023, at 8,800 million euros. The volume of some recent businesses launched within International Banking, such as Supply Chain Finance (a solution for companies and their foreign activity which has been warmly welcomed) multiplied by five during the year.

**Commercial Retail Banking.** The balance was very good in terms of both customer and fund acquisition, with 103,000 million euros of assets under management (+11%) and 6,000 million euros in net new assets.

The segment that includes customers with higher economic-financial profiles, **Wealth Management**, closed the year with 57,800 million euros in assets under management, compared to 51,100 million a year ago. Since 2018, assets in this segment have increased by 62%. Last year alone, Bankinter attracted new net wealth of 3,200 million.

In **Retail Banking**, which encompasses all other customers, assets under management amounted to 45,600 million euros (+10.1%), with net new assets of 2,800 million euros.

In 2023, Bankinter enhanced its strategy to diversify its sources of income, with growth in all of its business lines and geographies, and a strong emphasis on new business.





## Products

**Off-balance-sheet managed funds.** 2023 was a good year for such funds (own and third-party investment funds, pension funds, wealth management and SICAVs), which generate greater contributions for the bank via fees as well as for the customer. Its volume grew by 6,700 million (+18%).

**Salary accounts.** These experienced a drop in volume of balances: 13,000 million euros compared to 16,700 million in 2022, although the number of accounts grew by 4%, which means that this category-leading product still has the capacity to attract new customers. The portfolio of salary accounts has increased by 57% over the last five years.

**Mortgages.** Residential mortgages totalled 34,900 million euros for the Group as a whole at the end of the year (+3.5%). In Spain there was a slight drop of 0.1%, although with a slight recovery in the last quarter. This small drop is, however, much lower than that of the sector as a whole, where the decline was 3.3%, according to Banco de España data to November.

A total of 5,800 million euros in new mortgages was generated, including EVO Banco. This represents a drop of 14% compared to new lending in 2022, which was a very positive year, and is related to the reduction in activity in the real estate market. 39% of new mortgages were at a fixed rate.

**Bankinter Investment**, the bank's subsidiary dedicated to investment banking activity, is becoming increasingly prominent in the Group's financial statements, with its growing contribution to the bank's gross operating income, which this year achieved 233 million euros in fees and commission and net interest income. Within its alternative investment business, where it boasts the position of leader in Spain, the subsidiary has already launched 23 structured vehicles investing in projects in the real economy, with committed capital of 4,700 million.

**A total of 5,800 million euros was generated in new mortgages, including EVO Banco.**



## Geographies

**Portugal.** Portugal stands out among the geographies where the bank operates outside Spain, contributing 10% to the bank's gross operating income. It exceeded expectations in 2023 with optimal result in all areas.

In terms of lending, Bankinter Portugal closed the year with a portfolio of 9,200 million euros, up 16% versus last year, 6,100 million of which corresponds to Commercial Retail Banking and the rest to Business and Corporate Banking. The NPL ratio was 1.3%. Customer funds grew by 32%, to 8,400 million euros, while off-balance-sheet managed funds amounted to 4,000 million euros, up 2%.

The effective management of this balance sheet is reflected in the strong performance of all income statement margins. Net interest income increased by 85%, while gross operating income grew by 61% and pre-provision profit by 112%. This resulted in a jump in pre-tax profit to 166 million euros (+114%). Bankinter Portugal's cost-to-income ratio continued to improve to stand at 33.4%, compared to 49.5% in 2022.

**Ireland.** The bank operates in this country through the Avant Money brand, whose loans and receivables portfolio reached 3,000 million euros (+34%), of which 2,200 million corresponded to mortgages. Their volume rose by 41%, and that of consumer lending rose by 19%.

All Avant Money activity is consolidated in the subsidiary Bankinter Consumer Finance, which in 2023 contributed 397 million to the bank's gross operating income (+16%). The loans and receivables portfolio of this subsidiary increased by 23% to 6,800 million euros at the end of the year. The most important portion of consumer lending is made up of personal loans (3,100 million euros, up 19%), while the rest comes from card activity in its different forms.

**EVO Banco.** The Group's digital brand reached breakeven (the point where total costs and revenue are equal) on its activity, with gross operating income of 66 million euros (+78%). The loans and receivables portfolio continued to grow steadily and amounted to 3,393 million euros at the end of the year (+25%), with an NPL ratio of just 0.5%. New mortgage production was undermined by the weakness of the real estate sector and, despite a creditable volume of 873 million, fell by 11%.

Portugal

10%

Contribution to the  
bank's gross operating  
income

Ireland

€3 bn  
Loan book

EVO Banco

€66 mn

Gross operating income





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## CONSOLIDATED BALANCE SHEETS AT 31 DECEMBER 2023 AND 2022 (in thousands of euros)

| ASSETS                                                                          | 31/12/2023  | 31/12/2022 (*) |
|---------------------------------------------------------------------------------|-------------|----------------|
| Cash, cash balances at central banks and other demand deposits                  | 13,859,595  | 13,351,217     |
| Financial assets held for trading                                               | 4,505,254   | 4,055,770      |
| Derivatives                                                                     | 756,160     | 1,181,732      |
| Equity instruments                                                              | 151,858     | 164,756        |
| Debt securities                                                                 | 1,255,441   | 974,684        |
| Loans and advances                                                              | 2,341,795   | 1,734,598      |
| Central banks                                                                   | —           | —              |
| Credit institutions                                                             | 2,203,838   | 1,320,483      |
| Customers                                                                       | 137,957     | 414,115        |
| Memorandum items: loaned or pledged                                             | 886,196     | 524,832        |
| Non-trading financial assets mandatorily at fair value through profit or loss   | 178,110     | 161,397        |
| Equity instruments                                                              | 176,943     | 160,047        |
| Debt securities                                                                 | 887         | 884            |
| Loans and advances                                                              | 280         | 466            |
| Central banks                                                                   | —           | —              |
| Credit institutions                                                             | —           | —              |
| Customers                                                                       | 280         | 466            |
| Memorandum items: loaned or pledged                                             | —           | —              |
| Financial assets designated at fair value through profit or loss                | —           | —              |
| Debt securities                                                                 | —           | —              |
| Loans and advances                                                              | —           | —              |
| Central banks                                                                   | —           | —              |
| Credit institutions                                                             | —           | —              |
| Customers                                                                       | —           | —              |
| Memorandum items: loaned or pledged                                             | —           | —              |
| Financial assets at fair value through other comprehensive income               | 1,232,596   | 2,810,920      |
| Equity instruments                                                              | 161,308     | 195,617        |
| Debt securities                                                                 | 1,071,288   | 2,615,303      |
| Loans and advances                                                              | —           | —              |
| Central banks                                                                   | —           | —              |
| Credit institutions                                                             | —           | —              |
| Customers                                                                       | —           | —              |
| Memorandum items: loaned or pledged                                             | 186,779     | 618,859        |
| Financial assets at amortised cost                                              | 90,836,049  | 84,862,782     |
| Debt securities                                                                 | 10,577,989  | 9,352,619      |
| Loans and advances                                                              | 80,258,060  | 75,510,163     |
| Central banks                                                                   | —           | —              |
| Credit institutions                                                             | 6,059,036   | 3,758,565      |
| Customers                                                                       | 74,199,024  | 71,751,598     |
| Memorandum items: loaned or pledged                                             | 12,987,118  | 9,285,766      |
| Derivatives – hedge accounting                                                  | 853,258     | 1,128,474      |
| Fair value changes of the hedged items in portfolio hedge of interest rate risk | (377,646)   | (648,517)      |
| Investments in joint ventures and associates                                    | 235,499     | 178,203        |
| Joint ventures                                                                  | 167,139     | 118,243        |
| Associates                                                                      | 68,360      | 59,960         |
| Assets under reinsurance and insurance contracts                                | —           | —              |
| Tangible assets                                                                 | 426,764     | 447,853        |
| Property, plant and equipment                                                   | 424,178     | 447,853        |
| For own use                                                                     | 420,368     | 438,915        |
| Leased out under an operating lease                                             | 3,810       | 8,938          |
| Assigned to welfare projects (savings banks and credit cooperatives)            | —           | —              |
| Investment property                                                             | 2,586       | —              |
| Of which: leased out under operating leases                                     | 2,586       | —              |
| Memorandum items: Acquired under finance leases                                 | 120,876     | 135,048        |
| Intangible assets                                                               | 302,018     | 278,940        |
| Goodwill                                                                        | 2,276       | 2,276          |
| Other intangible assets                                                         | 299,742     | 276,664        |
| Tax assets                                                                      | 583,054     | 460,241        |
| Current tax assets                                                              | 322,289     | 195,412        |
| Deferred tax assets                                                             | 260,765     | 264,829        |
| Other assets                                                                    | 193,113     | 156,758        |
| Insurance contracts linked to pensions                                          | —           | —              |
| Inventories                                                                     | —           | —              |
| Other assets                                                                    | 193,113     | 156,758        |
| Non-current assets and disposal groups classified as held for sale              | 183,978     | 262,994        |
| TOTAL ASSETS                                                                    | 113,011,642 | 107,507,032    |

(\*) Presented for comparison purposes only.



## CONSOLIDATED BALANCE SHEETS AT 31 DECEMBER 2023 AND 2022 (in thousands of euros)

| EQUITY AND LIABILITIES                                                                 | 31/12/2023         | 31/12/2022 (*)     |
|----------------------------------------------------------------------------------------|--------------------|--------------------|
| <b>LIABILITIES</b>                                                                     | <b>107,688,702</b> | <b>102,602,060</b> |
| <b>Financial liabilities held for trading</b>                                          | <b>3,895,791</b>   | <b>3,347,198</b>   |
| Derivatives                                                                            | 836,110            | 1,140,068          |
| Short positions                                                                        | 1,042,100          | 918,983            |
| Deposits                                                                               | 2,017,581          | 1,288,147          |
| Central banks                                                                          | —                  | —                  |
| Credit institutions                                                                    | 483                | —                  |
| Customers                                                                              | 2,017,098          | 1,288,147          |
| Debt securities issued                                                                 | —                  | —                  |
| Other financial liabilities                                                            | —                  | —                  |
| <b>Financial liabilities designated at fair value through profit or loss</b>           | <b>—</b>           | <b>—</b>           |
| Deposits                                                                               | —                  | —                  |
| Central banks                                                                          | —                  | —                  |
| Credit institutions                                                                    | —                  | —                  |
| Customers                                                                              | —                  | —                  |
| Debt securities issued                                                                 | —                  | —                  |
| Other financial liabilities                                                            | —                  | —                  |
| Memorandum items: subordinated liabilities                                             | —                  | —                  |
| <b>Financial liabilities at amortised cost</b>                                         | <b>102,070,062</b> | <b>97,817,081</b>  |
| Deposits                                                                               | 90,584,931         | 87,965,731         |
| Central banks                                                                          | 1,323,987          | 11,699,869         |
| Credit institutions                                                                    | 10,272,080         | 3,363,826          |
| Customers                                                                              | 78,988,864         | 72,902,036         |
| Debt securities issued                                                                 | 8,546,380          | 6,433,093          |
| Other financial liabilities                                                            | 2,938,751          | 3,418,257          |
| Memorandum items: subordinated liabilities                                             | 1,421,995          | 1,080,928          |
| <b>Derivatives – hedge accounting</b>                                                  | <b>611,660</b>     | <b>625,125</b>     |
| <b>Fair value changes of the hedged items in portfolio hedge of interest rate risk</b> | <b>(105,156)</b>   | <b>(203,914)</b>   |
| <b>Liabilities under reinsurance and insurance contracts</b>                           | <b>—</b>           | <b>—</b>           |
| <b>Provisions</b>                                                                      | <b>346,190</b>     | <b>376,159</b>     |
| Pensions and other post-employment defined benefit obligations                         | 1,408              | 1,293              |
| Other long-term employee benefits                                                      | —                  | —                  |
| Pending legal issues and tax litigation                                                | 133,524            | 122,755            |
| Commitments and guarantees given                                                       | 29,441             | 39,143             |
| Other provisions                                                                       | 181,817            | 212,968            |
| <b>Tax liabilities</b>                                                                 | <b>463,012</b>     | <b>291,132</b>     |
| Current tax liabilities                                                                | 399,716            | 231,932            |
| Deferred tax liabilities                                                               | 63,296             | 59,200             |
| <b>Share capital repayable on demand</b>                                               | <b>—</b>           | <b>—</b>           |
| <b>Other liabilities</b>                                                               | <b>407,143</b>     | <b>349,279</b>     |
| Of which: welfare fund (savings banks and credit cooperatives only)                    | —                  | —                  |
| <b>Liabilities included in disposal groups classified as held for sale</b>             | <b>—</b>           | <b>—</b>           |
| <b>TOTAL LIABILITIES</b>                                                               | <b>107,688,702</b> | <b>102,602,060</b> |

(\*) Presented for comparison purposes only.



## CONSOLIDATED BALANCE SHEETS AT 31 DECEMBER 2023 AND 2022 (in thousands of euros)

| LIABILITIES AND EQUITY (continued)                                                                                            | 31/12/2023         | 31/12/2022 (*)     |
|-------------------------------------------------------------------------------------------------------------------------------|--------------------|--------------------|
| <b>Shareholders' equity</b>                                                                                                   | <b>5,445,304</b>   | <b>5,034,000</b>   |
| <b>Capital</b>                                                                                                                | <b>269,660</b>     | <b>269,660</b>     |
| Paid up capital                                                                                                               | 269,660            | 269,660            |
| Unpaid capital which has been called up                                                                                       | —                  | —                  |
| Memorandum items: uncalled share capital                                                                                      | —                  | —                  |
| <b>Share premium</b>                                                                                                          | <b>—</b>           | <b>—</b>           |
| <b>Equity instruments issued other than capital</b>                                                                           | <b>—</b>           | <b>—</b>           |
| Equity component of compound financial instruments                                                                            | —                  | —                  |
| Other equity instruments issued                                                                                               | —                  | —                  |
| <b>Other equity</b>                                                                                                           | <b>19,807</b>      | <b>11,905</b>      |
| <b>Retained earnings</b>                                                                                                      | <b>4,650,297</b>   | <b>4,406,753</b>   |
| <b>Revaluation reserves</b>                                                                                                   | <b>—</b>           | <b>—</b>           |
| <b>Other reserves</b>                                                                                                         | <b>(12,312)</b>    | <b>(13,290)</b>    |
| Reserves or accumulated losses of investments in joint ventures and associates                                                | (12,312)           | (13,290)           |
| Other                                                                                                                         | —                  | —                  |
| <b>(-) Treasury shares</b>                                                                                                    | <b>(1,365)</b>     | <b>(1,393)</b>     |
| <b>Profit or loss attributable to owners of the parent</b>                                                                    | <b>844,787</b>     | <b>560,203</b>     |
| <b>(-) Interim dividends</b>                                                                                                  | <b>(325,570)</b>   | <b>(199,838)</b>   |
| <b>Accumulated other comprehensive income</b>                                                                                 | <b>(122,364)</b>   | <b>(129,028)</b>   |
| <b>Items that will not be reclassified to profit or loss</b>                                                                  | <b>(81,224)</b>    | <b>(47,171)</b>    |
| Actuarial gains or (-) losses on defined benefit pension plans                                                                | 5,876              | 6,135              |
| Non-current assets and disposal groups classified as held for sale                                                            | —                  | —                  |
| Share of other recognised income and expense of investments in joint ventures and associates                                  | —                  | —                  |
| Fair value changes of equity instruments measured at fair value through other comprehensive income                            | (87,100)           | (53,306)           |
| Hedge ineffectiveness of fair value hedges for equity instruments measured at fair value through other comprehensive income   | —                  | —                  |
| Fair value changes of equity instruments measured at fair value through other comprehensive income (hedged item)              | —                  | —                  |
| Fair value changes of equity instruments measured at fair value through other comprehensive income (hedging instrument)       | —                  | —                  |
| Fair value changes of financial liabilities at fair value through profit or loss attributable to changes in their credit risk | —                  | —                  |
| <b>Items that may be reclassified to profit or loss</b>                                                                       | <b>(41,140)</b>    | <b>(81,857)</b>    |
| Hedge of net investments in foreign operations (effective portion)                                                            | —                  | —                  |
| Foreign currency translation                                                                                                  | —                  | —                  |
| Hedging derivatives. Cash flow hedges (effective part)                                                                        | (12,548)           | 4,434              |
| Fair value changes of debt instruments measured at fair value through other comprehensive income                              | (27,321)           | (71,776)           |
| Hedging instruments (not designated elements)                                                                                 | —                  | —                  |
| Non-current assets and disposal groups classified as held for sale                                                            | —                  | —                  |
| Share of other recognised income and expense of investments in joint ventures and associates                                  | (1,271)            | (14,515)           |
| <b>Minority interests (Non-controlling interests)</b>                                                                         | <b>—</b>           | <b>—</b>           |
| Accumulated other comprehensive income                                                                                        | —                  | —                  |
| Other items                                                                                                                   | —                  | —                  |
| <b>TOTAL EQUITY</b>                                                                                                           | <b>5,322,940</b>   | <b>4,904,972</b>   |
| <b>TOTAL EQUITY AND LIABILITIES</b>                                                                                           | <b>113,011,642</b> | <b>107,507,032</b> |
| MEMORANDUM ITEMS: OFF-BALANCE-SHEET EXPOSURES                                                                                 |                    |                    |
| Contingent commitments given                                                                                                  | 16,129,393         | 16,370,121         |
| Financial guarantees given                                                                                                    | 1,689,894          | 1,976,956          |
| Other commitments given                                                                                                       | 11,462,378         | 9,682,797          |

(\*) Presented for comparison purposes only.



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Annual  
Report  
2023

# CONSOLIDATED INCOME STATEMENTS FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2023 AND 2022 (in thousands of euros)

|                                                                                                                                                                                                       | (Debit)/Credit   | (Debit)/Credit   |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
|                                                                                                                                                                                                       | 31/12/2023       | 31/12/2022 (*)   |
| Interest income                                                                                                                                                                                       | 3,677,727        | 1,767,606        |
| Financial assets at fair value through other comprehensive income                                                                                                                                     | 15,047           | 50,749           |
| Financial assets at amortised cost                                                                                                                                                                    | 3,151,070        | 1,650,888        |
| Other interest income                                                                                                                                                                                 | 511,610          | 65,969           |
| Interest expenses                                                                                                                                                                                     | (1,464,227)      | (230,884)        |
| Expenses on share capital repayable on demand                                                                                                                                                         | —                | —                |
| <b>A) NET INTEREST INCOME</b>                                                                                                                                                                         | <b>2,213,500</b> | <b>1,536,722</b> |
| Dividend income                                                                                                                                                                                       | 15,261           | 17,960           |
| Share of the profit or loss of entities accounted for using the equity method                                                                                                                         | 31,575           | 36,600           |
| Fee and commission income                                                                                                                                                                             | 817,059          | 789,379          |
| Fee and commission expenses                                                                                                                                                                           | (192,767)        | (183,287)        |
| Gains or losses on derecognition of financial assets and liabilities not measured at fair value through profit or loss, net                                                                           | 19,922           | 38,182           |
| Financial assets at amortised cost                                                                                                                                                                    | 29,237           | 34,403           |
| Other financial assets and liabilities                                                                                                                                                                | (9,315)          | 3,779            |
| Gains or losses on financial assets and liabilities held for trading, net                                                                                                                             | 73,181           | 26,251           |
| Reclassification of financial assets out of fair value through other comprehensive income                                                                                                             | —                | —                |
| Reclassification of financial assets out of amortised cost                                                                                                                                            | —                | —                |
| Other gains or losses                                                                                                                                                                                 | 73,181           | 26,251           |
| Gains or losses on non-trading financial assets mandatorily at fair value through profit or loss, net                                                                                                 | 5,467            | 14,079           |
| Reclassification of financial assets out of fair value through other comprehensive income                                                                                                             | —                | —                |
| Reclassification of financial assets out of amortised cost                                                                                                                                            | —                | —                |
| Other gains or losses                                                                                                                                                                                 | 5,467            | 14,079           |
| Gains or losses on financial assets and liabilities designated at fair value through profit or loss, net                                                                                              | —                | —                |
| Gains or losses from hedge accounting, net                                                                                                                                                            | 1,813            | (109)            |
| Exchange differences [gain or loss], net                                                                                                                                                              | (64,834)         | (7,611)          |
| Other operating income                                                                                                                                                                                | 34,898           | 30,734           |
| Other operating expenses                                                                                                                                                                              | (294,532)        | (214,598)        |
| Of which: compulsory transfers to welfare funds (only savings banks and credit cooperatives)                                                                                                          | —                | —                |
| Income from assets under insurance and reinsurance contracts                                                                                                                                          | —                | —                |
| Expenses from liabilities under insurance and reinsurance contracts                                                                                                                                   | —                | —                |
| <b>B) GROSS OPERATING INCOME</b>                                                                                                                                                                      | <b>2,660,543</b> | <b>2,084,302</b> |
| Administrative expenses                                                                                                                                                                               | (911,309)        | (837,950)        |
| Staff expenses                                                                                                                                                                                        | (557,923)        | (508,859)        |
| Other administrative expenses                                                                                                                                                                         | (353,386)        | (329,091)        |
| Depreciation and amortisation                                                                                                                                                                         | (82,069)         | (80,088)         |
| Provisions or reversal or provisions                                                                                                                                                                  | (79,678)         | (107,017)        |
| Impairment or reversal of impairment and gains or losses on modifications of cash flows of financial assets not measured at fair value through profit or loss or modification of gains or losses, net | (338,174)        | (253,018)        |
| Financial assets at fair value through other comprehensive income                                                                                                                                     | (9,784)          | (80)             |
| Financial assets at amortised cost                                                                                                                                                                    | (328,390)        | (252,938)        |
| Impairment or reversal of impairment of investments in joint ventures and associates                                                                                                                  | —                | —                |
| Impairment or reversal of impairment on non-financial assets                                                                                                                                          | (10,214)         | (9,192)          |
| Tangible assets                                                                                                                                                                                       | —                | (56)             |
| Intangible assets                                                                                                                                                                                     | (10,214)         | (9,136)          |
| Other                                                                                                                                                                                                 | —                | —                |
| Gains or losses on derecognition of non-financial assets and investments, net                                                                                                                         | (3,012)          | (1,313)          |
| Negative goodwill recognised in profit or loss                                                                                                                                                        | —                | —                |
| Profit or loss from non-current assets and disposal groups classified as held for sale not qualifying as discontinued operations                                                                      | (7,247)          | (10,687)         |
| <b>C) PROFIT OR LOSS BEFORE TAX FROM CONTINUING OPERATIONS</b>                                                                                                                                        | <b>1,228,840</b> | <b>785,037</b>   |
| Tax expense or income related to profit or loss from continuing operations                                                                                                                            | (384,053)        | (224,834)        |
| <b>D) PROFIT OR LOSS AFTER TAX FROM CONTINUING OPERATIONS</b>                                                                                                                                         | <b>844,787</b>   | <b>560,203</b>   |
| Profit or loss after tax from discontinued operations                                                                                                                                                 | —                | —                |
| <b>E) PROFIT OR LOSS FOR THE PERIOD</b>                                                                                                                                                               | <b>844,787</b>   | <b>560,203</b>   |
| Attributable to minority interests (non-controlling interests)                                                                                                                                        | —                | —                |
| Attributable to the owners of the parent                                                                                                                                                              | 844,787          | 560,203          |
| <b>EARNINGS PER SHARE:</b>                                                                                                                                                                            |                  |                  |
| Basic                                                                                                                                                                                                 | 0.94             | 0.62             |
| Diluted                                                                                                                                                                                               | 0.91             | 0.61             |

(\*) Presented for comparison purposes only.



# CONSOLIDATED STATEMENT OF RECOGNISED INCOME AND EXPENSE FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2023 AND 2022

(in thousands of euros)

|                                                                                                                               | 31/12/2023      | 31/12/2022 (*)   |
|-------------------------------------------------------------------------------------------------------------------------------|-----------------|------------------|
| <b>PROFIT OR LOSS FOR THE PERIOD</b>                                                                                          | <b>844,787</b>  | <b>560,203</b>   |
| <b>OTHER COMPREHENSIVE INCOME</b>                                                                                             | <b>6,664</b>    | <b>(244,567)</b> |
| <b>Items that will not be reclassified to profit or loss</b>                                                                  | <b>(34,053)</b> | <b>(104,774)</b> |
| Actuarial gains or (-) losses on defined benefit pension plans                                                                | (368)           | 4,060            |
| Non-current assets and disposal groups held for sale                                                                          | —               | —                |
| Share of other recognised income and expense of investments in joint ventures and associates                                  | —               | —                |
| Fair value changes of equity instruments measured at fair value through other comprehensive income                            | (34,309)        | (109,276)        |
| Gains or (-) losses from hedge accounting of equity instruments at fair value through other comprehensive income, net         | —               | —                |
| Fair value changes of equity instruments measured at fair value through other comprehensive income (hedged item)              | —               | —                |
| Fair value changes of equity instruments measured at fair value through other comprehensive income (hedging instrument)       | —               | —                |
| Fair value changes of financial liabilities at fair value through profit or loss attributable to changes in their credit risk | —               | —                |
| Income tax relating to items that will not be reclassified                                                                    | 624             | 442              |
| <b>Items that may be reclassified to profit or loss</b>                                                                       | <b>40,716</b>   | <b>(139,793)</b> |
| <b>Hedge of net investments in foreign operations (effective portion)</b>                                                     | <b>—</b>        | <b>—</b>         |
| Valuation gains or (-) losses taken to equity                                                                                 | —               | —                |
| Transferred to profit or loss                                                                                                 | —               | —                |
| Other reclassifications                                                                                                       | —               | —                |
| <b>Foreign currency translation</b>                                                                                           | <b>—</b>        | <b>—</b>         |
| Translation gains or (-) losses taken to equity                                                                               | —               | —                |
| Transferred to profit or loss                                                                                                 | —               | —                |
| Other reclassifications                                                                                                       | —               | —                |
| <b>Cash flow hedges [effective portion]</b>                                                                                   | <b>(24,261)</b> | <b>6,981</b>     |
| Valuation gains or (-) losses taken to equity                                                                                 | (24,261)        | 6,981            |
| Transferred to profit or loss                                                                                                 | —               | —                |
| Transferred to initial carrying amount of hedged items                                                                        | —               | —                |
| Other reclassifications                                                                                                       | —               | —                |
| <b>Hedging instruments (not designated elements)</b>                                                                          | <b>—</b>        | <b>—</b>         |
| Valuation gains or (-) losses taken to equity                                                                                 | —               | —                |
| Transferred to profit or loss                                                                                                 | —               | —                |
| Other reclassifications                                                                                                       | —               | —                |
| <b>Debt instruments at fair value through other comprehensive income</b>                                                      | <b>63,507</b>   | <b>(179,611)</b> |
| Valuation gains or (-) losses taken to equity                                                                                 | 43,724          | (177,545)        |
| Transferred to profit or loss                                                                                                 | 19,783          | (2,066)          |
| Other reclassifications                                                                                                       | —               | —                |
| <b>Non-current assets and disposal groups held for sale</b>                                                                   | <b>—</b>        | <b>—</b>         |
| Valuation gains or (-) losses taken to equity                                                                                 | —               | —                |
| Transferred to profit or loss                                                                                                 | —               | —                |
| Other reclassifications                                                                                                       | —               | —                |
| <b>Share of other recognised income and expense of investments in joint ventures and associates</b>                           | <b>13,244</b>   | <b>(18,952)</b>  |
| <b>Income tax relating to items that may be reclassified to profit or (-) loss</b>                                            | <b>(11,774)</b> | <b>51,789</b>    |
| <b>TOTAL COMPREHENSIVE INCOME FOR THE YEAR</b>                                                                                | <b>851,451</b>  | <b>315,636</b>   |
| Attributable to minority interests (non-controlling interests)                                                                | —               | —                |
| Attributable to the owners of the parent                                                                                      | 851,451         | 315,636          |

(\*) Presented for comparison purposes only.



## CONSOLIDATED STATEMENT OF TOTAL CHANGES IN EQUITY FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2023 AND 2022 (in thousands of euros)

|                                                                                                | Share capital<br>(Note 21) | Share premium<br>(Note 21) | Equity instruments issued other than capital | Other equity  | Retained earnings | Revaluation reserves<br>(Note 21) | Other reserves<br>(Note 12) | (-) Treasury shares<br>(Note 21) | Profit or loss attributable to owners of the parent | (-) Interim dividends<br>(Note 21) | Accumulated other comprehensive income<br>(Note 22) | Minority interests                     |             | Total            |
|------------------------------------------------------------------------------------------------|----------------------------|----------------------------|----------------------------------------------|---------------|-------------------|-----------------------------------|-----------------------------|----------------------------------|-----------------------------------------------------|------------------------------------|-----------------------------------------------------|----------------------------------------|-------------|------------------|
|                                                                                                |                            |                            |                                              |               |                   |                                   |                             |                                  |                                                     |                                    |                                                     | Accumulated other comprehensive income | Other items |                  |
| <b>Closing balance at 31/12/2022</b>                                                           | <b>269,660</b>             | <b>—</b>                   | <b>—</b>                                     | <b>11,905</b> | <b>4,406,753</b>  | <b>—</b>                          | <b>(13,290)</b>             | <b>(1,393)</b>                   | <b>560,203</b>                                      | <b>(199,838)</b>                   | <b>(129,028)</b>                                    | <b>—</b>                               | <b>—</b>    | <b>4,904,972</b> |
| Effects of correction of errors                                                                | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Effects of changes in accounting policies                                                      | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| <b>Opening balance 01/01/2023</b>                                                              | <b>269,660</b>             | <b>—</b>                   | <b>—</b>                                     | <b>11,905</b> | <b>4,406,753</b>  | <b>—</b>                          | <b>(13,290)</b>             | <b>(1,393)</b>                   | <b>560,203</b>                                      | <b>(199,838)</b>                   | <b>(129,028)</b>                                    | <b>—</b>                               | <b>—</b>    | <b>4,904,972</b> |
| Total comprehensive income for the period                                                      | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | 844,787                                             | —                                  | 6,664                                               | —                                      | —           | 851,451          |
| <b>Other changes in equity</b>                                                                 | <b>—</b>                   | <b>—</b>                   | <b>—</b>                                     | <b>7,902</b>  | <b>243,544</b>    | <b>—</b>                          | <b>978</b>                  | <b>28</b>                        | <b>(560,203)</b>                                    | <b>(125,732)</b>                   | <b>—</b>                                            | <b>—</b>                               | <b>—</b>    | <b>(433,483)</b> |
| Issuance of ordinary shares                                                                    | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Issuance of preference shares                                                                  | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Issuance of other equity instruments                                                           | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Exercise or maturity of other equity instruments issued                                        | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Conversion of debt to equity                                                                   | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Share capital reductions                                                                       | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Dividends (or shareholder remuneration)                                                        | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | (405,773)                          | —                                                   | —                                      | —           | (405,773)        |
| Purchase of treasury shares                                                                    | —                          | —                          | —                                            | —             | (294)             | —                                 | —                           | (79,119)                         | —                                                   | —                                  | —                                                   | —                                      | —           | (79,413)         |
| Sale or cancellation of treasury shares                                                        | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | 79,147                           | —                                                   | —                                  | —                                                   | —                                      | —           | 79,147           |
| Reclassification of financial instruments from equity to liability                             | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Reclassification of financial instruments from liability to equity                             | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Transfers between equity components                                                            | —                          | —                          | —                                            | —             | 280,162           | —                                 | —                           | —                                | (560,203)                                           | 280,041                            | —                                                   | —                                      | —           | —                |
| Increases or (-) decreases in equity resulting from business combinations                      | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| Share-based payments                                                                           | —                          | —                          | —                                            | 7,902         | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | 7,902            |
| Other increases or (-) decreases in equity                                                     | —                          | —                          | —                                            | —             | (36,324)          | —                                 | 978                         | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | (35,347)         |
| Of which: discretionary transfer to welfare funds (only savings banks and credit cooperatives) | —                          | —                          | —                                            | —             | —                 | —                                 | —                           | —                                | —                                                   | —                                  | —                                                   | —                                      | —           | —                |
| <b>Closing balance at 31/12/2023</b>                                                           | <b>269,660</b>             | <b>—</b>                   | <b>—</b>                                     | <b>19,807</b> | <b>4,650,297</b>  | <b>—</b>                          | <b>(12,312)</b>             | <b>(1,365)</b>                   | <b>844,787</b>                                      | <b>(325,570)</b>                   | <b>(122,364)</b>                                    | <b>—</b>                               | <b>—</b>    | <b>5,322,940</b> |

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# CONSOLIDATED STATEMENT OF TOTAL CHANGES IN EQUITY FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2022 AND 2021 (in thousands of euros)

|                                                                                                |                            |                            |                                                    |              |                      |                                      |                                |                                     |                                                              |                                       |                                                              | Minority interests                              |                |           |
|------------------------------------------------------------------------------------------------|----------------------------|----------------------------|----------------------------------------------------|--------------|----------------------|--------------------------------------|--------------------------------|-------------------------------------|--------------------------------------------------------------|---------------------------------------|--------------------------------------------------------------|-------------------------------------------------|----------------|-----------|
|                                                                                                | Share capital<br>(Note 21) | Share premium<br>(Note 21) | Equity instruments<br>issued other than<br>capital | Other equity | Retained<br>earnings | Revaluation<br>reserves<br>(Note 21) | Other<br>reserves<br>(Note 21) | (-) Treasury<br>shares<br>(Note 21) | Profit or loss<br>attributable to<br>owners of the<br>parent | (-) Interim<br>dividends<br>(Note 21) | Accumulated<br>other<br>comprehensive<br>income<br>(Note 22) | Accumulated<br>other<br>comprehensive<br>income | Other<br>items | Total     |
| <b>Closing balance 31/12/2021 (*)</b>                                                          | 269,660                    | —                          | —                                                  | 6,163        | 3,306,854            | —                                    | (12,093)                       | (1,025)                             | 1,333,108                                                    | (166,046)                             | 115,539                                                      | —                                               | —              | 4,852,160 |
| Effects of correction of errors                                                                | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Effects of changes in accounting policies                                                      | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| <b>Opening balance 01/01/2022</b>                                                              | 269,660                    | —                          | —                                                  | 6,163        | 3,306,854            | —                                    | (12,093)                       | (1,025)                             | 1,333,108                                                    | (166,046)                             | 115,539                                                      | —                                               | —              | 4,852,160 |
| Total comprehensive income for the period                                                      | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | 560,203                                                      | —                                     | (244,567)                                                    | —                                               | —              | 315,636   |
| <b>Other changes in equity</b>                                                                 | —                          | —                          | —                                                  | 5,742        | 1,099,899            | —                                    | (1,197)                        | (368)                               | (1,333,108)                                                  | (33,792)                              | —                                                            | —                                               | —              | (262,824) |
| Issuance of ordinary shares                                                                    | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Issuance of preference shares                                                                  | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Issuance of other equity instruments                                                           | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Exercise or maturity of other equity instruments issued                                        | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Conversion of debt to equity                                                                   | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Share capital reductions                                                                       | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Dividends (or shareholder remuneration)                                                        | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | (252,480)                             | —                                                            | —                                               | —              | (252,480) |
| Purchase of treasury shares                                                                    | —                          | —                          | —                                                  | —            | (145)                | —                                    | —                              | (84,469)                            | —                                                            | —                                     | —                                                            | —                                               | —              | (84,614)  |
| Sale or cancellation of treasury shares                                                        | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | 84,101                              | —                                                            | —                                     | —                                                            | —                                               | —              | 84,101    |
| Reclassification of financial instruments from equity to liability                             | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Reclassification of financial instruments from liability to equity                             | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Transfers between equity components                                                            | —                          | —                          | —                                                  | —            | 1,114,420            | —                                    | —                              | —                                   | (1,333,108)                                                  | 218,688                               | —                                                            | —                                               | —              | —         |
| Increases or (-) decreases in equity resulting from business combinations                      | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| Share-based payments                                                                           | —                          | —                          | —                                                  | 5,742        | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | 5,742     |
| Other increases or (-) decreases in equity                                                     | —                          | —                          | —                                                  | —            | (14,376)             | —                                    | (1,197)                        | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | (15,573)  |
| Of which: discretionary transfer to welfare funds (only savings banks and credit cooperatives) | —                          | —                          | —                                                  | —            | —                    | —                                    | —                              | —                                   | —                                                            | —                                     | —                                                            | —                                               | —              | —         |
| <b>Closing balance 31/12/2022 (*)</b>                                                          | 269,660                    | —                          | —                                                  | 11,905       | 4,406,753            | —                                    | (13,290)                       | (1,393)                             | 560,203                                                      | (199,838)                             | (129,028)                                                    | —                                               | —              | 4,904,972 |

(\*) Presented for comparison purposes only.



# CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE FINANCIAL YEARS ENDED 31 DECEMBER 2023 AND 2022 (in thousands of euros)

|                                                                               | 31/12/2023        | 31/12/2022 (*)     |
|-------------------------------------------------------------------------------|-------------------|--------------------|
| <b>A) CASH FLOWS FROM OPERATING ACTIVITIES</b>                                | <b>658,419</b>    | <b>(8,034,976)</b> |
| Profit or loss for the period                                                 | 844,787           | 560,203            |
| Adjustments to obtain cash flows from operating activities                    | 922,760           | 698,795            |
| Depreciation and amortisation                                                 | 82,069            | 80,088             |
| Other adjustments                                                             | 840,691           | 618,707            |
| <b>Net increase/(decrease) in operating assets</b>                            | <b>5,343,481</b>  | <b>9,405,758</b>   |
| Financial assets held for trading                                             | 449,484           | 17,514             |
| Non-trading financial assets mandatorily at fair value through profit or loss | 16,899            | 29,864             |
| Financial assets designated at fair value through profit or loss              | —                 | —                  |
| Financial assets at fair value through other comprehensive income             | (1,583,771)       | 392,816            |
| Financial assets at amortised cost                                            | 6,623,995         | 8,182,913          |
| Other operating assets                                                        | (163,127)         | 782,651            |
| <b>Net increase/(decrease) in operating liabilities</b>                       | <b>4,563,853</b>  | <b>59,516</b>      |
| Financial liabilities held for trading                                        | 548,593           | (349,298)          |
| Financial liabilities designated at fair value through profit or loss         | —                 | —                  |
| Financial liabilities at amortised cost                                       | 3,807,742         | 295,483            |
| Other operating liabilities                                                   | 207,518           | 113,331            |
| <b>Income tax recovered/(paid)</b>                                            | <b>(329,500)</b>  | <b>52,268</b>      |
| <b>B) CASH FLOWS FROM INVESTING ACTIVITIES</b>                                | <b>(44,234)</b>   | <b>(234,051)</b>   |
| Payments                                                                      | 170,062           | (287,478)          |
| Tangible assets                                                               | 21,713            | (18,838)           |
| Intangible assets                                                             | 68,669            | (53,412)           |
| Investments in joint ventures and associates                                  | —                 | —                  |
| Subsidiaries and other business units                                         | 51,946            | (27,081)           |
| Non-current assets and liabilities classified as held for sale                | 27,734            | (188,147)          |
| Other payments related to investing activities                                | —                 | —                  |
| <b>Proceeds</b>                                                               | <b>125,828</b>    | <b>53,427</b>      |
| Tangible assets                                                               | 9,180             | 4,880              |
| Intangible assets                                                             | 382               | 2,334              |
| Investments in joint ventures and associates                                  | 3,846             | 2,166              |
| Subsidiaries and other business units                                         | —                 | —                  |
| Non-current assets and liabilities classified as held for sale                | 112,420           | 44,047             |
| Other proceeds related to investing activities                                | —                 | —                  |
| <b>C) CASH FLOWS FROM FINANCING ACTIVITIES</b>                                | <b>(105,807)</b>  | <b>(752,846)</b>   |
| Payments                                                                      | 484,953           | (836,948)          |
| Dividends                                                                     | 405,834           | (252,479)          |
| Subordinated liabilities                                                      | —                 | (500,000)          |
| Redemption of own equity instruments                                          | —                 | —                  |
| Acquisition of own equity instruments                                         | 79,119            | (84,469)           |
| Other payments related to financing activities                                | —                 | —                  |
| <b>Proceeds</b>                                                               | <b>379,146</b>    | <b>84,102</b>      |
| Subordinated liabilities                                                      | 300,000           | —                  |
| Issuance of own equity instruments                                            | —                 | —                  |
| Disposal of own equity instruments                                            | 79,146            | 84,102             |
| Other proceeds related to financing activities                                | —                 | —                  |
| <b>D) EFFECT OF EXCHANGE RATE CHANGES</b>                                     | <b>—</b>          | <b>—</b>           |
| <b>E) NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS (A+B+C+D)</b>      | <b>508,378</b>    | <b>(9,021,873)</b> |
| <b>F) CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD</b>                    | <b>13,351,217</b> | <b>22,373,090</b>  |
| <b>G) CASH AND CASH EQUIVALENTS AT END OF PERIOD</b>                          | <b>13,859,595</b> | <b>13,351,217</b>  |
| Of which: Interest received                                                   | 3,737,346         | 1,692,647          |
| Of which: Interest paid                                                       | 1,122,078         | 260,396            |

(\*) Presented for comparison purposes only.



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# The Bankinter share

## Atypical behaviour

The Bankinter share price behaved atypically in 2023, with lower returns. Shareholders who held their shares throughout the year obtained a total return of -0.3%, including dividends paid out, which grew by more than 60% over the previous year. The share price moved by -7.5% over the last twelve months, while the average for listed Spanish banks was 15%. The bank's capitalisation at 31 December 2023 was slightly down, at 5,200 million euros. The IBEX 35 rose by 22.8% and the Eurostoxx 50 was up 17.3%.

At the end of 2023, Bankinter, S.A.'s share capital was represented by 898,866,154 fully subscribed and paid shares with a par value of 0.30 euros each. All the shares are represented by book entries, admitted for listing on the Madrid and Barcelona Stock Exchanges and traded on the Spanish continuous market.

Capitalisation

**€5.2** bn





## Shareholders

Bankinter had 61,201 shareholders at 31 December. Residents in Spain held 57% of the share capital and non-residents the remaining 43%. Registered shareholders with significant ownership interests are listed in the accompanying table.

Key figures for Bankinter shares in 2023 are detailed in the following tables:

### Significant shareholders (with a declared participation greater than 3%, or 1% if they reside in a tax haven)

| Name                           | Total number of shares | Percentage of ownership | Direct      | Indirect   |
|--------------------------------|------------------------|-------------------------|-------------|------------|
| Cartival, S.A.                 | 208,474,176            | 23.19                   | 208,474,176 | 0          |
| Fernando Masaveu Herrero       | 47,775,076             | 5.32                    | 776,330     | 46,998,746 |
| Lazard Asset Management Inc.   | 27,254,415             | 3.03                    | 0           | 27,254,415 |
| Fidelity International Limited | 25,439,817             | 2.83                    | 0           | 25,439,817 |

### Shareholder structure by number of shares at 31 December 2023

| Brackets                      | No. of shareholders | %     | No. of shares      | %     |
|-------------------------------|---------------------|-------|--------------------|-------|
| From 1 to 100 shares          | 14,304              | 23.37 | 274,429            | 0.03  |
| From 101 to 1,000 shares      | 21,287              | 34.78 | 10,755,934         | 1.20  |
| From 1,001 to 10,000 shares   | 21,675              | 35.42 | 72,490,801         | 8.06  |
| From 10,001 to 100,000 shares | 3,627               | 5.93  | 85,750,723         | 9.54  |
| More than 100,000 shares      | 308                 | 0.50  | 729,594,267        | 81.17 |
| <b>Total</b>                  | <b>61,201</b>       |       | <b>898,866,154</b> |       |

### Summary by type of shareholder

| Type          | No. of shareholders | %     | No. of shares      | %     |
|---------------|---------------------|-------|--------------------|-------|
| Residents     | 60,265              | 98.47 | 511,458,273        | 56.90 |
| Non-residents | 936                 | 1.53  | 387,407,881        | 43.10 |
| <b>Total</b>  | <b>61,201</b>       |       | <b>898,866,154</b> |       |

### Data per share for the period, at 31 December 2023 (euros)

|                                     |       |
|-------------------------------------|-------|
| Earnings per share                  | 0.91  |
| Dividend per share                  | 0.45  |
| Book value per share                | 5.92  |
| Share price at beginning of period  | 6.39  |
| Minimum intraday share price        | 5.00  |
| Maximum intraday share price        | 6.93  |
| Last share price                    | 5.80  |
| Performance over last 12 months (%) | -7.53 |



## Dividends

Following the pandemic and the invasion of Ukraine, Bankinter returned to normality in its quarterly dividend distribution policy in 2023. The three interim dividends paid out against profit for 2023 amounted to 0.362 euro per share, distributing a total of 326 million euros. This dividend distribution is a 63% increase on the 200 million euros paid in the three quarterly dividends in financial year 2022.

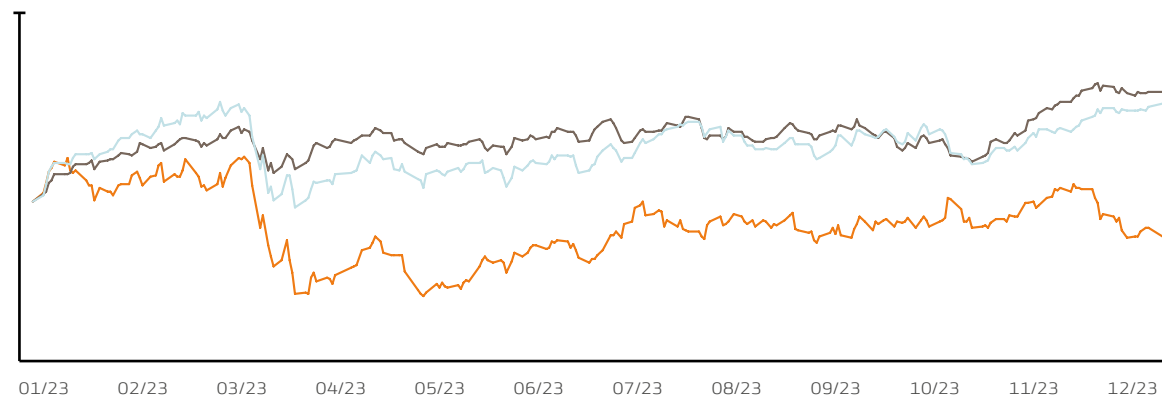
These interim dividends will be supplemented by the final dividend to be approved by the annual general meeting on the proposal of the board of directors.

Details of the distributed dividends charged to profit and loss for the period in 2023, excluding treasury shares held by the Bank, are shown in the table on dividend distribution.

## American Depositary Receipts (ADR)

Bankinter has a Level 1 ADR programme managed by Bank of New York-Mellon, with 1,768,345 ADRs outstanding at the end of 2023. This allows US residents to invest in foreign companies through a US dollar-denominated product and to receive dividend payments in their own currency.

Share price Relative change (%) last 12 months (Dec-23 base 100)



● IBEX35 ● Bankinter ● Eurostoxx Banca (Sx7P)

### Stock market ratios at 31/12/2023

|                                                      |             |
|------------------------------------------------------|-------------|
| Price/book value (times)                             | 0.98        |
| PER (price/earnings, times)                          | 6.31        |
| Dividend yield (%)                                   | 7.79        |
| Number of shareholders                               | 61,201      |
| Number of shares                                     | 898,866,154 |
| Number of shares of non-residents                    | 387,407,881 |
| Average daily trading volume (number of shares)      | 3,044,355   |
| Average daily trading volume (in thousands of euros) | 18,103.30   |

|                                               |           |
|-----------------------------------------------|-----------|
| Market capitalisation (in thousands of euros) | 5,209,828 |
|-----------------------------------------------|-----------|

### Distribution of dividends

| Deposit date | Dividend per share (euros) | No. of shares | Treasury shares | Shares with voting rights | Amount (euros)     | Corresponding year |
|--------------|----------------------------|---------------|-----------------|---------------------------|--------------------|--------------------|
| June-23      | 0.09199018                 | 898,866,154   | 200,000         | 898,666,154               | 82,668,461         | 2023               |
| Sept-23      | 0.12808265                 | 898,866,154   | 200,000         | 898,666,154               | 115,103,542        | 2023               |
| Dec-23       | 0.14220835                 | 898,866,154   | 200,000         | 898,666,154               | 127,797,831        | 2023               |
| <b>Total</b> | <b>0.36228118</b>          |               |                 |                           | <b>325,569,834</b> |                    |



# Shareholders' Office

## With transparency at the heart of everything we do

Through the **'You First'** programme, the bank's shareholders are the first to hear about things such as dividend payments, quarterly results and significant event notices about the bank published with the Spanish National Securities Market Commission (CNMV).

In addition to managing this programme, the Shareholders' Office is responsible for dealing with proposals and requests for clarification on the current or historical share price, the amounts and dates of dividend payments, preparing the content in this area for preparation of the corporate report and assisting with the arrangements for the annual general meeting.

The Office performs two other core tasks: generating internal information for managers and supervisors about shareholder composition and ensuring adherence to the Code of Conduct for the Securities Market, which the Bank's employees must observe with regard to Bankinter's actions.

With regard to trading and reporting processes, Bankinter operates in full harmony with the rest of the European markets, following the implementation in Spain of the reform of the securities clearing, settlement and registry system.

### Annual General Meeting

On 23 March 2023, the annual general meeting was held in mixed format, combining attendance in person and online. The quorum for participation was 73.5%, in line with previous years and with the average for Ibex 35 companies. There were no noteworthy incidents at the Annual General Meeting, which approved all of the items on the agenda with large majorities.





# Investor relations

## Continuous, high-quality information

Bankinter's relationship with its investors has always been guided by the principles of equality, rigour and transparency inherent to the bank's culture and required by regulators. Bankinter provides them with relevant and high-quality information about the performance of its business areas and its new strategies for each type of business and each geography. In 2023, some of the actions developed to fulfil this corporate commitment included:

- **Quarterly event (in January, April, July and October)** to present the Group's results to the investment community via webcast and teleconference. These are usually attended by between 150 and 200 national and international financial analysts and institutional investors.
- **Attendance at the main international conferences and seminars** organised by stock-market companies and investment banks, keeping in direct and close contact with all stakeholders, such as institutional investors, portfolio managers, financial analysts and private bankers.
- **Formal meetings online and/or in person** (around 300) with institutional investors and financial analysts, both individually and in groups, organised either by brokers or by the corporate access departments of the institutions.
- **Visits** and roadshows for current and potential investors in the world's financial capitals (such as New York, Los Angeles, London, Paris, Frankfurt and Zurich).

At 31 December 2023, 43% of the Bank's shares were held by non-residents and institutional investors. This percentage is slightly lower than in previous years.

### Information on sustainability

Investor Relations actively collaborates with the Sustainability area to communicate the Bank's metrics and strategies in relation to environmental, social and governance (ESG) criteria. The aim is to provide a consistent and consistently increasing flow of information to our stakeholders.

In recognition of its good sustainability management, the Bank was included in both the European and global versions of the prestigious Dow Jones Sustainability Index for the sixth consecutive year in 2023. Bankinter also appears as one of the most sustainable companies in Spain and in the financial sector on a global scale in various sustainability rankings, reports and indices prepared by specialised agencies and proxy advisors (firms that advise institutional investors on the management of voting at shareholders' meetings).





# Rating

## Further improvement in the rating of the bank's assets

Bankinter's ability to improve its capital adequacy, liquidity, asset quality and profitability ratios was confirmed again in 2023, reducing its financing costs in capital markets. Last year, the bank obtained an outlook review for its rating from the agency DBRS Morningstar, which upgraded its long-term debt to 'positive'.

Bankinter's credit ratings as of 31 December 2023 were as follows:

### Moody's Ratings Limited.

The long-term issuer credit rating is Baa1, the short-term rating is P-2, and the outlook on both ratings remains at

**stable**

### S&P Global Ratings.

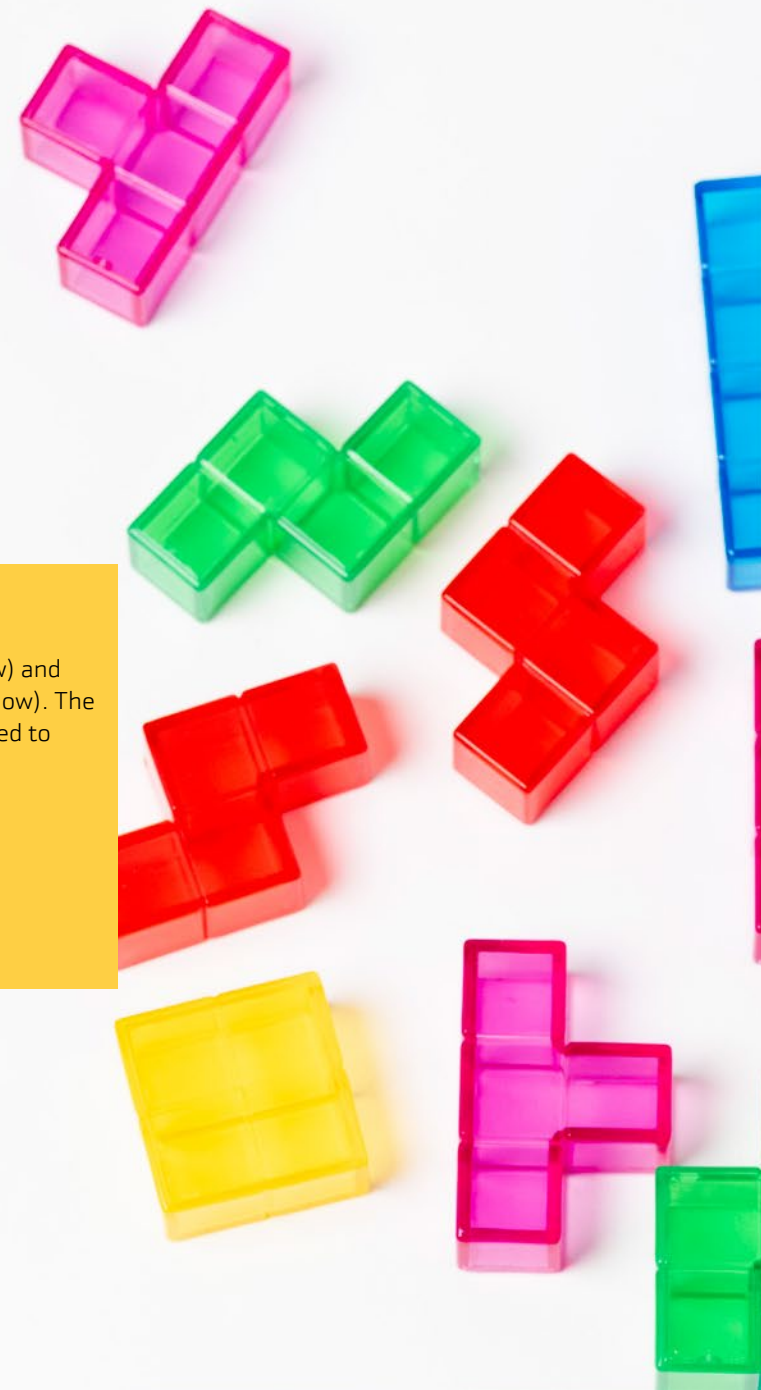
The long-term issuer rating improved to A- and the short-term rating remained at A-2. Both with an outlook of

**stable**

### DBRS Morningstar.

Long term rating is A (low) and short term rating is R-1 (low). The outlook has been upgraded to

**positive**





# Own funds

## The bank's capital requirements reflect its excellent risk profile

Uncertainty around the macro-financial situation of the global and Spanish economy remained high in 2023, with inflation, central bank actions and geopolitical tensions being the main focal points, exacerbated by the new conflict in the Middle East.

The weakness of some eurozone economies and the expectation of restrictive long-term monetary policy undermined prospects for growth and reaffirmed the downside risks. However, the tightening of monetary policy helped to moderate prices and stabilised the risks associated with high inflation. Vulnerabilities related to high levels of public debt and the financial situation of companies and households persisted, although those related to financial intermediation capacity decreased.

2023 was also marked by problems at some American regional banks, with the bankruptcy of Silicon Valley Bank being the most significant example, and by the acquisition of Credit Suisse by UBS, which generated substantial volatility in the market for subordinated debt.

In the European banking system, in its December 2023 report, the European Banking Authority (EBA) recognised that the sector had demonstrated its resilience amid banking turbulence and that capitalisation remained high. The high levels of interest rates facilitated increased margins and improved results for entities. But rising rates also create risks in some areas. Asset quality is robust and liquidity is still abundant with a trend to return to normal.

In its Financial Stability Report for October 2023, Banco de España aligned itself with the European Banking Authority's opinion of the resilience of the sector. However, it highlighted that, although no problems are foreseen for the generation of capital and liquidity in its central scenario for the next year, loss absorption could be required if the risks identified materialise. Banco de España recommends that entities should enhance their resilience to potential adverse scenarios by taking advantage of the current favourable profitability levels.





Throughout the year, Bankinter's business model and its prudent risk policy and management of its own funds enabled the Group to operate with comfortable levels of high quality capital that are well above the requirements of the regulatory authorities and supervisors, despite the current economic environment.

## Efficient capital management

In 2023, active and efficient management of its capital remained one of Bankinter's strategic priorities. The objective is to strengthen its capital adequacy position, fostering the flow of credit to households and companies without affecting its capital ratios and preserving its usual 50% pay out level.

The Group's highest-quality capital, represented by the CET1 ratio (the ratio of Common Equity Tier 1 capital to risk-weighted assets), was 12.30% at the end of the year, 44 basis points above the previous year's ratio. This increase was possible despite the growth in lending, the temporary windfall tax and the impact of the transaction in the fourth quarter to set up the consumer credit partnership in Portugal.

Strong results and maintenance of the risk profile were key factors in the positive trend in capital adequacy, given the worsening macroeconomic conditions. The positive result for the year allowed the retention of 118 basis points of capital after applying the Group's traditional dividend policy (50% of profit).

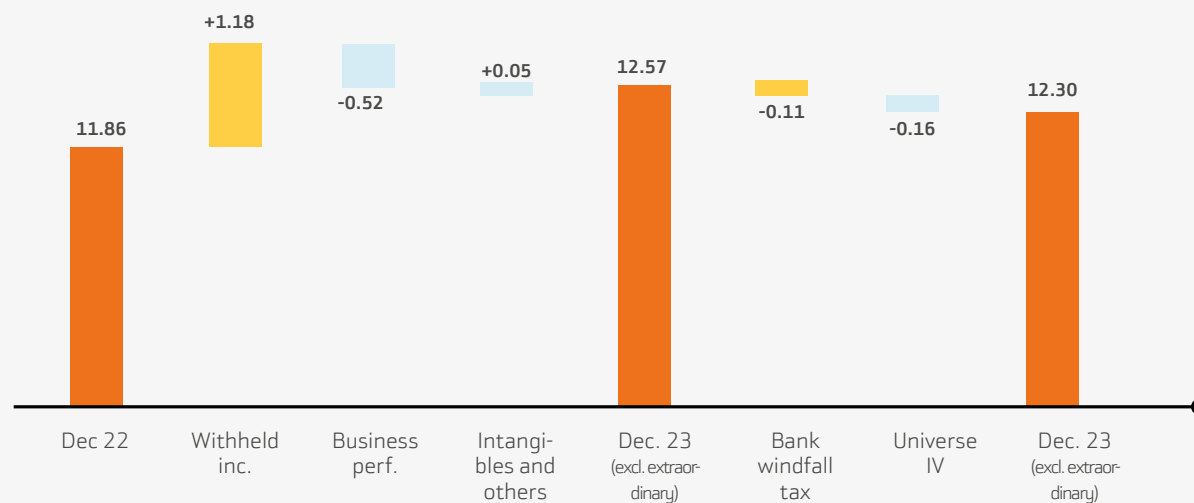
Demand for credit was satisfactory. Investment in companies experienced strong growth, both nationally and internationally. Growth in the mortgage business (which is mitigated for capital purposes due to collateral) continued to outstrip the sector. There was growth in all other activities. As a result, the performance of the business cut 52 basis points from the CET1 ratio, with a sharp increase in capital consumption for operational risk due to the growth in ordinary income (-20 basis points).

The other items that comprise CET1, including those related to portfolios measured at fair value, generated 5 basis points of CET1. Two extraordinary events

took place during the year: the banking windfall tax and the new consumer credit joint venture in Portugal, which consumed 11 and 16 basis points of CET1, respectively. The CET1 ratio would be 12.57% without these impact.

At the end of the year, CET1 was 457 basis points (equivalent to 1,785 million euros) above the minimum requirement for common capital (CET1%) set by the European Central Bank (ECB) for Bankinter Group in 2023, which was set at 7.726%. The total capital ratio was 16.09%, 430 basis points (1,679 million euros) higher than the 11.79% requirement.

Variations in the CET1 ratio





## Supervisory assessment

In November 2023, Bankinter was notified by the ECB of the results of the Supervisory Evaluation and Review Process (SREP) and the minimum capital requirements for 2024, with Bankinter's risk profile being unchanged compared to previous years and the entity continuing to be one of the Spanish and European banks with the lowest capital requirements.

At the consolidated level, the SREP requirement is for Bankinter Group to maintain a minimum CET1 ratio of 7.802% and a minimum total capital ratio of 11.91%. Both of these requirements include a Pillar 2 (P2R) requirement of 1.39%, of which 0.09% is determined based on the ECB's expectations of prudent provisions. The Pillar 2 requirement reflects the entity's strong risk profile, as it is the fourth lowest of all those set for banks under ECB supervision.

In addition to the annual ECB assessment, which enables it to determine the capital requirements banks must maintain to cope with potential adverse situations, the EBA, in collaboration with the ECB and the European Systemic Risk Board (ESRB), performs stress tests every two years on the main banks in the European banking sector using a very adverse hypothetical macroeconomic scenario.

Bankinter once again obtained the best rating for a Spanish bank in the 2023 test. These exercises help us understand the capacity of banks to absorb losses and sustain their capital adequacy in the event of a very serious economic crisis. According to the results published by the EBA, the proposed stress scenario would have an impact, or capital depletion, of 165 basis points on Bankinter, well below the average for the seventy banks involved in the exercise, which was 459 basis points. This means Bankinter would suffer the least impact on its capital adequacy of any

Spanish bank in the stress scenario, and the fifth lowest impact of all the European banks analysed. This reaffirms Bankinter's leadership from the 2021 stress tests and confirms its excellent capital adequacy and the robustness of its balance sheet.

In December 2023, Bankinter received notification of the Minimum Requirement for Eligible Liabilities (MREL) set by the Single Resolution Board for 2024. This decision sets a total binding MREL requirement - which must be met from 1 January 2024 - of 18.29% of its total risk exposure amount (TREA) and 5.31% of its leverage ratio exposure (LRE). It also establishes that, on 1 June 2024, subordinated instruments must be used to meet the MREL equivalent to 16.27% of TREA and 6.45% of LRE. As of that date, the total MREL requirement at the consolidated level is 18.29% of TREA and 6.45% of LRE.

Throughout 2023, the Group continued to build the buffer of eligible liabilities to comply with the MREL through organic capital generation, issuance of eligible instruments and balance sheet management. At year-end 2022, the level of MREL-eligible instruments stood at 22.64% (20.14% excluding the capital to be dedicated to cover the combined buffer requirement of 2.5% of risk-weighted assets), and 7.88% of the leverage ratio exposure.

**Throughout 2023, the Group continued to build the buffer of eligible liabilities to comply with the MREL through organic capital generation, issuance of eligible instruments and balance sheet management.**

## Objectives

For 2024, Bankinter is still seeking to generate organic capital growth so that it can operate with comfortable ratios higher than those established by the supervisor and maintain its normal dividend policy, i.e. a cash distribution of 50% of profits.

At the same time, one of Bankinter's main objectives continues to be to provide credit to the real economy and to contribute to economic development and to manage the risk-return trade-off in such a way as to enable it to maintain its capital adequacy, profitability and risk profile.

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# Businesses in Spain

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# Corporate Banking

## Excellent results, with improvements in customer acquisition and quality

The results of the Corporate Banking business were excellent in 2023. Gross operating income grew significantly (+46.15%), reinforcing the area's leadership in contributing to the Group's income, and customer deposits also increased at an excellent pace (+19.28%), driven by a strategy of selective remuneration. Fee and commission income performed very positively, increasing by 10% compared to 2022. Lending increased by less than expected, as higher interest rates weakened the appetite of companies to invest. However, the results outperformed the market and the objective of increasing market share was, therefore, achieved.

These positive developments are explained by exogenous and endogenous factors. The increase in interest rates by the European Central Bank helped improve the main indicators for the business, favouring an increase in net interest income from business financing, in particular.

At the same time, intense marketing activity and the excellent results of the projects launched in previous years also made a significant contribution to the satisfactory figures for the year. Transactional business (such as factoring, reverse factoring and tax payments) made a strong contribution, reaping the rewards of investment in recent years, as did international business, particularly in lending.

The effort to acquire business - which grew by around 9% - merits special mention. The acquisition of eligible companies (those with turnover of over one million euros) was outstanding, increasing by 41% compared to 2022. These growth rates are partly due to the 'Business Networks' programme, which has enabled the entity to learn more about its customers and potential customers, manage available public information more efficiently and detect business opportunities over the last two years.

The Corporate Plan - an automatic tool that differentiates between customers based on their relationship with the bank (the greater the connection, the lower the fees and commission) - became more established in 2023, further reinforcing the customer acquisition policy.

**The effort to acquire business - which grew by around 9% - merits special mention.**



## Perceptions of quality

Another very significant feature in the year was the notable improvement in the quality perceived by our customers in Corporate Banking, Mid-corporate Banking and SMEs. This is particularly significant given the backdrop last year, with increasing interest rates and the resulting increase in financing costs for companies. In this difficult environment, our increase in customer satisfaction is the result of our strategy of always working closely with customers on what concerns them.

Four projects from 2023 that are at different stages of maturity are also worth mentioning:

- Migration to the new corporate banking website, which was almost completed during the year, with major improvements in its operation after investment of around 15 million euros.
- The development of Supply Chain Finance, a business platform for international working capital that offers a service that really makes a difference.
- Launch of a project to understand how sustainability (ESG) principles will influence business lending and, by extension, the business of Corporate Banking.
- Advice on Next Generation European funds. In 2023, 39,900 commercial actions took place to inform companies about the opportunities presented by these funds and to offer them financing, although the funds are not yet arriving smoothly.

The period was very satisfactory in terms of non-performing loans. The balance of non-performing loans increased but by less than forecast. This was good news considering the unfavourable circumstances for companies due to the higher cost of their financing. The bank remains on the alert due to the uncertainty about the path of interest rates.

## Segments

By business segments, Corporate Banking played the leading role during the year, in terms of both lending and customer deposits. Its results in terms of risk were also excellent, with the credit rating of new customers being higher than that of the portfolio as a whole. The Mid-corporate Banking business stood out in terms of commercial activity, fees and commission and profitability, although lending was lower than expected. The least positive aspect in the SME segment was also the lack of growth in lending. However, it was a good year from the point of view of customer acquisition, fees and commission, and, above all, quality. The quality indexes for the SME business fell in 2022, but the previous levels were more than recovered in 2023.

The results for Partner Banking - a unique business model in the sector based on agreements with large companies to offer financial services to their employees - also stood out. Partner Banking celebrated its thirtieth birthday in 2023, consolidating its position as a profitable service that makes a difference. Its gross operating income increased significantly and customer acquisition increased by 20%. By product, mortgages performed reasonably considering the difficulties in the market due to the increase in the cost of money.

**By business segments, Corporate Banking played the leading role during the year, in terms of both lending and customer deposits.**

Expectations about what might happen in 2024 depend on interest rates and are, therefore, rather uncertain. It is possible to project that results will be similar to those for 2023, and the bank is confident there will be an improvement in fees and commission due to its commitment to transactional and international business lines. The outlook for lending is that there will be greater growth, especially if interest rates do come down. European funds can also help in this regard. Another promising aspect is activity related to ESG principles. Ultimately, the objective of Corporate Banking is to offer products and services that enable us to win market share with high risk quality, as has happened over recent years.



# Commercial Retail Banking

## Growth in the volume of assets under management and customer acquisition

Bankinter's Commercial Retail Banking activity (focused on individuals) performed strongly in 2023. This was reflected in a 37% increase in its gross operating income, well above its objective. This resulted in Commercial Retail Banking accounting for more than its usual third of the entity's gross operating income, contributing 37%.

In addition to marketing efforts, these strong results are the fruit of the reorganisation of this business line in 2021 to boost productivity and offer better service, profiling customers according to their potential and specific financial needs.

This business is now subdivided into two segments: Retail Banking (previously Personal Banking, Individual Banking and Foreign Banking), which was particularly satisfactory in 2023, with gross operating income of 732 million euros (+57%); and Wealth Management (which encompasses Private Banking, Bankinter Luxembourg and the Agent Network), with income of 243 million.

One of the major successes in the year was customer acquisition, with 123,000 new customers, the most ever achieved in a single year. At 31 December, there were more than 900,000 active Commercial Retail Banking customers. Of these, 867,104 were in Retail and 51,984 in Wealth Management, with growth of 6.4% and 8.4%, respectively.

Wealth Management, the segment that includes customers with the most assets, enjoyed a prolific year, with 57,800 million euros of assets under management compared to 51,100 million in the previous year. The assets under management in Retail Banking, grouping all other customers, amounted to 45,600 million euros, 10.1% higher than at the close of 2022.

**Of these two segments into which this business is now subdivided, the performance of Retail Banking was particularly satisfactory in 2023, with gross operating income of 732 million euros (+57%).**



## Products

Analysing by product lines, Bankinter gained market share in mortgages, suffering a smaller decline than its competitors in this business, which was hit hard by high interest rates, which resulted in lower demand for loans and an increase in repayment. Mortgage production stood at 2,876 million euros, with an outstanding balance at year-end 2023 of 22,988 million.

The salary account, another of Bankinter's star products, continued to deliver excellent results for the bank, having continuously improved for more than a decade. Last year, 56,800 new salary accounts were opened, 4% more than in 2022. One innovation was the possibility of opening two fee-free accounts to accompany it.

Bankinter also launched a fee-free digital account at the start of the year with an APR of 1% on balances up to 25,000 euros, 1.25% between 25,000 and 50,000, and 1.50% over 50,000 euros. This account, which can only be opened online, features a fee-free debit card and offers the same functionality as a conventional account.

In terms of consumer credit, operations amounting to 871 million euros were arranged during the year, bringing the portfolio to 1,600 million euros at year-end, 12% higher than in 2022.

Bankinter's offering in the field of alternative investment continues to have an extraordinary reception among its customers - particularly high net worth customers - enabling a portion of the investment to be directed towards assets in the real economy, in sectors as diverse as renewable energies, infrastructure, logistics, student accommodation and commercial premises. Bankinter already offers 23 alternative loans vehicles, with committed capital of 4,808.5 million.

## Objectives

The objectives of Commercial Retail Banking for 2024 include increasing gross operating income by over 10%, largely through advice and a recovery in mortgage activity, once interest rates have stabilised.

A number of initiatives are expected to contribute to this. These include: our Dual mortgage, which allows customers to define what percentage of their loan will be at a variable interest rate and what portion will be fixed rate from the outset; the Broker 0 service, which offers free trading in the Spanish market through the securities lending service, with the possibility of a credit for the returns Bankinter makes from the loan of these instruments; and the Single Insurance Account, which groups all premiums and divides their payment into monthly instalments.

**Last year, 56,800 new salary accounts were opened, 4% more than in 2022.**



# Wealth Management

## Flexibility to continue growing in customers and funds

The Wealth Management area adapted quickly to the new market conditions in 2023. Against the backdrop of higher interest rates in Europe and the United States, the bank launched fixed income to maturity portfolios and funds to complete its offering. This flexibility facilitated an increase in customers and total funds.

Record figures were achieved for investment funds during the year, reaching 18,925 million euros, a 20% increase on the previous year.

There was also a significant increase of 3,230 million in new assets. Total assets under management reached 57,800 million euros, 6,600 million higher than in 2022.



Assets under  
management  
(in millions of euros)

# +13%

| 2023   | 2022   |
|--------|--------|
| 57,763 | 51,127 |



Active customers  
(no. of customers)

# +8.2%

| 2023   | 2022   |
|--------|--------|
| 51,984 | 48,056 |



Total customer funds  
(in millions of euro)

# +9.5%

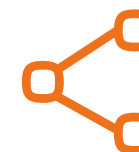
| 2023   | 2022   |
|--------|--------|
| 38,241 | 34,939 |



Customer deposits  
(in millions of euro)

# -6.1%

| 2023   | 2022   |
|--------|--------|
| 14,410 | 13,482 |



Customer loans  
(in millions of euro)

# +0.8%

| 2023  | 2022  |
|-------|-------|
| 5,695 | 5,650 |

# Retail Banking

## 6.4% improvement in quality perceived by customers

The Retail Banking area continued developing its service strategy in 2023, enabling a very positive increase in the quality perceived by our customers. As a result, there was significant growth in gross operating income, active customers and assets under management during the year.

The number of customers increased to 867,104, up 6.4% on the previous year. This increase was mainly due to the 117,467 customers onboarded (19.4% more) and linkage to the salary account. The assets of Retail Banking customers increased by 9.5% compared to 2022, to 45,571 million euros.

Continuing the bank's commitment to innovation, we launched the Dual mortgage in 2023. This is a unique and innovative product that lets customers decide what portion of their loan will be at a variable-interest rate and what portion will be fixed rate when they arrange the mortgage.

The assets of Retail Banking customers increased by 9.5% compared to 2022, to 45,571 million euros.



Active customers  
(no. of customers)

+6.4%

| 2023    | 2022    |
|---------|---------|
| 867,104 | 814,932 |



Total customer funds  
(in millions of euro)

+8.2%

| 2023   | 2022   |
|--------|--------|
| 39,826 | 36,792 |



Customer deposits  
(in millions of euro)

+2.2%

| 2023   | 2022   |
|--------|--------|
| 14,410 | 13,482 |



Customer loans  
(in millions of euro)

+3.3%

| 2023   | 2022   |
|--------|--------|
| 22,996 | 23,777 |



# Large-corporate Banking

## Another record year due to higher rates and increased fees and commission

2023 was another record year for Large-corporate Banking. The generation of gross operating income increased to 476.9 million euros, with profit before tax (PBT) of 419 million, making this business segment the biggest contributor to the entity's results. These results were driven by the increase in interest rates and supported by the excellent performance of fees and commission, which grew by 7.79%.

The balance sheet showed a robust increase, clearly exceeding the objectives set. Customer deposits increased by 3,036 million euros and lending grew by 597 million, due largely to new loans, which rose by 29% compared to the previous year.

The area also continued its excellent rate of customer acquisition, with 1,463 new customers added in various geographies.

**Pre-tax profit was 419 million euros, making this business segment the biggest contributor to the entity's results.**



Active customers  
(no. of customers)

+7.4%

| 2023  | 2022  |
|-------|-------|
| 7,168 | 6,676 |



Total customer funds  
(in millions of euro)

+29.87%

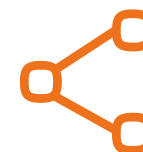
| 2023      | 2022     |
|-----------|----------|
| 11,488.65 | 8,846.06 |



Customer deposits  
(in millions of euro)

+38.78%

| 2023      | 2022     |
|-----------|----------|
| 10,862.85 | 7,827.32 |



Customer loans  
(in millions of euro)

+4.12%

| 2023      | 2022      |
|-----------|-----------|
| 15,077.30 | 14,480.53 |

|                      |
|----------------------|
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# Mid-corporate Banking

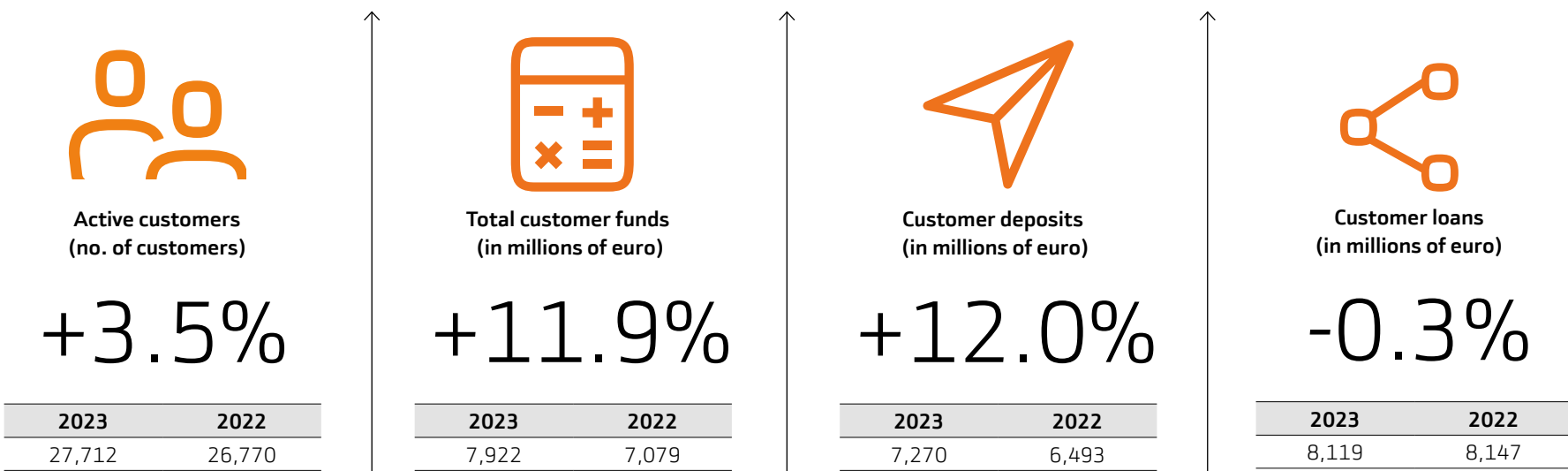
## Gross operating income rockets due to interest and fees and commission

Gross operating income in the Mid-corporate Banking business improved by 57.2% during the year. This spectacular increase was due to higher interest rates, which improved net interest income by 77.3%, and better performance by fee and commission income, which was up by 12%.

Pre-tax profit increased by 100.2% and contributed 247.5 million euros to the Bank's income statement. Total funds reached 7,922 million euros (+12%), with growth in both intermediation balances (+11.3%) and customer deposits (+12%).

There were 27,712 Mid-corporate Banking customers at 31 December 2023, almost a thousand more than at the end of the previous reporting period.

**Pre-tax profit increased by 100.2% and contributed 247.5 million euros to the Bank's income statement.**





# SMEs

## Encouraging reception for the Bankinter Corporate Plan

In the SME area, the year was characterised by intense commercial activity, which resulted in 11% growth in fee and commission income. Total revenues increased by 47%, gross operating income reached 326 million euros and profit before tax was 180 million euros.

One of the highlights of the year was the excellent reception received by the Bankinter Corporate Plan, a transparent and progressive product that fosters customer loyalty. At the end of 2023, 58% of our customers had signed up, demonstrating its potential. The Bankinter Corporate Plan, which is being promoted by all the business lines in the area, will become even more established in 2024.

At 31 December, there were 79,010 SME customers, with 6,160 million euros of funds under management and lending of 6,123 million.

One of the highlights of the year was the excellent reception received by the Bankinter Corporate Plan, a transparent and progressive product that fosters customer loyalty.



Active customers  
(no. of customers)

+1.4%

| 2023   | 2022   |
|--------|--------|
| 79,010 | 77,913 |



Total customer funds  
(in millions of euro)

+3.6%

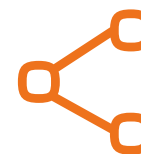
| 2023  | 2022  |
|-------|-------|
| 6,160 | 5,944 |



Customer deposits  
(in millions of euro)

+0.2%

| 2023  | 2022  |
|-------|-------|
| 5,520 | 5,510 |



Customer loans  
(in millions of euro)

-0.8%

| 2023  | 2022  |
|-------|-------|
| 6,123 | 6,073 |



# Bankinter Investment

## The first fund of funds for delegated management of alternative investments

Bankinter Investment has been developing its alternative investment platform in the Iberian peninsula for seven years, resulting in the creation of Bankinter Investment SGEIC, the fund management company for the Group's alternative investment vehicles, in 2022.

This new fund manager was based on the conviction that a percentage of any investor's savings should be invested in real or alternative assets. Its core objectives therefore include broadening the range of products and services in the field of alternative investment, while making them accessible to a much wider segment of households and savers.

Following the mandatory approval from the Spanish National Securities Market Commission, the first fund of funds for delegated management of alternative investments registered in Spain was launched in the first quarter of 2023, with minimum investments of more than 10,000 euros. This resulted in the creation of Bankinter Investment Gestión Alternativa I, FCR, a vehicle in which more than 4,000 families invested last year, which will continue to be marketed in both Spain and Portugal throughout 2024.

It has a long-term investment policy, seeking to optimise the risk-return ratio through both sector and geographical diversification. This fund of funds aims to gain exposure in sectors as diverse as infrastructure, renewable energy, technology, student accommodation, hotels, logistics, residential rentals, commercial spaces, agriculture and the environment.

This will be implemented in line with the strategy Bankinter Investment has pursued in its more than seven years of activity: investment only in in-house products; exclusive and long-term alliances with the best expert partner in the sector; co-investment by Bankinter, the partner and customers; and rigorous monitoring by the Bank of the performance of the investment vehicles.

Bankinter Investment has also continued to launch single-theme loans vehicles aimed at institutional and high-net-worth investors. Examples of this include:

- **Palatino Residencial.** This was set up with the idea of investing in residential rental assets (whether built or to be developed), both free-market and affordable housing, with a particular focus on the Madrid region. Remaining faithful to the entity's DNA, an alliance was formed with an extraordinary partner - Vía Ágora - whose chairman and founding partner, Juan Antonio Gómez Pintado, has decades of experience and is highly regarded in the sector.

**The first fund of funds of delegated management of alternative investments registered in Spain was launched in the first quarter of 2023, with minimum investment of at least 10,000 euros.**





▪ **ORES Germany.** This has invested in a diversified portfolio of commercial assets in Europe's major economy. The assets are operated by leading entities under long-term lease contracts. The partner in this investment is once again the leading Portuguese group Sonae Sierra, with which Bankinter Investment has partnered in other commercial asset vehicles in Spain and Portugal since 2016.

Another highlight is the provision of investment structures at the vehicle level and co-investing at the asset level for the most sophisticated customers and those with the most assets, enabling them to optimise the overall management of their assets.

## Real impact

Bankinter Investment has launched 23 loans vehicles in the seven years it has existed, with over 4,500 million euros of capital committed by investors and almost 8,000 million euros of assets under management. The main investments have been in the real estate sector (hotels, commercial premises, logistics, student accommodation and residential property), followed by renewable energy, infrastructure, venture capital, the environment and technology.

Bankinter Investment is convinced of the benefits of alternative assets and the management model it has implemented for them, as they provide greater stability and predictability in investor returns and mitigate the volatility engendered by the current macroeconomic and geopolitical environment by decoupling from financial markets.

Bankinter Investment's vocation is to optimise the risk-return ratio of its customers' investments, and to contribute to real, significant and tangible impact on the development of society, through investment that facilitates projects that contribute to solving the most pressing current and future social challenges.

There are many examples of this, such as the more than 3,000 million euros invested in renewable energy to contribute to energy independence in Spain and Portugal, retention of the talent of our students (future professionals) through the development of an accommodation platform, development of modern communications, water and health infrastructure in the countries, and the thousands of jobs created in the hotel, logistics and commercial areas.

Bankinter Investment is committed to a positive transformation of our society and creating a legacy for the future.

# 23

investment vehicles  
launched in seven years

Capital committed by  
investors

€4.5 bn

Assets under  
management

€8 bn



# International Banking

## Growth in a difficult geopolitical environment

Despite the difficult economic and geopolitical environment, the average lending of the International Banking business reached 8,813 million euros, an increase of 10.8%, compared to 24.7% in the previous year. During the year, there was significant growth in the number of simple international payments and collections brokered (+5.45%) and an improvement in the share of documentary credit for both imports (11.8%) and exports (5.8%). The gross operating income of the area was 405.9 million euros (+53.0%), contributing 33.38% to the total gross operating income of Corporate Banking.

For 2024, International Banking is committed to the *Supply Chain Finance* tool, which advances payment of invoices and guarantees payment obligations to international suppliers, in euros or other convertible currencies. Support for direct foreign investment by Spanish and Portuguese companies is complemented by a highly specialised service for the issuance of international bank guarantees.

In 2023, Bankinter joined FCI (*Factor Chain International*), a network of correspondents through whose members 65% of global factoring takes place, offering secure payment options for customers in almost a hundred countries on five continents.

**For 2024, International Banking is committed to the *Supply Chain Finance* tool, which advances payment of invoices and guarantees payment obligations to international suppliers, in euros or any other convertible currency.**



Average investment balance  
(in millions of euros)

8,813



Gross operating income  
(in millions of euros)

405.9  
+53.0%



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# Capital Markets

## Significant liquidity and a sharp increase in assets under management

Bankinter holds a strong liquidity position. Customer funds represented 106% of the Group's lending at the end of 2023. Bankinter went to the market on three occasions during the year, with great success, issuing 1,300 million euros of bonds.

Treasury continued to answer our customers' needs in managing their foreign exchange, fixed income and interest rate derivatives transactions.

The volume of investment funds managed by Bankinter Asset Management rose to 12,389 million euros at 31 December, 14% higher than in 2022. The majority of managed funds performed excellently in comparison to their competitors.

Volume of investment funds  
managed by Bankinter Asset  
Management.

€12.4 bn

+14%

# Bankinter Asset Management

## New products receive a warm welcome

The increase in interest rates in 2023 enabled the launch of fixed-income investment products that were well received by customers. Seven funds were launched in the first quarter, with portfolio maturities ranging from one to three years, raising 891 million euros.

At the end of the year, Bankinter Asset Management expanded its range of premium funds with a short and medium-term fixed income product. This was very well received, attracting 770 million euros in just two months.

The good year for the international financial markets - for both equities and bonds - made it possible to recoup all the losses suffered in 2022 in many cases, particularly for higher risk products.

Total assets - including managed and advised products - grew by 17%, to 22,000 million euros.

# Investment Funds

## Record portfolio and consolidation of revenue

The fixed-income and equity markets experienced significant growth in Europe and the United States during 2023, recouping the losses from the previous year. This recovery, together with intense marketing activity, resulted in a very significant increase in the bank's fund portfolio, with the volume increasing by 20%, from 24,000 million to 29,000 million euros.

The business achieved very high revenue (190 million), although this was somewhat lower than in 2022, as no success fees were charged in 2023 to compensate for the poor performance of the market in the previous year.

The Bankinter Premium fixed income fund was launched to enrich our portfolio and adapt it for different investment profiles and take advantage of market opportunities, raising 700 million euros in the first few weeks.



Total portfolio value deposited  
(in millions of euros)

+20%

| 2023   | 2022   |
|--------|--------|
| 28,932 | 24,133 |



Income Ex VCF  
(in thousands of euros)

-4.3%

| 2023    | 2022    |
|---------|---------|
| 189,649 | 198,255 |



# Fixed Income

## Record growth and development of the business

Investors continued to find opportunities in direct fixed income, due to the changes in interest rates and continuing the trend that began at the end of 2022. The significant restart of activity in buying Treasury bills is particularly noteworthy.

The deposited portfolio increased by 54% during the year, to 7,360 million euros. Revenue increased by a record 50%, to 19.6 million, making this business one of the bank's fastest growing in 2023.

It was a period of intensive work on the development of fixed income, in order to boost the quality of customer service.

The deposited portfolio increased by 54% during the year, to 7,360 million euros.



Total cash value deposited  
(in millions of euros)  
**+54%**

| 2023  | 2022  |
|-------|-------|
| 7,360 | 4,786 |



Revenue  
(interest+commission) ExSocimi  
(thousands of euros)  
**+50%**

| 2023   | 2022   |
|--------|--------|
| 19,633 | 13,127 |



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# Bankinter Consumer Finance

## A step forward in Portugal and new customer services

Last year, the bank's specialist consumer credit subsidiary acquired 50% of Universo, a financial services entity belonging to the Portuguese group Sonae. At the time of the purchase, Universo had more than one million customers and lending of 400 million euros. This joint venture created the largest operator in this business segment.

Another milestone for Bankinter Consumer Finance in 2023 was the launch of Bkswipe. This is a native application where users can arrange a current account and an associated debit card, and can divide up any payments made in the last three months and pay them off in instalments quickly and easily.

Avant Money, the subsidiary in Ireland, began marketing mortgages directly (eliminating brokers), giving customers a new experience with a significant reduction in the time for mortgage approvals.

**Users of Bkswipe get a current account and an associated debit card and can divide up payments up to three months old into instalments quickly and easily.**

**Significant improvements were made to the processes for arranging life and home insurance, completing the bank's digital platform.**

## Insurance and pension plans

### The Single Insurance Account improves the bank's offering

The launch of the Single Insurance Account was a substantial improvement of the bank's offering in 2023, enabling payment of premiums in monthly instalments at no cost, with significant benefits for customers who arrange their insurance with Bankinter.

Significant improvements were made to the processes for arranging life and home insurance, completing the bank's digital platform.

At the end of the year, the bank had record assets under management in pension plans and voluntary social welfare entities, at more than 3,250 million euros. We sold more than 50 million euros in savings insurance premiums to our customers.

# Agents Network

## Active loan book and sharp rise in profits

The Agent Network, comprising over 350 professionals with their own offices who partner with Bankinter to offer financial services, contributed 79 million euros to the bank's gross operating income and 53 million to its pre-tax profit last year, up 16% and 21%, respectively.

Levels of activity in the loan book continued to be very good, with lending of 64 million euros, 22 million of which corresponded to mortgages. The profitability of the portfolio was more than 4.30% as a result of higher interest rates and effective management of pricing.

Controlled funds developed positively, increasing by 8.5%. Brokerage revenue improved by 18%, due to greater generation of fees and commission from investment fund (+23%) and fixed income (+41%) activity, as well as cost containment, which improved by 1%.

**Controlled funds developed positively, increasing by 8.5%.**



Active customers  
(no. of customers)

+4.0%

| 2023   | 2022   |
|--------|--------|
| 43,375 | 41,634 |



Total customer funds  
(in millions of euro)

+8.5%

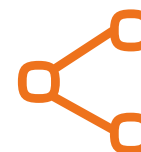
| 2023   | 2022   |
|--------|--------|
| 12,866 | 11,855 |



Customer deposits  
(in millions of euro)

-17.3%

| 2023  | 2022  |
|-------|-------|
| 2,719 | 3,289 |



Customer loans  
(in millions of euro)

-5.6%

| 2023  | 2022  |
|-------|-------|
| 1,886 | 1,997 |



# Partner Banking

## Thirty years of a unique activity

This unique Bankinter activity has now been operating for thirty years. It is structured around partnership agreements with large companies, where the bank creates virtual branches to develop made-to-measure financial products and services aimed at employees, customers and suppliers. The earnings from this activity are distributed between the two parties.

The highlights in 2023 were new mortgages, loans and lending in Commercial Retail Banking, which were 12.1% higher than the previous year, at 471 million euros. At 31 December, lending for these products was 2,044 million, up 8% compared to 2022.

Customer acquisition achieved a new record, at 5,866 (+15%), due mainly to the incorporation of 13 major new partners. Lending in the institutional business increased by over 40%.

**The highlights in 2023 were new mortgages, loans and lending in Commercial Retail Banking, which were 12.1% higher than the previous year, at 471 million euros.**



Active customers  
(no. of customers)

+5.3%

| 2023   | 2022   |
|--------|--------|
| 47,910 | 45,480 |



Total customer funds  
(in millions of euro)

+13.7%

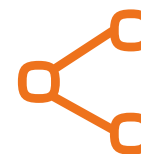
| 2023    | 2022    |
|---------|---------|
| 7,475.8 | 6,574.5 |



Customer deposits  
(in millions of euro)

+1.0%

| 2023    | 2022    |
|---------|---------|
| 4,516.4 | 4,473.0 |



Customer loans  
(in millions of euro)

+3.0%

| 2023    | 2022    |
|---------|---------|
| 3,397.8 | 3,299.2 |



# Remote Network/Telephone Banking

## Focus on commercial management of value products

Telephone Banking continued developing its model focused on commercial management of customers during 2023. The role of remote advisers became more important, with greater autonomy in terms of operations and the contracting of products, always in coordination and communication with the branch network.

The specialist teams continued to focus on managing and retaining value products (investment funds, pensions, equities, insurance, mortgages, asset renewals, comprehensive payment management, transactional business and international business) and improving their processes, enabling them to become more efficient in supporting the website and app.

At year-end, the virtual assistant had a resolution rate of 88%, a 17 point improvement on 2022.

Three million calls were handled. Of these, 1.7 million were initiated by customers or potential customers, with a service level of 93%, and 1.3 million were started by the remote advisers and specialists for marketing and management purposes. 80% of customers said they were satisfied with the service provided, 65% would recommend it and 86% said their issue had been resolved at the time.

**At year-end, the virtual assistant had a resolution rate of 88%, a 17 point improvement on 2022.**

| Telephone Banking                                              |                                                                                     |              |
|----------------------------------------------------------------|-------------------------------------------------------------------------------------|--------------|
| Customer assistance to Personal and Private Banking customers. | 8.00 to 22.00h Monday to Saturday (except bank holidays)                            |              |
| Individual Retail Banking                                      | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 91 657 88 00 |
| Insurance Specialists / Commercial Insurance                   | 09.00 to 18.00h Monday to Friday (except bank holidays)                             |              |
| Asset Specialists                                              | 9.00 to 18.00h Monday to Friday (except bank holidays)                              |              |
| Assistance in English                                          | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 91 657 88 01 |
| Assistance in Catalan                                          | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 93 410 84 85 |
| Customer Service support                                       | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 900 802 081  |
| Technical web assistance (particulares.com)                    | 8.00 to 22.00h Monday to Friday and Saturdays 9.00 to 15.00h (except bank holidays) | 91 657 88 69 |
| Investment and stock exchange specialists                      | 8.00 to 22.00h Monday to Friday (including bank holidays if markets are operating)  | 91 657 88 01 |
| International business specialists                             | 8.00 to 17.00h Monday to Friday (except bank holidays)                              | 91 050 00 96 |
| Corporate Telephone Banking                                    | 8.00 to 18.00h Monday to Thursday and Friday 8.00 to 17.00h                         | 91 050 01 08 |
| Online technical assistance (empresas.com)                     | August 8.00 to 15.00 Monday to Friday (except bank holidays)                        | 91 807 09 84 |



# EVO Banco

## Bankinter's digital brand balances its books for the first time

EVO Banco completed a three-year strategic cycle in 2023. This has enabled it to significantly boost its value proposition as one of the largest and most innovative digital banks in Spain. During that period, the entity has gone through a major technological and commercial transformation to increase its business potential and ensure its short- and long-term structural profitability.

Following this effort, at year-end 2023 EVO had achieved growth in all of its business lines and break even in its income statement, a milestone that places it in a new scenario of sustainability and leadership in the digital finance market. Gross operating income was 66 million euros, 78% more than in 2022; operating profit increased from -19 million euros to 4.1 million euros; and pre-tax profit was positive at 0.01 million euros, following a loss of 24.2 million euros the previous year. This was backed by a policy of prudent risk management, with a non-performing loans ratio of 0.46% at 31 December.

EVO increased its portfolio of financial customers to 766.8 million euros in 2023, while consolidating its position as a main bank. Mortgages were arranged with a value of 872.6 million euros, which increased lending from 2,719 million to 3,393 million euros (+25%). In savings, a major marketing campaign was conducted to position its range of interest-bearing

accounts (Smart Account) and deposits as being among the most competitive in the market. As a result, the balance of funds rose to 3,964 million euros, compared to 3,828 million the previous year.

In terms of off-balance sheet lending, in 2023 EVO had the best indexed management offer of any Spanish bank, which, together with investment fund and securities trading services, resulted in an off-balance sheet balance of 257 million, 3.3% higher than in 2022.

The strong performance of EVO's business extended to other business lines. This is demonstrated by the 51% increase in new personal loans (more than 64 million euros of annual lending); the 7.5% increase in the card portfolio, to more than 796,000; and the boost to home (+25%) and life (+160%) insurance, which together amounted to a portfolio of 5,800 million euros at year-end 2023.

The growth of the business was accompanied by structural improvements to the entity's technological and operational platform and the launch of disruptive innovations, such as new cashback systems and geolocation of digital purchases, which contributed to improving the customer NPS performance index to 32 points.

EVO also increased its workforce by around 10%, to 217 people. Employment turnover at EVO was 1.4%, demonstrating the high level of loyalty of the entity's talent.

**In terms of off-balance sheet loans, EVO had the best indexed management offering of any Spanish bank in 2023.**



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# Business in other countries

bankinter.





# Bankinter Portugal

## Doubling of profits and an ambitious agreement in the consumer business

Bankinter Portugal made a pre-tax profit of 165.5 million euros in 2023, an increase of 113.50% (more than double) compared to the previous year. Gross operating income from recurring business was 306.4 million (+60.65%) and the operating margin stood at 204.1 million (+112%). Turnover reached 24,000 million euros (+21%) and customer funds increased to 8,500 million euros (+31.7%). The loan book closed the year at 9,900 million euros, up 14.9%, well in excess of the average for the market, which contracted by 0.7%, according to figures to November provided by the Bank of Portugal.

Operating costs were 102.4 million euros, an increase of 7.9 million, mainly due to higher salaries, new recruitment, investment in technology and the effects of inflation. The cost-to-income ratio was 17 basis points higher, at 33.7%. The NPL ratio continued the downwards trend that started in 2016, ending the year at 1.25% compared to 1.31% in December 2022.

The contributions of the business areas to the subsidiary's gross operating income were: Commercial Retail Banking, 60.62%; Corporate Banking, 38.33%, and Bankinter Consumer Finance, 1.05%.

**Commercial Retail Banking.** There was a further significant increase in strategic business items, with growth in on-balance sheet funds of 810 million euros, plus 821 million euros in off-balance sheet funds. The loan book increased by 10%, to 555 million euros, with the housing finance business (Crédito Habitação) playing a leading role, with lending up 18%. In the Private Banking segment, the customer base increased by 9%, with turnover up 35% and gross operating income growing by 52.18%. The business volume in the Premier segment improved by more than 12%, and gross operating income rose by more than 58%. Highlights in terms of products, include launch of the BK Online account and enhancement of the conditions of the Mais Ordenado account, combining a lack of maintenance fees with very attractive returns.

**Corporate Banking.** There was a significant increase in the volume of business managed by Corporate Banking, which increased by 36% to 2,970 million euros. The loan book increased by 23% (a 65% accumulated increase over the last two years), due to the contributions by international business, transactional business and investment banking. Gross operating income rose by 59%. There was a 26% increase in the volume of business managed in medium-sized enterprises (1,940 million euros). This segment generated

**The contributions of the business areas to the subsidiary's gross operating income were: Commercial Retail Banking, 60.62%; Corporate Banking, 38.33%, and Bankinter Consumer Finance, 1.05%.**



gross operating income of 26.8 million euros (+77%), with a significant increase in fee and commission income (+34%) and a 13% increase in the customer base. The volume managed by the business segment totalled 2,376 million euros, 1,455 million in funds and 921 million in lending. Lending in the International Business increased by 12% in 2023 with revenue up 36%.

Bankinter Investment was involved in: the structuring of the 230 million euro bond loan issued in June by the autonomous region of the Azores; medium-term financing backed by infrastructure and renewable energy assets amounting to 85 million; and placement in Portugal of tranches of venture capital funds structured in Spain, with underlying infrastructure and sustainable assets.

**Bankinter Consumer Finance** Turnover increased by 20% to more than 471 million euros in arranged lending, with 237,000 current customer contracts. The bankintercard business represents around 44% of consumer credit balances. Self-service functionality for customers was enhanced and new consumer credit offers were created, such as vehicle and renewable energy loans, in addition to expanding the offering of payment protection insurance. Current partnerships and new collaborations continue to form a core part of the growth of the consumer business. 2023 was marked in particular by completion of an ambitious project: the partnership with Sonae/Universo, the development strategy for which involves promoting digitalisation and offering new products and services that make a difference in the market.

**Bankinter Asset Management:** Activity in this area benefitted from the markets recovering, particularly for bonds, with 1,147 million euros of assets under management (+9%). The volume of investment funds under management amounted to 357 million euros (+13%). The range of bond funds contributed greatly to this, particularly the Bankinter Obrigações PPR 2025 and 2027 funds. The value of assets in the third-party portfolio management business stood at 791 million euros, up 7% as a result of the recovery of financial markets, which more than offset the lack of new business caused by the resurgence of term deposits as a valid alternative to investing, especially in the second half of 2023.

**Bankinter Seguros de Vida.** Growth in premiums written outperformed the market, demonstrating the resilience and confidence of customers in risk and investment products. The performance of life insurance linked to the Crédito Habitação mortgage and consumer credit stood out, with growth of 3% and 8%, respectively. Non-credit insurance, which is increasingly becoming a financial protection measure for families, grew by more than 10%. With regard to investment insurance, capital and guaranteed income products were marketed once again, taking advantage of the favourable changes in interest rates. This included launch of a specific product aimed at retired customers who decide to sell their homes and reinvest the income.

**Bankinter Consumer Finance's turnover increased by 20% to more than 471 million euros in arranged lending, with 237,000 current customer contracts.**

# Bankinter Luxembourg

## Ten years of high-quality service

2023 marked the tenth anniversary of Bankinter's presence in Luxembourg, where it competes with over 120 financial institutions. In this time, it has consolidated its high-quality service, combined with the security and diversification that has earned it a triple A rating.

The challenge of implementing the digital transformation of some of the most significant processes for the entity and its customers was completed during the year, including a completely revamped process for opening digital accounts and a digital signature system. This enabled it to improve scalability and efficiency. The workforce has also increased significantly.

Bankinter Luxembourg achieved record levels of assets under management and lending. SICAV assets under management increased by 25%.

**Bankinter Luxembourg achieved record levels of assets under management and lending. SICAV assets under management increased by 25%.**



SICAV managed assets  
(number of customers)

+25%

| 2023  | 2022  |
|-------|-------|
| 1,495 | 1,200 |



Total customer funds  
(in millions of euro)

+16%

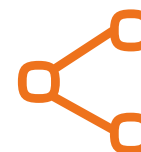
| 2023  | 2022  |
|-------|-------|
| 4,414 | 3,793 |



Gross operating income  
(in millions of euros)

+2%

| 2023   | 2022   |
|--------|--------|
| 20,722 | 20,293 |



Customer loans  
(in millions of euro)

+17%

| 2023 | 2022 |
|------|------|
| 283  | 241  |

Integrated  
Annual  
Report  
2023

bankinter.



# Quality



# Quality

## The value of a recommendation from a satisfied customer

We find ourselves in an era of unprecedented digitalisation, marked by an excess of information and significant changes in the habits of our customers. In this environment, the quality of service and the experience of customer stand out as essential foundations in our business strategy.

We understand the customer experience as a dynamic and adaptable concept, covering all possible interactions: from visits to our branches to the use of digital platforms, contact with our telephone banking and the management of specific products. An exceptional customer experience reinforces credibility and trust in our brand, transforming customers into brand ambassadors.

At Bankinter, we are committed to continuously increasing the number of customers who actively recommend our services, in the knowledge that this leads to more stable and profitable long-term relationships. Our main objective is to maintain the positive perception of the 55.7% of customers who already recommend us, and to improve the experience of the 35% (34.9%) who are satisfied, in order to convert them into active promoters of our services. This approach seeks to expand our base of loyal and satisfied customers.

To achieve this, we will use technology as a catalyst for success:

- With the implementation of a new Customer Voice Platform, we will better understand customer needs and react immediately, integrating this platform with our CRM and aligning initiatives with business metrics.
- We will integrate predictive quality models to identify Bankinter's promoters and detractors without relying exclusively on surveys, moving from reactive to proactive management.
- We will revolutionise the analysis of qualitative information, received in the form of feedback through various channels, by using artificial intelligence to turn this data into valuable information and respond more quickly to the needs of our customers.

In short, our aim is to optimise every interaction with the customer, responding to their growing expectations. We promote effective omni-channelling to gather feedback, which has led us to reach the notable milestone of surveying 40% of the Bank's active customers by 2023, in order to anticipate needs and offer immediate responses, showing our constant commitment to solving their problems and making them feel unique to Bankinter.

At Bankinter, as always, technology is at the service of our main value proposition: personalised service, which remains key to ensuring customer loyalty. Service quality is intimately linked to human connection, empathy and authenticity. Therefore, for Bankinter, it is crucial to balance technology and the human factor, being committed to customer-centric teams capable of adding value in the most complex or critical interactions.



2023 milestones

Interviews

Strategy and results

Businesses

Risks

Innovation

Corporate governance

Sustainability

Individuals

Annexe



## Higher levels of customer satisfaction

The aggregate index of quality perceived by customers in Spain and Portugal in 2023 stood at 45.2% (+4.9% vs 2022), measured through the Net Promoter Score (NPS). In Spain, the score was 46.3% (+6.7%), with the quality perceived by customers improving in 61.6% of the centres in the branch network. The NPS for individuals over 65 years of age was 47.5% (+12.7% than the average of all individuals assessed).

The NPS at Bankinter Portugal was 36.1% (-3.5%), with improvements in 35.1% of branches.

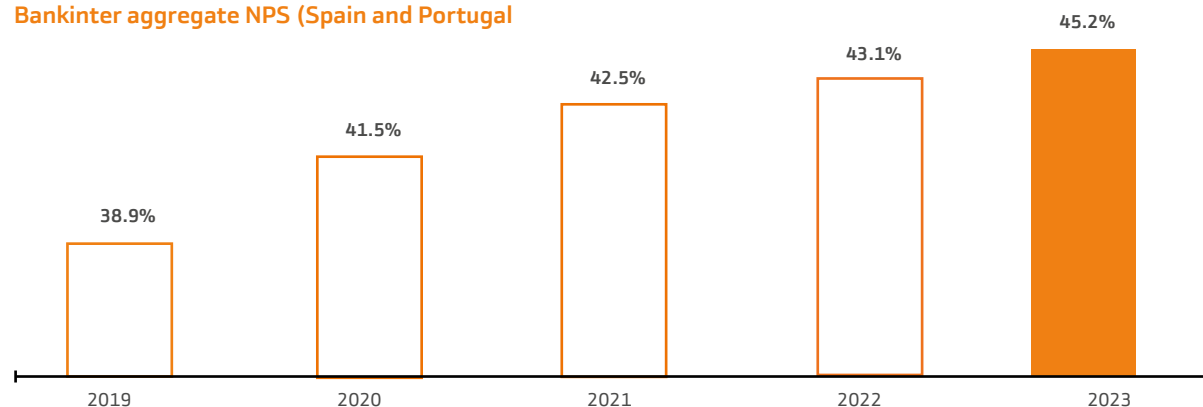
## Promoter score

remained very positive in 2023: in Spain, 55.7% (+4.7%) of customers said they would recommend Bankinter, with dissatisfied customers standing at 9.4%. In Portugal, 48.7% (-3.7%) of customers said they would recommend Bankinter, with dissatisfied customers standing at 12.7%.

In terms of communication channels with the bank, customer satisfaction with our websites and apps was notable in 2023, with an NPS of 53.1% (+13.6%) in Spain and 65.4% (+2.4%) in Portugal.

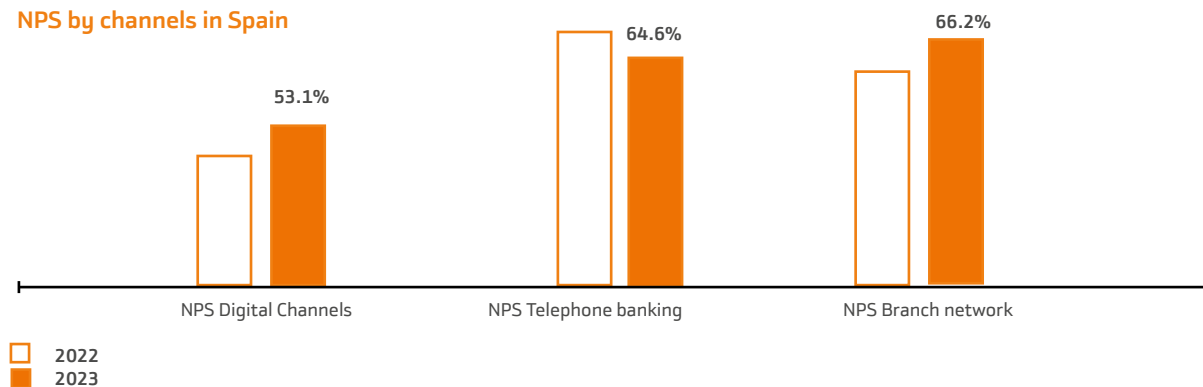
Telephone banking and the branch network also maintained high levels of recommendation, except for Banca Telefónica Portugal, whose fall is justified by the change in the customer service model due to the introduction of a virtual assistant to support the increase in the volume of calls received.

### Bankinter aggregate NPS (Spain and Portugal)

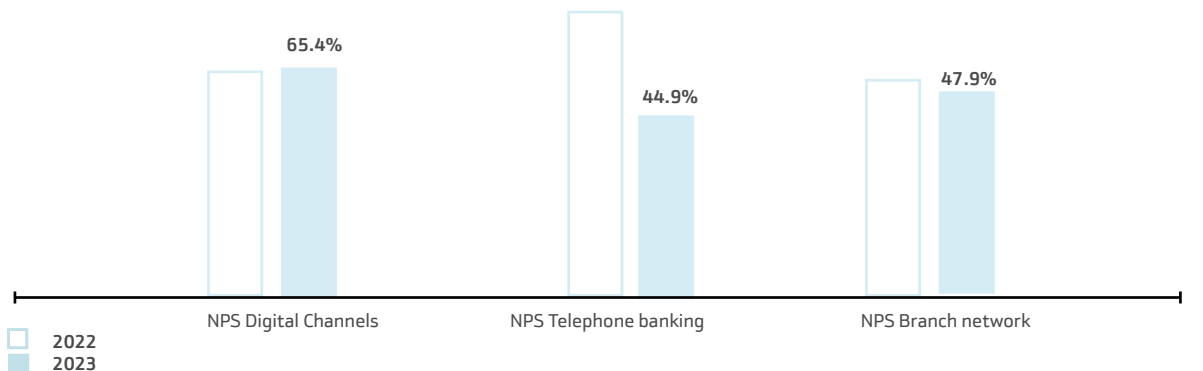


\*2022 figures for Portugal have been updated due to standardisation and integration processes.

### NPS by channels in Spain



### NPS by channels in Portugal





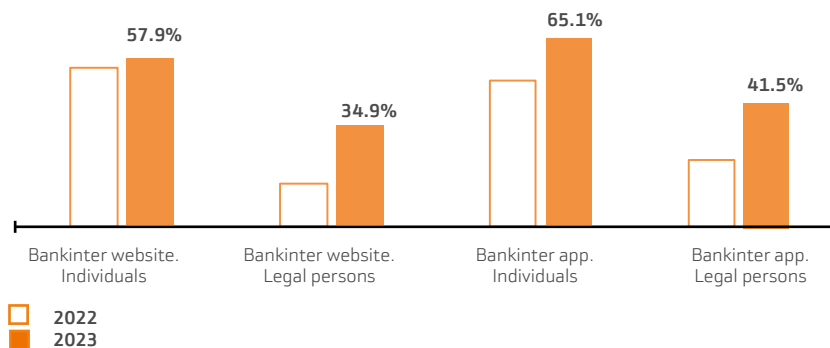
## Digital banking

In 2023, in Spain, 39 of the bank's website and app processes were evaluated (18.2% more than in 2022), providing information on the design, usability and functionality of these digital assets. This gave the technical teams daily information on perception, reasons for dissatisfaction and customer suggestions for process improvement for the websites and apps.

The opinions of users of the platforms and websites continued to improve, with the aggregate NPS standing at 53.1% (+13.6%).

In internal process transformation, a total of 63 processes were measured in real time in Spain.

### NPS Digital Channels in Spain



### NPS Digital Channels in Portugal





## Internal Quality

The bank's Services Headquarters have collaborated closely with the Commercial Networks in the common objective of providing the customer with excellent service. All the teams have supported the professionals of the commercial networks with the maximum agility of the processes, in the support and the necessary training and information, improving the result of the quality indicators of the different areas that integrate them. The information provided by the internal surveys (which have been carried out periodically and which also in 2023 have had excellent participation by the bank's employees) has been the basis on which the Central Services have designed their plans of continuous improvement.

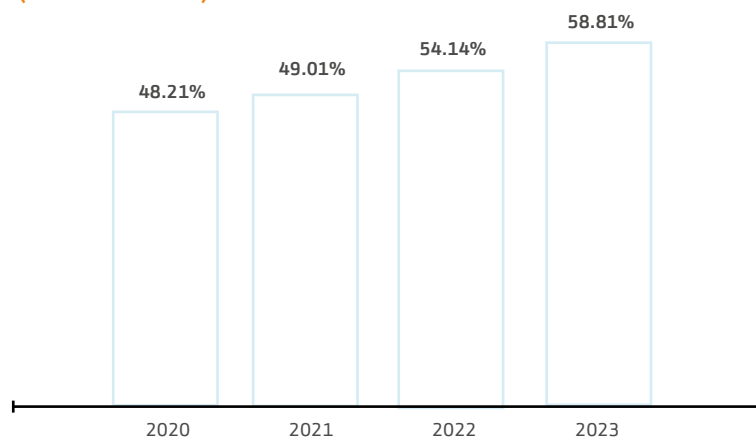
In 2023, in Spain and Portugal, 136 internal quality measurements were carried out, which provided a

very high volume of opinions and suggestions, all of which were key to the definition of more than 350 initiatives that have been implemented to improve processes and their digitalisation, as well as to offer the internal customer an excellent service, in line with their expectations.

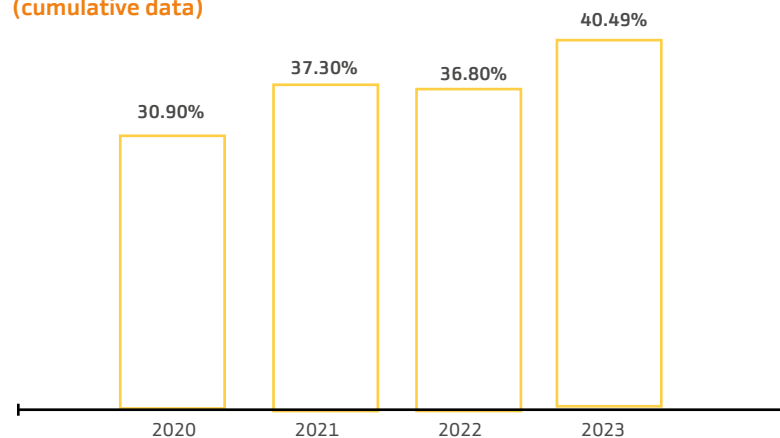
In Spain, the degree of satisfaction with Central Services has continued to progress positively. The Net Satisfaction Score (NSS) was 58.8% in 2023 (+8.6% compared to 2022). The overall satisfaction level at Bankinter Portugal was 40.5%. The main improvement actions have focused on:

- Improving the communication process between areas, especially with internal customers.
- Increase close relations with people, and especially among the different areas.
- Simplify internal processes and find digital solutions that increase efficiency.

Internal quality, Spain  
(cumulative data)



Internal quality, Portugal  
(cumulative data)





## Leaders in objective quality in the branch network

Bankinter remained one of the leading entities in Spain for the objective quality of its commercial banking networks in 2023, according to the EQUOS RCB-2023 study, which was carried out by an independent company using the mystery shopping technique (pseudo-purchases). This study measures the objective quality of the commercial service provided to potential customers in the branch network of the main Spanish financial institutions using the mystery shopping technique.

Bankinter stood out in numerous aspects, such as customer service, speed of service, product explanations, and in the time dedicated to giving explanations to customers during visits.

Bankinter Portugal scored much higher than the sector average, retaining its leadership of the 14 banks analysed.

## Objectives

Bankinter will continue to place the customer and customer perception at the centre of its commercial strategy, with an aggregate NPS target higher than the target set for 2023.

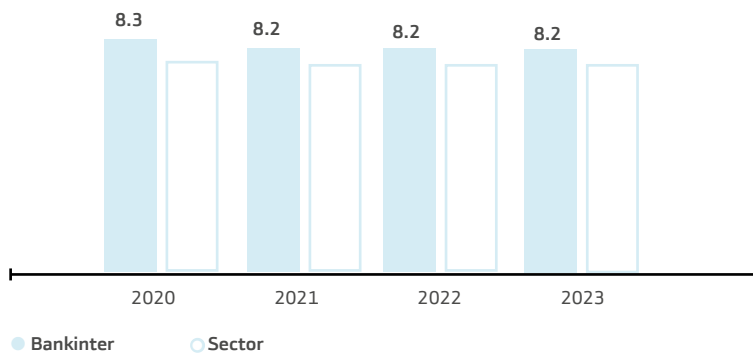
To achieve this, three accelerators for success will be prioritised in the financial year 2024.

- Drive innovation: Using AI & Analytics for greater customisation, proactivity in identifying trends, generating reports automatically, proposing action strategies, etc.
- Relate experience and benefits: Finding the equivalence between satisfaction and impact on the bottom line, identifying profitable drivers for action and more precisely calculating the return.

- Listen efficiently: Providing a significant improvement in the methodology for analysing service quality, and continuously improving monitoring tools so that unstructured information can be converted into valuable information.

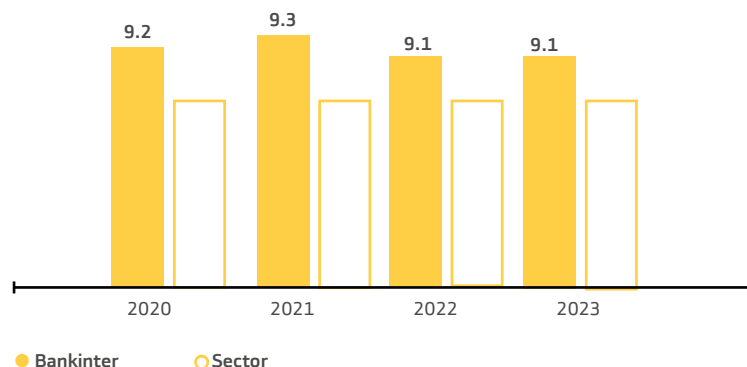
The team will continue to monitor the voice of customers and of employees, with the internal quality survey being one of the main tools as well as part of our corporate culture. The development of joint improvement actions with each of the 56 areas will continue in order to boost change and promote transformation processes, ensuring that these changes are implemented in a timely manner.

### Spain



Spain: scale 0-10

### Portugal



Portugal: scale 0-10



# Marketing

## A consistent brand strategy increasingly recognised by the market

In 2023, the Marketing area continued the communication line launched three years ago, with the brand positioning 'The bank that sees money the way you do'. New advertising campaigns and marketing actions were introduced to reinforce the brand image and make customers and potential customers aware of new products and services. This contributed to increasing customer acquisition and achieving the marketing objectives for the year.

This work earned the recognition of the market with Bankinter being recognised as one of the most admired companies with the most memorable marketing campaigns, according to Scopen's Agency Scope 2023 study, improving from fourteenth to seventh among the most admired companies. Two of its campaigns ('People who count' and 'Bankinter, the bank that sees money the way you do') were included in the top five most outstanding campaigns in the last two years, for managing to communicate the financial institution's values and value proposition in an original, emotional and comprehensible way.

Bankinter was also awarded silver in the 'Building a brand' category at the Efficiency awards, which recognises consistency over time in marketing campaigns, for its 'The bank that sees money the way you do' campaign.

These results demonstrate that Bankinter has connected with its target audience and differentiated itself from its competitors, thanks to a consistent, innovative and effective marketing strategy that has enabled it to establish itself as a benchmark in the sector for reputation, image and business.

### Marketing actions

Major marketing actions included:

- Holding online and face-to-face events with customers; preparation of new marketing support material for the launch of new products and services; and provision of the network with innovative tools such as customer-acquisition kits, providing an at-a-glance summary of the entity's offering of product and services.
- Communication actions, online events, content and strategic meetings were held for companies of all sizes in 2023. These initiatives, including specifically designed complementary products, enabled the entity to continue helping companies access European funds.



- Advertising campaigns included: promotion of the benefits of Broker O; launch of the 'A history of progress' campaign, in which banknotes were used to give a tour of the history of Spain; and reinforcement of the launch of the pioneering Dual mortgage, which combines variable and fixed interest rates from day one.

Work also continued to deepen our knowledge of the behaviour of customers and potential customers. The foundations were laid for measuring and commercial exploitation of the data from the new digital assets created by the bank, to improve the bank's digital acquisitions and sales. New tools were also introduced to enhance personalisation of website content and optimise messages.

# Risk management





# Risk management

## On the path of prudent growth

In 2023, global economic growth slowed in a context marked by restrictive monetary policies and geopolitical conflicts. However, there were regional variations. The dynamism of the US economy and some emerging economies stood out, while growth in China and Europe was poor. Spain's performance was relatively better than that of other European countries, mainly due to recovery in the tourism sector. The sharp rise in interest rates reduced activity in the housing market and mortgage lending in particular.

In this environment, Bankinter ended the year on a path of prudent growth, in accordance with the principles expressed in its risk appetite framework, striving to balance growth, profitability and risk at all times. Commercial Retail Banking activity contracted due to the reduction in lending for housing, while Corporate Banking slowed in Spain. However, there was significant dynamism in the Portugal, EVO Banco and Ireland businesses.

The Group continued to improve its effectiveness and efficiency in risk acceptance, monitoring and recovery through increasing integration of data analytics into its processes.

The outlook for 2024 is optimistic and the bank remains committed to growth, although we will have to keep an eye on interest rates and the economic slowdown. One potential problem is that inflation could resist coming down further. This would lead to tension in monetary policy and potential deterioration of the cycle, with a slowdown in lending and reduced repayment capacity for the most vulnerable debtors and companies.

**Bankinter ended the year on a path of prudent growth, seeking to balance growth, profitability and risk at all times.**





## Moderate profile

Bankinter maintains its risk appetite principles and levels and a prudent risk profile, the management of which is one of the central pillars of its competitive strategy. The bank has a risk management model of proven effectiveness that is in line with regulatory standards and best international practices, in proportion to the scale and complexity of its business activities.

The board of directors is ultimately responsible for risk management. It approves the Bank's strategy and, in particular, defines the risk appetite framework. The risk appetite framework is an internal governance document that defines:

- The type and levels of the different risks that the Group considers reasonable to take on in developing its business strategy.
- A set of metrics and key indicators to monitor and manage risks. These cover variables such as risk levels and cost, returns, liquidity and capital. Tolerance levels and thresholds are established for each metric. If these are breached, they trigger corrective measures

The Risk Appetite Framework sets out the criteria for the Group's strategy, which remain stable over the years:

**Risk appetite statement.** Bankinter carries out its activity with a moderate and prudent risk profile. Its objective is a balanced balance sheet and a recurrent and healthy income statement, to maximise the entity's value in the long term.

**Risk management principles.** The Group's appetite and tolerance for risk in its activities are subject to the following principles:

- Strategies, policies, organisation and management systems are prudent and adjusted to the size, environment and complexity of Bankinter's activities, based on quality banking practices.
- Respect for and compliance with regulatory requirements, limits and restrictions, and ongoing compliance with prevailing legislation. In addition, principles of anticipation of new regulatory developments are applied to reduce their potential impact.
- Maintenance of low or moderate credit-risk exposure, as reflected in the lowest NPL ratio in Spain's financial system, and the lowest expected losses under stress scenarios.
- Working with first-class financial institutions of recognised solvency in every country that have sufficient ratings to limit counterparty risk.
- Appropriate hedging of problem assets.
- Adequate remuneration of invested capital. The objective is to ensure a minimal return above the risk-free rate over the cycle, to meet capital levels at all times and to operate profitably.
- Maintenance of a low level of market risk in the trading book, so that the losses generated in stress scenarios have a significantly reduced impact on the Group's income statement.

**Bankinter carries out its activity with a moderate and prudent risk profile.**



- An ALCO portfolio comprising low-risk securities and a return commensurate with the entity's RoE requirements, designed to reduce the volatility of net interest income and adjust the impact of any changes in interest rates.

- Intense growth in the priority strategic medium- and large-enterprise segments, characterised by higher-quality risk and a notable contribution to earnings through the generation of income, fees and commission, and other recurring income.

- Balance in the loan book to boost profitability.

- Reduction of dependence on retail markets, supported by stable growth of retail funds.

- Diversification of wholesale funding sources, from the viewpoint of both instruments and markets, maintaining a balanced maturity profile.

- Optimisation of retail funding costs, maintaining a balance between the return on the loan and market interest rates. The aim is stability and avoidance of an excessive concentration of maturities.

- Use of a risk diversification policy to avoid excessive concentration levels that could pose problems for the Bank.

- Contribution to the sustainable development of society, including the preservation of environmental resources.

**The board of directors is ultimately responsible for risk management. It approves the risk strategy and, in particular, defines the risk appetite framework.**

- Limitation of business in sensitive sectors that could entail a risk for Bankinter's sustainability or have a negative impact on its reputation and/or respectability.

- Moderate appetite for interest rate risk.

- Maintenance of a scaled-back structural FX position that is as close to zero as possible at all times.

- Strengthening control of the Bank's reputational positioning (e.g. good corporate governance, systemic risks).

- Reduced exposure to pension liability risk, through the most appropriate mitigation procedures (outsourcing, hedging instruments, diversification).

- Willingness to round out the level of services Bankinter offers its Private Banking and Corporate Banking customers with limited-risk investment banking services.

- Optimisation of the cost-to-income ratio.

- Maximisation of shareholder value creation throughout the cycle, underpinned by a robust base of capital and liquidity.

- Diversification of lines of activity. The bank takes advantage of opportunities in companies in the financial sector that are related to or complement its main business model.

- Maintaining a Common Equity Tier 1 (CET1) ratio within the fluctuation band set by the entity, which is stricter than the regulatory minimum, with a medium-term target of around 12%.



# Credit risk

## Non-performing loans remain minimal

Bankinter maintained its growth in a year of a general contraction in lending, particularly with individual customers, who were hit by the increase in interest rates, reducing activity in the housing market and demand for mortgages. Household and company income performed well during the year, enabling customers to face the increased financial burdens of higher interest rates, keeping the non-performing loans ratio under control.

Loans and advances to customers at amortised cost increased by 3.4% and eligible exposures (which include off-balance-sheet exposures) increased by 4.2%. Underperforming loans fell by 4.2% as the effects of the health and energy crises on the sectors dissipated.

Non-performing exposure increased by 4.5% taking the non-performing loans index to 2.11%, an increase of 1 basis point, i.e. 0.3%. This is 67% of the sector average in Spain (3.57% according to Banco de España data from November 2023). Provisions for credit risk rose by 1.9% during the year, as detailed in Note 44 of the Consolidated Legal Report. The balance of foreclosed assets decreased by 30.6% in the year to 85 million euros at 31 December 2023, equal to 0.1% of total credit risk.

### Asset quality – Credit risk

| Thousands of euros                           | 31/12/2023    | 31/12/2022     | Change          | %             |
|----------------------------------------------|---------------|----------------|-----------------|---------------|
| <b>Eligible exposures</b>                    | 85,922,011    | 82,426,636     | 3,495,375       | 4.2           |
| Stage 1 (Performing loans)                   | 81,376,831    | 77,840,753     | 3,536,079       | 4.5           |
| Stage 2 (Underperforming exposures)          | 2,732,427     | 2,851,278      | (118,851)       | (4.2)         |
| Stage 3 (Non-performing exposures)           | 1,812,753     | 1,734,606      | 78,148          | 4.5           |
| <b>Credit risk allowances and provisions</b> | 1,172,598     | 1,150,700      | 21,898          | 1.9           |
| Stage 1 (Performing loans)                   | 148,801       | 175,134        | (26,333)        | (15.0)        |
| Stage 2 (Underperforming exposures)          | 105,488       | 108,039        | (2,552)         | (2.4)         |
| Stage 3 (Non-performing exposures)           | 918,310       | 867,527        | 50,783          | 5.9           |
| NPL ratio (%)                                | 2.11          | 2.10           | 0.01            | 0.3           |
| Non-performing loan coverage ratio (%)       | 64.69         | 66.34          | (1.65)          | (2.5)         |
| <b>Foreclosed assets</b>                     | <b>85,253</b> | <b>122,865</b> | <b>(37,612)</b> | <b>(30.6)</b> |
| Provision for foreclosed assets              | 54,475        | 68,813         | (14,338)        | (20.8)        |
| Foreclosure coverage (%)                     | 63.90         | 56.01          | 7.89            | 14.1          |



Following is a description of the trend and main figures for eligible exposures in Spain arranged by internal business sectors:

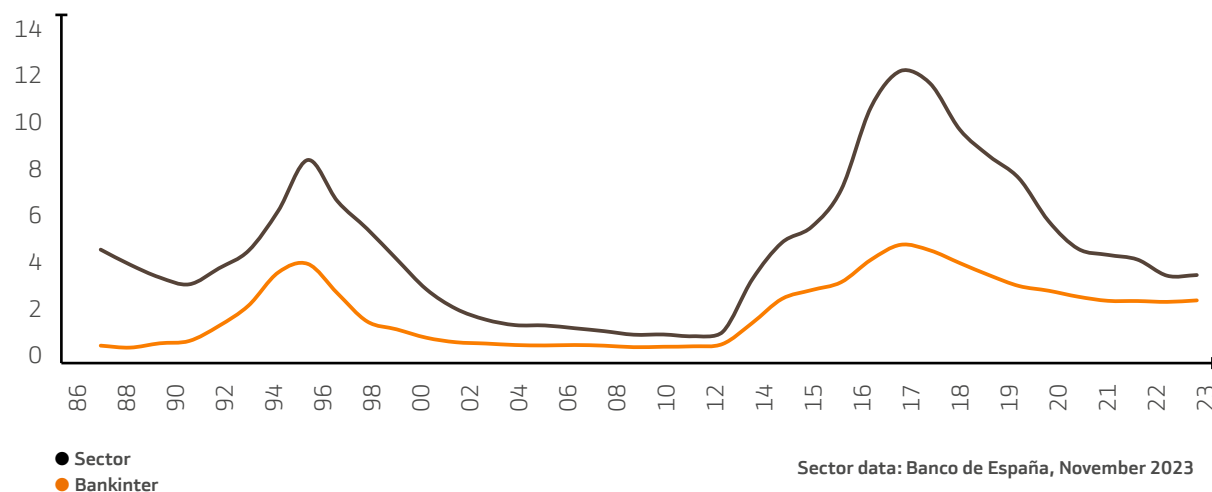
- **Individuals.** Lending to individuals in Spain increased by 0.7% in 2023. The individual lending portfolio totalled 34,129 million euros at year-end, with an NPL ratio of 1.68%.

The Loan To Value ratio of the mortgage portfolio was 50% at the end of 2023, with 85% of mortgages having the holder's main home as collateral (unchanged on the previous year). The non-performing loan ratio for this portfolio was 1.37%. The average effort (the proportion of income the customer allocates to paying mortgage loan instalments) remained extremely low (26%).

In Spain, Bankinter Consumer Finance contributed 3,260 million in lending, 15.2% more than in the previous year, and closed the year with an NPL ratio of 6.9%. The risk-adjusted margin, non-performing loans ratio and costs remained under control and in line with typical levels for this type of business.

- **Corporate Banking.** Credit risk in Corporate Banking grew by 4.0% to 20,462 million euros, with an NPL ratio of 0.51%. In 2023, Bankinter prioritised growth in this segment, which is more resilient to adverse economic circumstances.

Changes in the NPL ratio (%) – Spain



- **Small- and medium-sized enterprises.** The SME segment grew by 0.4% in the year and the portfolio stood at 15,941 million euros, with an NPL ratio of 6.2%.
- **EVO Banco.** EVO Banco, which focuses its banking business on individuals, contributed an additional 3,338 million of credit risk to the Group in Spain (23.8% more than in the previous year), with an NPL ratio of 0.48% at year end.
- **Portugal.** Portugal's loan book contributed 9,920 million euros of risk to the balance sheet, with growth in the year of 14.9%, and an NPL ratio of 1.25%.

- **Ireland.** Lending activity in Ireland is conducted through the subsidiary Avant Money Plc (part of Bankinter Consumer Finance). At year-end 2023, Avant Money had credit risk of 3,025 million, of which 2,178 million related to mortgages and 847 million to consumer lending. Avant Money grew by 34.0%, with an NPL ratio of 1.3%. The emphasis on mortgage activity gives the business a very moderate risk profile.



# Structural and market risks

## Central banks tighten their monetary policy against inflation

The inflation control strategy shaped 2023 in the financial markets. Central banks tightened their monetary policy, deciding on unprecedented increases in interest rates and implementing restrictive liquidity measures.

### Structural interest rate risk

Bankinter actively manages its structural interest rate risk (defined as exposure to changes in market interest rates resulting from the different time structures of maturities and repricing of items on the global balance sheet) to protect the bank's net interest income and preserve its economic value.

The exposure of net interest income to different scenarios of interest rate changes is analysed monthly using dynamic simulation measures. With a more long-term outlook, the Bank also analyses the sensitivity of economic value to movements in interest rates.

Net interest income exposure to interest rate changes of  $\pm 100$  parallel basis points is +3.6% for rising rates and -4.3% for falling rates, both for a 12-month horizon. The sensitivity of economic value to a parallel shift of  $\pm 100$  basis points was +1.4% and -1.7%, respectively, of own funds at year-end 2023.

### Structural liquidity risk

Risk associated with the Bank's ability to meet the payment obligations it acquires and to fund its lending business. The Bank actively monitors liquidity and liquidity forecasts, as well the actions to be taken in both business-as-usual situations and in exceptional circumstances arising due to internal causes or market behaviour.

The instruments used to control liquidity risk include monitoring changes in the liquidity gap or liquidity plane and looking at specific information and analysis of balances resulting from trading operations, wholesale maturities, interbank assets and liabilities, and other sources of funding. These analyses are performed under business as usual conditions or simulating different scenarios of liquidity needs based on varying business conditions or market changes. Bankinter's liquidity management includes monitoring of short-term (the liquidity coverage ratio or LCR) and long-term (net stable funding ratio or NSFR) regulatory ratios.

**Bankinter has incorporated monitoring of short-term and long-term regulatory indices into its liquidity management.**



During financial year 2023, customer funds increased by more than 5,700 million euros, a growth driven by all business units. As a result, the average of retail funds continued to be considerably higher than customer lending, with the ratio of customer funds to lending standing at 106%. The liquidity position at the end of 2023 made it possible to achieve an LCR of 206.3%, comfortably above both internal and regulatory limits.

The NSFR liquidity ratio (Net Stable Funding Ratio), which measures the proportion of long-term assets that are covered with stable financing, closed the year at 141.03%, exceeding the ratio of 139.72% in the previous year. The Bank's financing structure, with a significant and increasing weight of customer deposits and wholesale funding focused on the medium/long term, has driven a steady increase in this indicator.

No wholesale funding issuances matured in 2023. Bond issues in the year included: in February, preference debentures convertible into shares for 300 million euros; in May, a 500 million euro senior bond; and in September a 500 million euro senior preferred bond. During the year, 10,388 million euros matured from the liquidity auction of the European Central Bank's TLTRO (Targeted Long Term Refinancing Operations) programme.

## Market risk

Bankinter measures market risk (the possibility of losses as a result of changes in the market prices of on- and off-balance sheet trading book positions) using the historical value at risk (VaR) methodology with data for one year and a 95% confidence interval.

An asset portfolio's VaR is the estimated maximum potential loss that could be incurred for a specific time horizon with a particular confidence interval. Given the instability experience in recent years, Bankinter kept the limits unchanged from the previous year.

The following table sets out the VaR values of trading positions at the close of 2023.

The VaR of the positions in financial assets at fair value of the subsidiary Bankinter Luxembourg are monitored on a monthly basis using the historical simulation methodology. The VaR of this portfolio at the end of the year was 0.22 million euros.

### 2023 VaR trading

| Millions of euros     | Last |
|-----------------------|------|
| VaR – Interest rate   | 0.49 |
| VaR – Equities        | 0.81 |
| VaR – Exchange rate   | 0.04 |
| VaR – Volatility rate | 0.72 |
| Total VaR             | 0.89 |



# Reputational risk

## Identification and control tools

Reputational risk is the risk arising when the expectations of stakeholders (such as customers, shareholders, employees and investors) are not met and their reaction can adversely affect existing or new business relationships with them. They are unique because they depend on external assessments and can originate from a wide variety of sources, including other risks and social, economic or sector conditions.

The reputational risk management model involves preventing such risks, identifying and controlling them proactively to reduce their probability of occurrence and mitigate their impact. The entity has various tools at its disposal for this:

- **Regular measurement of the perception and expectations of its main stakeholders** (internal climate, reputation and customer satisfaction surveys, analyst ratings, etc.).
- **Monitoring and analysis of mentions of the bank in conventional and social media**, in addition to active listening to gauge trends in the market and environment.
- **Assessment of reputational risk** before marketing a product, outsourcing a service, partnering with a third party or sponsorship.

- **The reputational risk map**, which includes a catalogue of 34 possible events related to products and services, conduct, finances, leadership, innovation, employment aspects, sustainability and image. Risk events are ranked according to the bank's performance, potential impact, social sensitivity and level of control.

- **Crisis management protocol** to preserve reputation and business continuity.

- **Employee training and awareness-raising** within the bank to reinforce a preventive culture.

- **Reporting to the governing bodies.**

**The reputational risk management model involves preventing such risks, identifying and controlling them proactively to reduce their probability of occurrence and mitigate their impact.**

# Operational risk

## A model based on prevention and the best practices in the sector

Operational risk is linked to the possibility of incurring losses from failed internal processes, people and systems or from external events (e.g. natural disasters), including legal risks.

Bankinter's operational risk management model is the "standardised approach" in accordance with prevailing capital adequacy regulations. This method requires the existence of systems for identifying, measuring and managing such risks, with prior authorisation by Banco de España and an annual audit. Bankinter ensures access to best management practices in the sector by participating in the Spanish Operational Risk Consortium (Consortio Español de Riesgo de Operacional), a forum of financial institutions for sharing risk management experiences.

With a view to achieving an efficient system for managing operational risk, Bankinter follows three basic principles of action:

- Management focused on preventive mitigation of major operational risks.
- A decentralised management model.
- Regular reviews of the operational risk management situation and degree of risk in each unit.

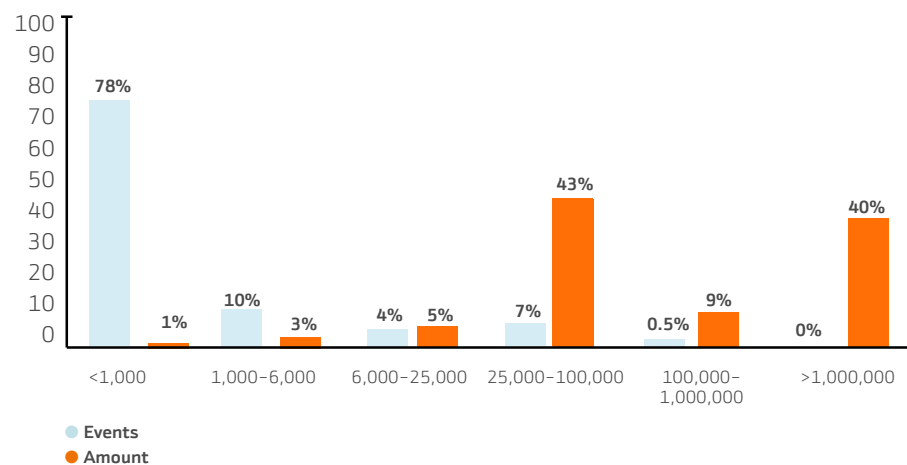
With regard to loss events in 2023, Bankinter's operational risk profile is summarised in the following charts.

### Insurance, a key element

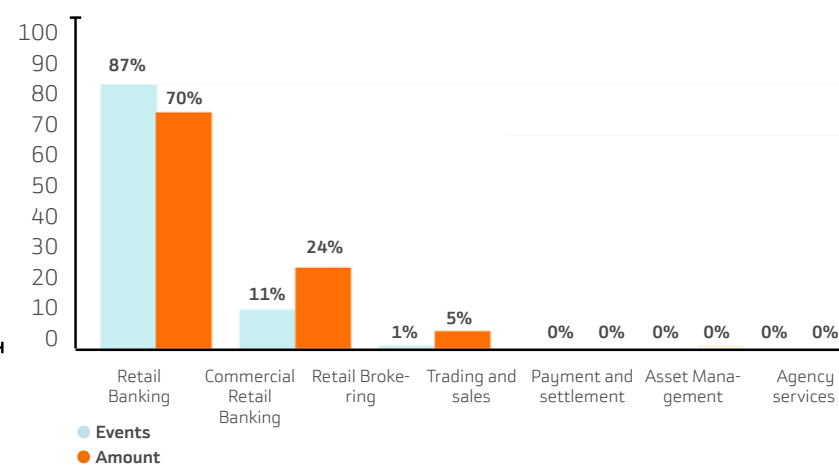
Bankinter uses insurance as a key element in managing some operational risks. This complements the mitigation of the risks that require this because of their nature. The suitability of arranging Insurance policies to cover operational risks is assessed regularly.

**More detailed information on these risks can be found in the Prudential Relevance Report, the Group's Consolidated Legal Report and the Annual Corporate Governance Report. In 2023, Bankinter continued to make significant progress in managing the portfolio's climate change risk. A full explanation is provided in the Non-Financial Information Statement.**

Percentage breakdown by amount intervals



Percentage breakdown by line of business





# Regulatory compliance

## Measures to control risk and strengthen the three lines of defence

The purpose of the Regulatory Compliance function is to assess and provide guidelines for the business lines to help define their strategy, ensuring compliance with applicable legislation at all times. With this in mind, all areas of the Compliance function spare no efforts in enhancing the training activities of its commercial staff.

To achieve these objectives, the Regulatory Compliance function is integrated into Bankinter through an internal institutional framework that revolves around the Corporate Control and Compliance Division, which includes the areas that operate as second lines of defence (Risk Control and Internal Validation, Financial Control and Analysis, Regulatory Compliance and Anti-Money Laundering and Counter Terrorism Financing).

This organisational structure allows the information systems of all second level control areas to be standardised and provides them with the necessary independence to carry out their duties, in line with best practices in this field. This enables the Bank to adequately manage the risk of failing to comply with regulations, which also entails significant reputational risk, with a potentially adverse impact on relations with customers, markets, employees

and the authorities. In particular, failure to comply with regulations may lead to sanctions, damages or cancellation of contracts, thereby harming the Bank's image.

The Regulatory Compliance and Control division has implemented a risk measurement methodology that is shared across all of the entities in the organisation. This methodology enables: coordinated management of all risks at the Group level, while respecting the characteristics and specific requirements of each country; better coordination of second level control areas at the global level; simplification of the reports and controls in the organisation, by establishing common policies and procedures; and a single control methodology consistent with new international standards for internal control.

The application of this risk measurement methodology for regulatory compliance and anti-money laundering and terrorism financing, and its monitoring through a tool (SAP GRC) common to all areas of the division, was entrenched in 2023.

The first phase in the design and definition of a corporate taxonomy of Bankinter Group processes was also completed in 2023. This project will enhance





the three lines of defence model and the identification and measurement of the main risks in the entity's processes, and governance will be strengthened with a comprehensive focus on risks.

## Four units

Bankinter developed the basic areas of the control and compliance function under this regulatory and institutional framework through the following four units in 2023:

- **Control and advice on banking transparency and products,** investment services, market abuse, the Internal Code of Conduct and conflicts of interest. This is responsible for risk management and advising the governance bodies, particularly with regard to conduct issues.
- **Anti-money laundering and counter terrorist financing.** This is responsible for ensuring compliance with the entity's policies and procedures to ensure adequate coverage of existing risks.
- **Risk Control and Internal Validation.** This is responsible for controlling credit, operational, technological, market and institutional risks.
- **Financial Control and Analysis.** This reviews the general framework of internal financial control and outsourced services.

The Corporate Control and Compliance division has responsibilities extending to all areas and provides support to the Group's governance bodies. In particular, it participates in the following bodies:

**The regulatory compliance committee.** This is the senior management body that monitors the Bank's compliance policies according to the charter of the Regulatory Compliance function. The committee executes policies in relation to regulatory and compliance matters established by the board of directors' risk and compliance committee.

**The products and operational risk committee.** This is the body for governance of the products and services that Bankinter offers to customers in accordance with the product governance policy approved by the board of directors.

**The internal control body.** This body is responsible for establishing and ensuring compliance with policies and procedures for preventing money laundering and the financing of terrorism, in accordance with Bankinter Group's prevention framework.

**The agent acceptance committee.** This committee is responsible for approving the partnership relationships of Bankinter, S.A. with financial agents and financial advice companies.

In addition, in support of the board's supervisory duties, other specialised committees have been set up by senior management in which the Corporate Compliance and Control division participates to ensure effective and homogeneous risk management, such as the crime prevention and professional ethics committee.

**The first phase in the design and definition of a corporate taxonomy of Bankinter Group processes was also completed in 2023.**



## Three-year map

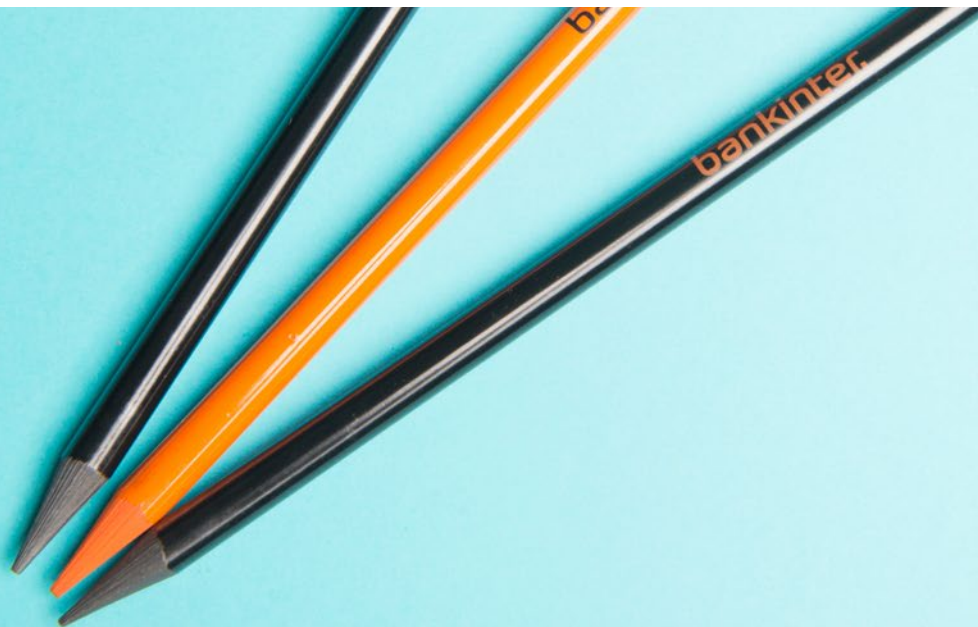
Bankinter Group has assigned the competencies of identifying and reporting regulatory changes to the Regulatory area, which reports to the Office of the General Secretary. The Regulation area facilitates early detection of the potential impacts of regulatory changes, reducing their risks. Every year it prepares a three-year regulatory map that serves as the basis for the relevant strategy.

Cross-cutting management of regulatory change was carried out during the year, participating in various projects that required the adaptation of Group activities or processes. These include the following:

- Regulations deriving from the European Union's Sustainable Finance legislative package, with disclosure of information on the impact of the Main Adverse Incidents on the Bankinter Group.
- Implementation of the report derived from Directive (EU) 2020/284, transposed into internal law through Law 11/2023, of 8 May, which requires the keeping of records of cross-border payments whenever the payer is located in a Member State and the beneficiary is located in another Member State or in a third country and communication of this to the Spanish Tax Administration Agency, if they meet certain requirements.
- Implementation of the law for the protection of whistleblowers and the fight against corruption.

Other new developments that required in-depth regulatory analysis and some internal adaptations included the publication of the Spanish Securities Market Act and its implementation through several royal decrees, and the CNMV Resolution on intervention measures for products related to financial contracts for differences and other leveraged products.

**Cross-cutting management of regulatory change was carried out during the year, participating in various projects that required the adaptation of Group activities or processes.**





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# Digital Security

## Protection against threats and internal and external awareness

Digital security is one of Bankinter's main priorities. This is demonstrated year after year by increases in the budget and personnel dedicated to this issue. The objective of this is to ensure high levels of confidentiality, integrity and availability to customers, employees, shareholders and suppliers, in accordance with the objectives in the following table.

**Maintaining banking operations**

**Building trust and security**

**Complying with rules and regulations**

**Customer experience**





These commitments are set out in the Digital Security Master Plan, which made important contributions to security projects and internal processes in its second year of operation. These included the increasing maturity of business continuity plans and protection against threats such as distributed denial of service attacks (DDoS) and ransomware. The use of the NIST CyberSecurity Framework, a protection framework for critical infrastructure, makes it possible to measure the maturity level of compensating controls and minimise the risk to the Bank.

In addition, BSI's certifications in Security Management (ISO 27001) and Business Continuity (ISO 22301) were renewed in 2023, providing external assurance in project implementation and process development.

Security reviews were also performed on the entity's suppliers, using a methodology based on the European Banking Authority (EBA) guidelines.

Gap analysis was performed to identify possible weaknesses in compliance with the European DORA regulation, which comes into force in 2025, ensuring its application in relation to resilience for all Bankinter Group subsidiaries.

## Raising awareness of cybersecurity

The activity of the area included the development of awareness plans for users, who are the weakest link in the security chain. The bank provides online training programmes for employees and simulates attempts to obtain confidential information (passwords, personal details, etc.) through emails, text messages (smishing) and telephone calls (vishing), etc.

Role play exercises were also conducted with senior management to analyse decision-making and evaluate the reaction of the management team to cybersecurity issues.

This awareness-raising work also extended to external staff, with direct initiatives for Bankinter's customers and non-customers. In 2023, baiting (USB) and hacking (social engineering with QR codes) exercises were performed. In addition, special emphasis was placed on customer focus, including campaigns with videos, manuals, news and safety instructions.

## Cyber intelligence: anticipating problems

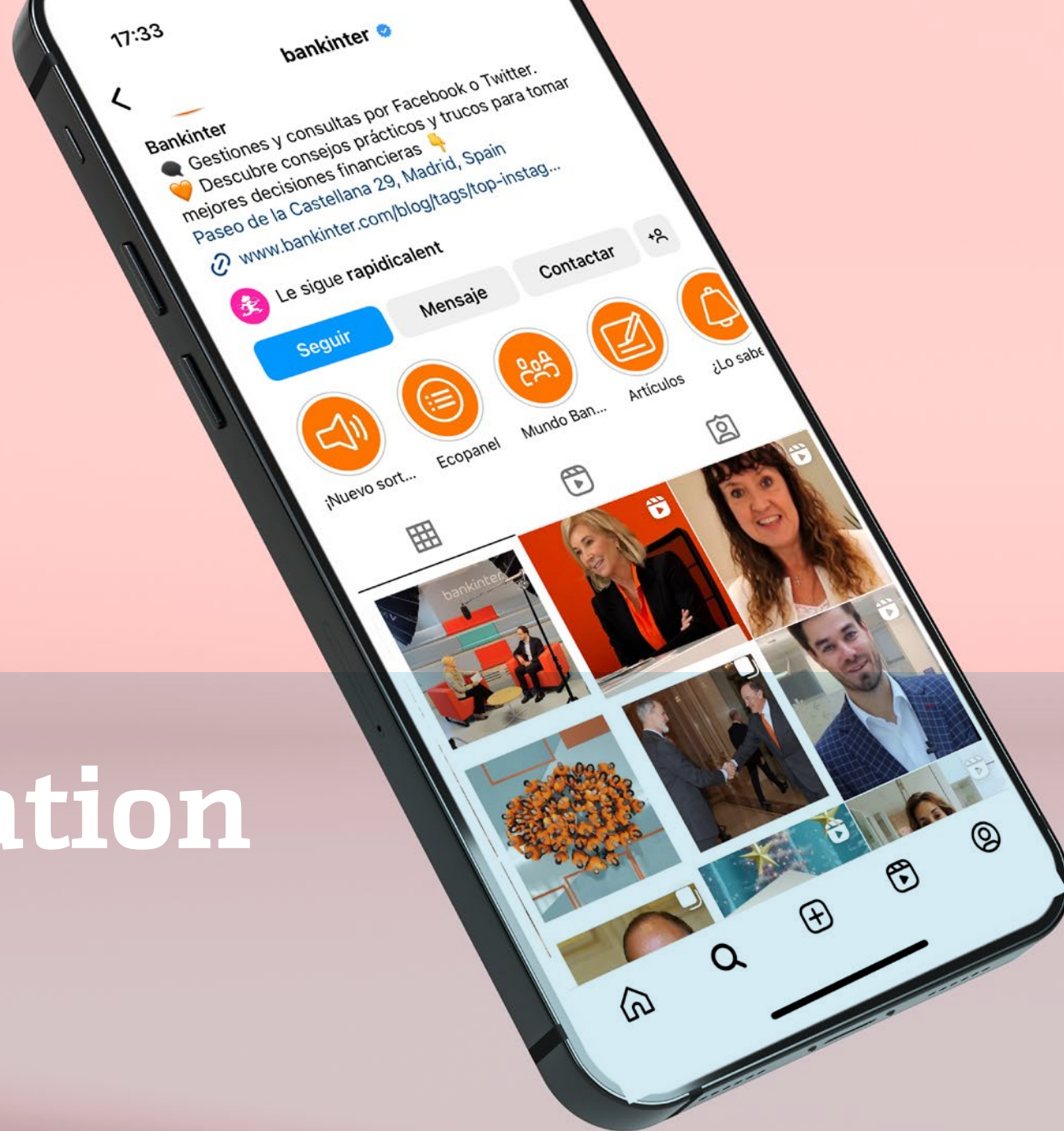
Bankinter has implemented a cyber intelligence service to obtain early and preventive information on threats such as stolen customer credentials, the numbers of compromised credit cards and abuse of its brand.

This service provides extra visibility of what is happening outside our borders. Combined with the internal information reported to management through our performance and risk indicators, this enables us to create a global picture that helps in the early and proactive management of threats and risks.

A modern SOC (Security Operation Centre) initiative was launched in 2023, on a 24x7 basis, to unify all the information needed for effective management of this issue. These security operation centres are highly specialised, with experts providing various levels of support and analysis. This ensures constant knowledge of, and appropriate responses to, incidents worldwide through a comprehensive service.

# Innovation

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# Digital banking

## Innovation and digitalisation to improve service for our customers

In 2023, Bankinter reinforced its commitment to the digitalisation of services and processes, in line with the entity's strategy. Its objectives are greater quality and convenience of digital services for its customers, increased business capabilities and greater efficiency in the bank's services and operations. These objectives are being addressed through projects to transform the entity's digital channels and key processes, create new products and services, extract value from data, and mobilise innovation in processes and technologies.

### Improvements in digital channels

In 2023, new versions were launched in our internet and app channels, in accordance with the objective of continuous improvement of the quality of our service to our customers. These changes have paid off. They have resulted, for example, in a significant increase in the perception of the quality of the website and corporate banking app, with increases in the NPS indicator - which measures customer satisfaction compared to the previous year- of around 18 points and 11 points, respectively.

These improvements involve continuously reviewing usability and experiences, and introducing capabilities

that meet new customer needs: renewal of asset positions, online contracting of products, information exchanges between the entity and the customer, new services, etc.

The new services include the launch of virtual cards in the app for individual customers and the corporate banking app. This product meets customer needs for usability and control of card payments, combined with the increasing demand for online security. Bankinter's virtual cards are associated with debit and credit cards and can be 'single use' or 'recurring use'. They enable customers to generate cards with limited capacity for specific and secure use in some electronic businesses.

### Digitalisation of customer processes

In 2023, the Digital Banking areas continued to optimise their key customer processes to achieve the highest quality of service and efficiency and effectiveness in operations. For example, advances in our omnichannel approach and the provision of new capabilities for digital mortgages contributed to facilitating online management of the entire process. These improvements enabled nearly 80%





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of customers to complete part of their mortgage application remotely.

The addition of innovative capabilities, complemented by process reengineering, enables significant reductions in the time it takes customers to complete everyday transactions. Processes such as transferring accounts, funds and pension plans between entities have been optimised with redesign that includes aggregation capabilities that greatly simplify the customer's activity and facilitate fully digital exchange of information with the bank.

**These improvements enabled nearly 80% of customers to complete part of their mortgage application remotely.**

## Leveraging artificial intelligence

Our technological innovation included intensified work with artificial intelligence (AI), in both conventional forms, through new models and processes for using and exploiting our data, and through generative AI technologies.

Generative AI has required the greatest effort, due to its enormous potential for transformation. Along with internal learning and dissemination, which will continue to increase, specific teams were dedicated to studying and implementing various usage options. This work included analysing the availability of these technologies in secure environments controlled through agreements with technology providers. A number of applications and use cases were developed that are already increasing efficiency and speed in some of the bank's processes, such as reporting, access to information, training of new recruits and other everyday tasks.



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# Bankinter Innovation Foundation

## A community of innovators forged over two decades

In 2023, the Bankinter Innovation Foundation celebrated twenty years of anticipating the future, continuing to pursue its founding purpose of transforming society through innovation. These two decades of work have been made possible by the five programmes that still form the core of the Foundation's innovation ecosystem:

- **Future Trends Forum:** a think tank comprising 762 global experts from various areas of knowledge, who meet every six months to anticipate the major trends in innovation that will influence the future of our society.
- **Akademia:** a programme in which students from Spain's leading universities are mentored by experts in the innovative trends of the future.
- **Startups:** a programme promoting innovation in the Spanish entrepreneurial ecosystem in both the earliest phases and the growth of disruptive technology companies.
- **Scaleup Spain Network:** a support programme for startups on their path to becoming scaleups, organised by the Foundation with Wayra and Endeavor.
- **Cre100do:** this program focused on promoting the middle market in Spain was launched in 2014 and transformed into the Cre100do Foundation in 2019.





## Board of trustees

This brings together 24 renowned and internationally recognised innovative thinkers, leading entrepreneurs and representatives of the public and academia. In 2023, the board included:

- José María Fernández-Sousa (Spain)
- John de Zulueta (Spain)
- Rafael Mateu de Ros (Spain)
- Ángel Cabrera (United States)
- Antonio Damasio (Portugal)
- Dongmin Chen (China)
- Charles Bolden (United States)
- Emilio Méndez (Spain)
- Carlos Mira (Spain)
- María Dolores Dancausa (Spain)
- Gloria Ortiz (Spain)
- Pedro Guerrero (Spain)
- Philip Lader (United States)
- Richard Kivel (United States)
- Robert Metzke (Germany)
- Eden Shochat (Israel)
- Jens Schulte-Bockum (Germany)
- Soumitra Dutta (India)
- Tan Chi Nam (Singapore)
- Stephen Trachtenberg (United States)
- Wilfried Vanhonacker (China)
- Sheila Stamps (United States)
- Grace Xin Ge (China)

## 20th anniversary

To mark its twentieth birthday, an interactive digital publication was created showing how the Foundation has developed and anticipated the future during its two decades, in the words of its trustees and prominent members of its innovation ecosystem, such as the chairman of the Foundation, José María Fernández Sousa; the chairman of Bankinter, Pedro Guerrero; an expert from theFuture Trends Forum think tank, Esperanza Cuenca; and the CEO of the Cre100do company PROSOL, Rocío Hervella.

In addition to this online publication, a special video was produced summarising these twenty years of innovation and two in-person events were held on 15 June 2023. The first event, which was reserved for the Foundation community, was a great opportunity to foster knowledge of its programmes and promote contact between the participants in a relaxed atmosphere. The second event was for the general public and was streamed through the Foundation's YouTube channel. It consisted of two presentations and round tables on neurotechnologies and neuroscience, and the challenges facing global energy.





## Future Trends Forum

The Foundation's think tank focuses on analysing and anticipating global trends in innovation. Its experts try to anticipate and learn about tomorrow's challenges today. It holds two forums per year. The conclusions are set out in a detailed report that is published on the Foundation's website and channels, and shared in face-to-face and online events, which are available to everyone in both Spanish and English.

### Megatrends

The Megatrends innovation trends report was prepared for the second year, covering neurotechnology, artificial intelligence, metadata and the cloud, mobility, targeted medicine, talent, education, sustainability, space economy, the metaverse and web 3.0. It was presented online by an expert from the Foundation, Miguel Arias.

### Neurotechnology for human well-being

The Foundation convened its think tank in June to explore future opportunities and challenges in neurotechnology, focussing in particular on physical and mental well-being. The forum discussed developments such as mind-controlled exoskeletons and mitigating the tremors caused by Parkinson's disease, with the objective of preventing and treating mental illnesses such as Alzheimer's disease, regenerating organs through bioelectricity and enhancing human capabilities. Additionally, the ethical implications of these technologies and their relationship to transhumanism were explored in depth.

### Tech to table: the future of food

At the year's second forum, the experts shared strategies, innovations and technologies for transforming global agriculture and food, including: developing advanced fields for agriculture that grow plants and also capture carbon and promote biodiversity; revolutionary technologies that optimise efficiency and reduce waste, and production of alternative sources of protein, which has a crucial role to play, with advances such as lab-grown meat and plant-based food sources offering sustainable and ethical options that can reduce our carbon footprint, land use and water consumption.

### Seminars and conferences

Twelve online events were held in 2023. These addressed various topics and achieved 24,000 views, with an average NPS satisfaction score of 71. The topics discussed included:

- The challenges of quantum technologies, with José Ignacio Latorre.
- Generative artificial intelligence, with Asier Arranz.
- #FutureTalks on quantum computing, with Ignacio Cirac.
- Megatrends 2023, with Miguel Arias.
- The future of neurotechnology, with Álvaro Pascual Leone.
- New antibiotics with artificial intelligence, with César de la Fuente.

Two private face-to-face events were also held with customers, in partnership with Bankinter, to share the knowledge from the Forum through its experts.

**Twelve online events were held in 2023, which addressed various topics and had 24,000 views and an average NPS satisfaction score of 71.**



## Startups

As part of its commitment to promoting innovation in the Spanish entrepreneurial ecosystem, the Foundation has been collaborating with Bankinter since 2013 on the Startups programme, through which the Bank invests in innovative technology startups. Since its creation, it has invested in 48 startups, which it has accompanied in their growth, offering them tools and knowledge that have helped them continue developing their businesses.

### Observatory

The free Startup Observatory tool continued to be one of the Foundation's great assets in 2023, collecting all public data on the Spanish startup ecosystem and making it available to everyone in a unified and orderly way. This is a reference tool for analysts of the ecosystem. In 2023, it collected 382 operations with total investment of 2,331.1 million euros, with a 10.3% reduction in operations.

As indicated by the Observatory reports produced by the Foundation's experts, the 32.2% decrease in investment was due to a 38.31% drop in foreign investment and the large volume of "mega rounds" (operations in excess of fifty million euros), as there was only a slight decrease in the volume of investment (7.4%) and operations (8.8%) compared to 2022 if these are excluded.

**Five Coffee with Entrepreneurs events were held in 2023. The events attracted a total audience of 353 viewers and achieved an average NPS satisfaction score of 74.**

### Scaleup Spain Network

For the fourth consecutive year, the Foundation, together with Wayra (Telefónica) and Endeavor, organised the *Scaleup Spain network* programme, which helps startups with high growth and potential to take the next step and become scaleups. To this end, it fosters a network with entrepreneurs who have already gone through the scale-up process, through workshops and private conferences.

In 2023, the programme launched its fourth round with an on-site bootcamp in October, two networking days and workshops on sales, governance, management with OKRs and internationalisation. Online sessions were also held on talent, hiring and culture.

The Scaleup Spain Network now includes fifty startups, after ten new companies joined the fourth round. These startups, together with those from previous rounds, have attracted total financing of 844 million euros and had an average of 65 employees at year-end 2023.

### Events with entrepreneurs

In 2023, five Coffee with Entrepreneurs events were held. These are webinars in which the Foundation team interviews leaders from the startup ecosystem to share their entrepreneurship experiences, opinions about the current state of the ecosystem and various areas of knowledge related to startups. The events attracted a total audience of 353 viewers and achieved an average NPS satisfaction score of 74.



## Akademia

Akademia has been working to promote innovative university talent for 15 years. Through virtual sessions spanning a four-month period, students from different disciplines at the best universities in Spain ask themselves "what do you need to know today to lead tomorrow?" The experts who collaborate in the Akademia programme debate with university students on trends in innovation that will be essential in their future careers.

The Akademia programme brings together experts in innovation, including members of the Future Trends Forum, directors of innovative companies, entrepreneurs, investors and university professors.

In the 2023 round, 143 students participated, rating the programme with an average NPS of 78 and highlighting the high quality and relevance of the content, which ranges from energy and telecommunications to big data, artificial intelligence and quantum computing. An innovative aspect of this round was the introduction of a new module on the future of water, highlighting the technological innovations that will occur in this sector in the coming years. The students also had the opportunity to apply their knowledge by developing an artificial intelligence algorithm to resolve real business problems. On-site sessions were also held at various universities, including Loyola and Deusto, where trends in innovation were explored in an open format.

**143 students took part in the 2023 round, rating the programme with an average NPS satisfaction score of 78.**

In 2023, Akademia also launched 'Akademia Talent', a programme dedicated to its alumni community, which already exceeds 3,000 people. This development focuses on three pillars: the promotion of professional careers through interviews published on the Foundation's networks, a continuing education programme for small groups, and the integration of alumni as experts in the Akademia programme.

## Cre100do

Medium-sized companies represent a core part of the Spanish economy, and fostering their growth in excellence and size is crucial for our country. The Cre100do programme was set up (in collaboration with ICEX and the Círculo de Empresarios) to promote this. The programme was transformed into the Cre100do Foundation in 2019, marking the beginning of a new phase.

The Cre100do Foundation is dedicated to promoting business excellence by bringing together the most outstanding and innovative middle market companies in Spain. Its mission is to stimulate growth, promote cooperation, revitalise the economy and generate a positive impact on society. To foster business excellence, Cre100do instils core values and knowledge, promotes best management practices, encourages the adoption of advanced technologies, and supports social and environmental responsibility.

Currently, the Cre100do Foundation is helping 135 innovative companies in their transformation into large companies, serving as an inspiration for the sector. It is supported by the Bankinter Innovation Foundation, which is one of its trustees and promotes its initiatives.



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# Corporate Governance





# Corporate Governance

## Orderly succession and new challenges

Bankinter is more than a bank. To reinforce our contribution to society, we need an efficient corporate governance system capable of managing emerging risks in the most effective way. We are fully committed to the transition to a more sustainable environment, which was a core driver of our behaviour in 2023. This translates into responsible performance across all areas of our activity, through our governance bodies, involving all levels of the entire organisation.

Bankinter continually reviews its corporate governance system to comply with the strictest good governance practices and meet the demands of its stakeholders, in order to create a long-term strategy for stability and value creation for all of our shareholders, customers, employees and society in general.

Some of the new features and improvements implemented in 2023 are described below. More detailed descriptions are provided in the annual corporate governance report, which is available on Bankinter's corporate website.

### Composition of the board of directors

No. of  
directors

**11**

Term of office

**4** years

Percentage of  
independent  
directors

**54.5%**

Percentage of  
women <sup>(\*)</sup>

**45.5%**

(\*) One as chief executive officer and highest ranking executive of the company since 2010.

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At the Annual General Meeting held in 2023, the re-elections of María Dolores Dancausa Treviño as an executive director and the independent directors María Teresa Pulido Mendoza, María Luisa Jordá Castro and Álvaro Álvarez-Alonso Plaza were approved, all for a period of four years. Therefore, there are no changes in the composition of the Board compared to last year.

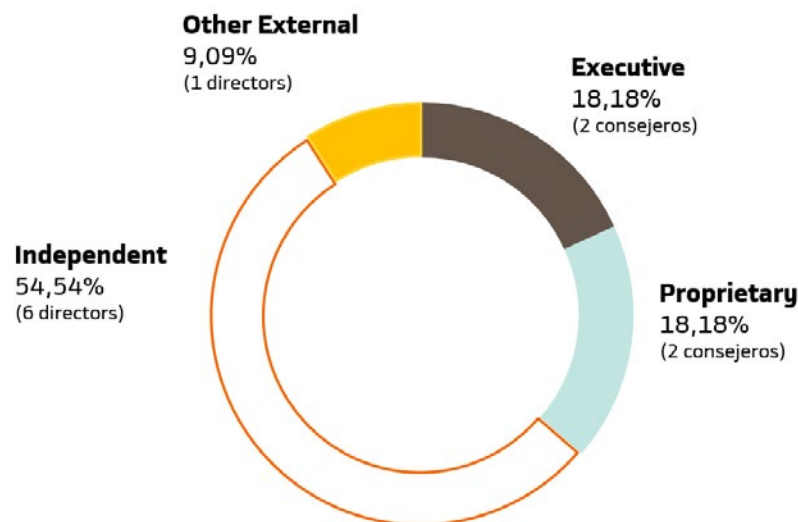
It is important to mention the changes communicated by Bankinter's chief executive officer on 20 December 2023, proposing the appointment of María Dolores Dancausa Treviño as non-executive chairwoman of the bank, replacing Pedro Guerrero Guerrero, who has resigned from that position after 17 years chairing the board of directors, and the appointment, by the Annual General Meeting of the Bank, to be held on 21 March 2024, of Gloria Ortiz Portero, the current head of Commercial Retail Banking, as the new chief executive officer of the bank. Both appointments will be effective on the day of the aforementioned Annual General Meeting. These decisions guarantee that handover always takes place in an orderly manner and that business continuity is protected without any setbacks.

The appointments of María Dolores Dancausa as non-executive chairwoman and Gloria Ortiz as chief executive officer mark a new era in which Bankinter will continue to promote a unique business model, based on profitable growth, diversification of income sources, an omnichannel approach and effective risk control, taking advantage of the synergies between the subsidiaries and geographical areas the Group operates in.

Likewise, in its meeting of 24 January 2024, the sustainability and appointments committee agreed to begin the selection process for a new independent external director, in order to cover the vacancy created by the director Fernando J Francés Pons' resignation, at his own request for personal reasons

This process ended with the proposal for the appointment of Teresa Paz-Ares Rodríguez, as an independent external director by the Annual General Meeting to be held on 21 March 2024, after her suitability was assessed by the committee.

Consequently, the board of directors is and will be formed, once these board proposals are approved at the meeting, by 11 directors, with the following distribution in terms of categories:



**The appointments of María Dolores Dancausa as the non-executive chairman and Gloria Ortiz as the chief executive officer usher in a new stage in which Bankinter will continue to promote a unique business model that sets it apart, based on profitable growth.**



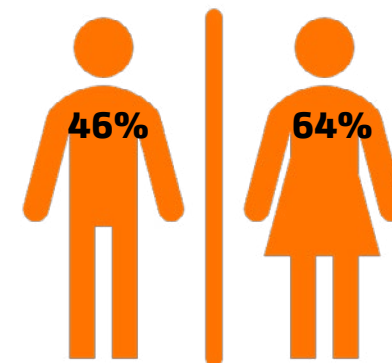
Therefore, the board of directors continues to have and consolidate, on the one hand, a size favouring effectiveness, where all directors may participate and decision-making is agile and, on the other hand, a structure that reflects the existing proportion between the company's capital, represented by the proprietary directors, and the rest of the capital. Bankinter will continue to have 54.5% independent directors, which enables it to comply with national and international recommendations and best practices.

In terms of diversity, the appointment of a new executive director and the independent external director will increase the number of women on the board to seven, 64%, which is above the targets set by Bankinter and national and international recommendations and best practices.

In addition, the appointment by the board of Maria Dolores Dancausa Treviño as non-executive chair will make the bank the only IBEX35 company with two women in the main administration and management positions (non-executive chair of the board of directors and chief executive officer). The other five female directors are independent external directors.

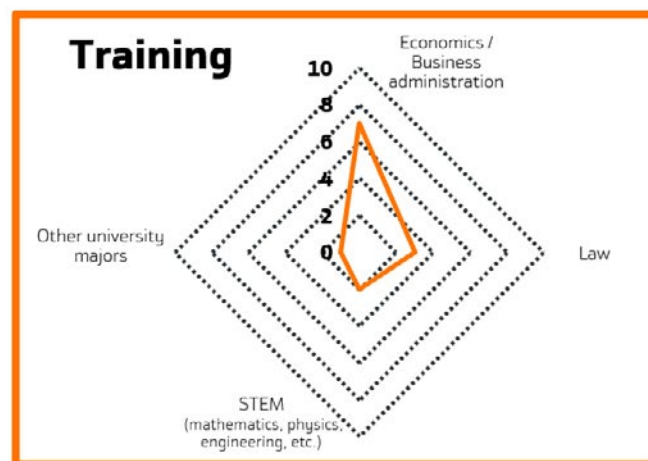
It should be noted that members of Bankinter's board of directors overall possess sufficient and appropriate knowledge and experience to cover all the areas necessary for running the entity's operations, including:

- The business and related key risks
- All significant activities
- Relevant areas of sector and financial expertise, including financial and capital markets, capital adequacy and models
- Accounting and financial reporting
- Risk management, compliance and internal audit
- IT and security



- Local and regional markets
- The legal and regulatory environment
- Management skills and experience
- Strategic planning capabilities

As a result, it can be concluded that the current composition of Bankinter's board of directors fully complies with the objectives of diversity in terms of national and international knowledge and experience, gender and age.







## Annual General Meeting

Since 2021, Bankinter has had the necessary statutory authorisation to hold meetings exclusively by electronic means, with all the necessary provisions to ensure that shareholders can attend and effectively exercise all their rights. Having this possibility gives the Bank greater flexibility, which can be very useful in situations where this format is advisable without relying on exceptional legislative measures.

Bankinter also adheres to a policy of communication with shareholders, institutional investors and proxy advisors aimed at taking their legitimate interests into account. Therefore, they receive information on the Bank's priorities and criteria in relation to all matters related to corporate governance, among other aspects of management. Dialogue with stakeholders continues to be one of Bankinter's priorities, through which it verifies that its strategy and objectives are in line with their expectations, and ensures the continuity of those that drive its profitability and sustainable growth. Bankinter makes available information on its priorities and criteria in relation to all matters related to corporate governance, among other aspects of management.

## Coherent structure

Internal rules and regulations are a pillar of Bankinter's robust corporate governance system. They comprise frameworks, policies and procedures that govern the various areas of its corporate life and activity in accordance with applicable external regulations and best practices. The consolidation of these elements into a robust and coherent regulatory pyramid, which Bankinter has been adjusting and adapting to changing requirements in recent years, was demonstrated in the Group's Corporate Governance Policy in 2021. This ensures that the internal regulations always retain a coherent and efficient structure, with clear and well-defined scopes for application and powers for proposal, approval and monitoring, with the aim of facilitating the board's supervisory function.

As regards relations with subsidiaries, Bankinter Group has a solid mechanism for co-ordinating its internal governance systems. In accordance with the Corporate Governance Policy, the board of directors establishes the appropriate guidelines to ensure the exchange of information necessary for the strategic coordination of the activities carried out by the different companies of the Group.

In addition, Bankinter adapted the internal rules and regulations of its subsidiaries to the general policies approved for the Group. This guarantees uniformity in the application of its corporate governance principles, while respecting the unique features of their respective areas of operation and the principle of proportionality.

The board committees continued to carry out duties in relation to Bankinter Group companies, both through the exercise of specific powers and through co-ordination in matters within their remit, thus contributing to maintaining transparency and simplicity in the organisation.

The committees carry out the duties within their competence for those Group companies that, not having their own committees due to their size and composition, nevertheless require supervisory work in the matters under the responsibility of the corresponding committee. This is the particular case of the duties exercised by the remuneration and sustainability and appointments committees of the parent Bankinter with respect to Bankinter Luxembourg, Bankinter Asset Management, and the companies comprising the Consumer Group, with Bankinter Consumer Finance as parent, and Bankinter Investment Group.



## Evaluation of the board

The board of directors carried out its annual evaluation for the 2023 financial year. Note that because the evaluation for 2022 was carried out by an external expert (following recommendation 36 of the Good Governance Code of Listed Companies), the evaluation for 2023 was carried out internally, still taking into account the findings of previous financial years. The evaluation of operation and performance was carried out on the following collective bodies and functions: the board of directors, committees, the non-executive chairman of the board and executive directors, as well as chairmen of the committees.

The results of the internal evaluation for the 2023 financial year were reported by the committee to the board in the meeting held in January 2024, and the results was positive in every area and, therefore, no action plan was necessary. This will be included, as every year, in the Annual Corporate Governance Report that is presented to the Annual General Meeting to be held in 2024.

## Challenges for 2024

The banking sector has become a strategic sector in managing the risks resulting from climate change, capitalising on the opportunities that this transformation represents by financing renewable energies and supporting the ecological transition. New risks are emerging, such as those from the digital transformation and the current geopolitical situation. This makes it essential to have a robust, coherent and efficient corporate governance system.

The committees of Bankinter's board of directors will continue the current level of coordination and cooperation to ensure that sustainability risks and opportunities are identified and monitored through appropriate control processes.

Dialogue with stakeholders will remain a priority for the bank as a tool for guaranteeing alignment of its strategy and objectives with the expectations of its stakeholders and ensuring the necessary transparency and disclosure of information to generate trust and drive the profitability and sustainable growth of their investments in the bank, in accordance with Bankinter's corporate culture and values.

**A robust, coherent and efficient corporate governance system is essential for addressing the challenges of 2024.**



Integrated  
Annual  
Report  
2023

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# Sustainability





# Sustainability

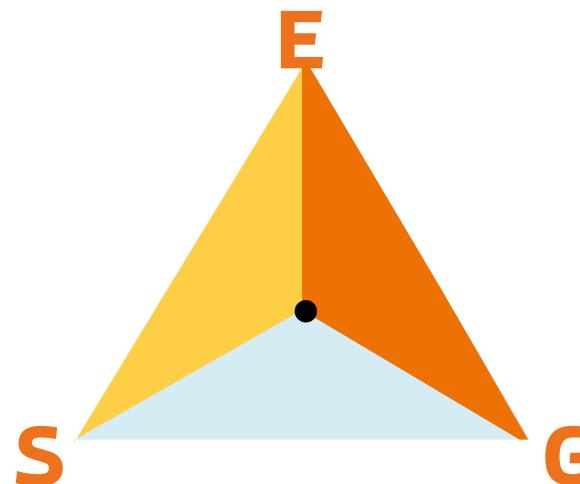
## Balance of the three-year plan and renewed commitment to excellence

Bankinter's sustainability strategy is part of the Group's Corporate Sustainability Policy, which is implemented through successive multi-year plans. Implementation of the 2021-2023 3D Sustainability Plan concluded in 2023. This Plan was designed to promote responsible management in the three dimensions of business (Environmental, Social and Governance, or ESG), generating triple value in the geographies where the Group operates. The balance sheet for the programme shows that all of the objectives set in its twenty strategic lines have been achieved.

The main strategic milestones of the Plan are set out below, by ESG dimension.

Financial inclusion  
Human rights  
Advanced people management  
Innovation Foundation  
Volunteering  
Citizenship

Climate change commitment  
Climate change opportunities  
Climate change risks  
Stakeholder involvement  
Environmental footprint  
Biodiversity



Corporate governance  
Responsible business practices  
Sustainable finance  
Non-financial risks  
Stakeholder engagement  
Tax strategy  
Customer-centric services  
Information security





# Governance

## Excellent corporate governance foundations for ESG management in Bankinter



**Corporate governance**  
**Responsible business practices**  
**Sustainable finance**  
**Non-financial risks**  
**Stakeholder engagement**  
**Tax strategy**  
**Customer-centric services**  
**Information security**

Bankinter bases its ESG management on excellent corporate governance foundations, as has been recognised by analysts. The entity builds its sustainability strategy on these, in response to the expectations of its stakeholders, integrating them into its frameworks for action, particularly the Group's Sustainability Policy.

Governance is developed through eight strategic lines. The main milestones achieved in the implementation of the 3D plan are described below.

Updating of policies

**New commitments:**  
**Principles of Responsible Banking and Net-Zero Banking Alliance**

**Development of sustainable finance: investment (SFDR) and fostering ESG business**

**Extension of the Plan to Bankinter Portugal**

**Inclusion in the main sustainability indexes**

# Milestones



## New policies

One of the milestones in the 3D Plan was the updating of policies, including the Environmental and Climate Change Policy and the Accessibility Policy.

The update of the Environmental and Climate Change Policy was due to the need to adapt it to new legislation, which has been growing profusely in recent years, and to extend its scope to the management of indirect environmental aspects, such as the impact of the Bank's financial activity on the natural environment.

The new Accessibility Policy covers new aspects of the Group's management, such as digital and cognitive accessibility and the inclusion of the elderly in the groups that benefit from social responsibility.

A single policy was established for all the Group's companies, subsidiaries and branches to unify its Health and Safety Policies. The purpose of this new unified Policy is to set out the general principles and lines of action of the organisation and to assign responsibilities for its implementation and for the protection of the employees of Bankinter Group and persons visiting its premises, in relation to safety, health and well-being.

## New commitments

Bankinter is a member of the main international alliances in the field of sustainability, such as the United Nations Environment Programme Finance Initiative (UNEP FI). It has signed up to the Principles for Responsible Banking, undertaking, among other things, the commitment to align its business strategy with the Sustainable Development Goals (SDGs) and the Paris Agreement.

In 2021, the bank joined the Net Zero Banking Alliance, which is sponsored by UNEP FI, aiming to achieve net zero emissions from its financial activity by 2050.

## Development of sustainable finance

The Group increased the volume of ESG business and the offer of sustainable products in line with the objectives set, both for individual customers (through in-house and third-party sustainable investment funds, alternative investment vehicles and financing housing) and for companies (to which it offers financing linked, among other things, to sustainability and renewable energy projects).

During implementation of the 3D Plan, new sustainability criteria were added, and some existing criteria were expanded, in the risk policies for the energy and extractive sectors, in particular issues regarding exposure to thermal coal-fired power generation and to conventional oil and gas, and coal mining.

**In 2021, the bank joined the Net Zero Banking Alliance, which is sponsored by UNEP FI, aiming to achieve net zero emissions from its financial activity by 2050.**



## Extension of the 3D Plan to Portugal

Bankinter Portugal consolidated its commitment to sustainability in 2023, after completing its integration into the Bank's strategy during the previous year, adapting the 3D Plan to the requirements of the country and its business there.

The main milestones included:

- **Adherence to commitments and initiatives**, such as the Charter of Principles of the Business Council for Sustainable Development (BCSD) Portugal, the Portuguese Charter for Diversity, the Lisbon European Green Capital 2020 Commitment and the SIBS ESG Ecosystem.
- **Expansion of the sustainable business offering** to products such as the Efficient Home Loan, the BKCF BK Power credit card using recycled PVC and Bankinter Consumer Finance personal loans for renewable energy.
- **Top Employer Portugal 2023 certificate**. Bankinter Portugal was recognised as the Top Employer Portugal 2023, the third time it has achieved this recognition.
- **Diversity and Inclusion Plan**. Aligned with the United Nations SDGs and Portugal's strategic priorities, as set out in the National Report on the implementation of the 2030 Sustainable Development Agenda.
- **Corporate volunteering**. In 2023, 40% of Bankinter Portugal employees took part in volunteering activities, including the No Banco da Minha Escola educational project and the annual meeting of the Future programme with Semear-Terra de Oportunidades.

## Inclusion in sustainability indexes

In recognition of its good governance and strong financial, environmental and social performance, Bankinter has been included in the global Dow Jones Sustainability Index (DJSI) for the sixth consecutive year, and in the European index for the seventh year. The bank was also recognised in other sustainability indexes and by ESG rating agencies in 2023, including the FTSE4Good, MSCI ESG, CDP and the Bloomberg GEI. S&P Global has included Bankinter in its Sustainability Yearbook, which details the leading companies in corporate sustainability at the global level. The bank was also included in the new IBEX ESG index, launched by Bolsas y Mercados Españoles (BME).

**Bankinter Portugal consolidated its commitment to sustainability in 2023, after completing its integration into the Bank's strategy during the previous year, adapting the 3D Plan to the requirements of the country and its business there.**





# Society

## Management of social criteria, a historic commitment

2023 milestones

Interviews

Strategy and results

Businesses

Risks

Innovation

Corporate governance

Sustainability

Individuals

Annexe



Financial inclusion  
Human rights  
Advanced people management  
Innovation Foundation  
Volunteering  
Citizenship

For Bankinter, management of its relationships with customers, employees and the society in which it performs its activity is a core commitment in its social responsibility. The areas for action established in the 3D Plan were a commitment to excellent service, maintaining quality employment, accessibility and financial inclusion, and social investment.

The main milestones in this area included:

Expansion of  
Universal  
Accessibility  
certification

Extension of digital  
accessibility on the  
website and in the  
app and documents

Financial  
inclusion:  
expansion of  
financial education  
programmes

Development of  
advanced  
people  
management  
programmes

Implementation of  
a social investment  
procedure

Corporate  
volunteering  
programme:  
>20% of staff  
volunteer





## Universal accessibility

Bankinter continues to develop its inclusion plan 'A bank for everyone', with the aim of making its corporate channels more accessible, taking into account the needs of people with disabilities and the elderly in particular.

In terms of physical accessibility, the Bank works under the standards of the UNE 170001 universal accessibility standard, which certifies that its facilities are accessible for anyone with a disability, whether employees or customers. This certification was renewed in 2023 and its scope was expanded as part of the 3D Plan.

## Digital accessibility

The Bank is continuing to work to make digital accessibility a reality in all its channels, both on its websites and in its mobile apps, navigable documents and transactional elements. This effort was recognised by the Ilunion Group in 2022, which awarded its accessibility seal to the bank's mobile app, as it facilitates access and usability for all customers, irrespective of whether they have a disability.

A signature card and a Bizum system for the visually impaired have been developed, and work has been done to make document content more accessible, as well as to make it easier to navigate within documents and read them. The Bank has also made its video and podcast content more easily accessible through the use of adapted keypad technology and financial graphics with spoken navigation and interpretation, and high-contrast colour options.

## Financial inclusion

Bankinter is firmly committed to the dissemination of basic financial knowledge through financial education programmes targeted at different groups. It offers digital financial training platforms, such as Money Town, which is aimed at secondary school and further education students (over 30,000 students at the end of the 3D plan) and Game of Traders, which is aimed at university students and has had more than 5,500 participants. In 2023, the bank sought to expand its focus on financial education to the elderly, developing financial training workshops and digital banking tools.

**The Bank is continuing to work to make digital accessibility a reality in all its channels, both on its websites and in its mobile apps, navigable documents and transactional elements.**

## People management programmes

Bankinter's commitment to quality employment has been recognised through Top Employer Spain certification, recognition that has been renewed annually over recent years. This prestigious network recognises companies that are outstanding because of their work environments, attraction and development of talent, well-being, and diversity and inclusion.

The Bank has retained its family responsible company certificate, which is bestowed by the Másfamilia Foundation on companies that have implemented initiatives to improve work-life balance and promote equal opportunities among employees.

Among the initiatives to promote employee well-being, the entity continues to implement the inclusive and personalised 'Bankinter Te Cuida' (Bankinter, here to help) programme to train and educate employees about the importance of caring for their health.

Bankinter was recognised by the National Institute of Health and Safety at Work (INSST) in 2023 for its good business practices, as a result of this and other programmes related to health and safety.

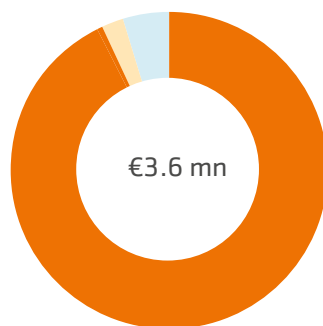


## Social action strategy

In 2022, the bank approved a Social Action Strategy that includes its framework for action in this area. This sets out the social and environmental activities on which the Bank focuses, such as the socio-labour integration of vulnerable groups, financial integration and the preservation and protection of the environment.

Bankinter uses the internationally recognised LBG (London Business Group) methodology to measure, manage, evaluate and communicate the contributions, achievements and impacts of its social action. In 2023, the Group allocated more than 3.6 million euros to social responsibility initiatives, according to calculations based on this methodology.

### Bankinter's contribution



- Cash 87%
- Time 4%
- Management costs 8%

## Corporate volunteering

In 2023, 20% of employees took part in 'Mueve-te' corporate volunteering programmes, which are implemented through events that have a positive impact on society and the environment.





# Environmental

## Aware of the global challenge of protecting the environment and fighting climate change

2023 milestones

Interviews

Strategy and results

Businesses

Risks

Innovation

Corporate governance

Sustainability

Individuals

Annexe



Climate change commitment  
Climate change opportunities  
Climate change risks  
Stakeholder involvement  
Environmental footprint  
Biodiversity

Bankinter is keenly aware of the global challenge of protecting the environment and combating climate change, which is why its sustainability strategy includes guidelines and programmes aimed at minimising direct environmental impacts, caused directly by its own operational activities and indirectly, mainly by its financial activity.

Highlights during the implementation of the 3D Plan include:

Calculation of the carbon footprint (operational and financial) and the roadmap for decarbonisation in accordance with the NZBA

Inclusion of environmental metrics in the Risk Appetite Framework and the variable remuneration of identified staff

Implementation of the climate risk rating tool for corporate banking

Measurement of exposure to climate change risks in the corporate banking and mortgage portfolio

Calculation of the percentage eligibility of sustainable assets in the sustainable finance taxonomy

Extension of certification of the environmental management system under the UNE EN ISO 14001 standard



## Carbon footprint and decarbonisation

Bankinter has defined a decarbonisation strategy to achieve neutrality in its carbon footprint by 2050, both in terms of its operational emissions (which it achieved in 2020) and the emissions it finances.

The objective of the decarbonisation strategy is to achieve climate neutrality for the Group, to meet the commitments it acquired when joining the *Net-Zero Banking Alliance*, with intermediate goals for 2025 and 2030. The neutrality objective has been set based on the calculation of the carbon footprint from its financial activity in terms of both corporate banking and mortgages.

Bankinter is following a path of progressive adaptation in the management of emissions from its Corporate Banking loan book, in line with the Paris Agreements and the Integrated National Energy and Climate Plan (PNIEC). The roadmap, therefore, uses the ratio of estimated emissions per million euros of loans, which is comparable with the PNIEC parameters, as a reference.

## Environmental metrics in the Risk Appetite Framework

In November 2022, the risk and compliance committee submitted a proposal to the board of directors advising it to incorporate the financed emissions indicator, which measures the impact on decarbonising the economy through financing granted by the Bank to its customers, into the Bankinter Group's risk appetite framework.

### Climate risk rating

Bankinter has implemented a rating tool for climate change risk for all companies as part of the process for processing credit applications. This rating measures the customer's likelihood to be affected by physical and transition risks. This considers variables related to the company's activity, the geographical location of its facilities and factories, and its turnover and credit quality, measured through the internal rating. This tool enables ranking of the portfolio from lowest to highest sensitivity to risks related to the climate and the environment. Specific policies can then be developed for the most vulnerable segments. The rating provides complementary information on the potential physical risks to which the activity could be exposed, as well as the eligible branches under the European taxonomy.

**Bankinter has defined a decarbonisation strategy to achieve net zero emissions, both direct (achieved in 2020) and indirect.**



## Sustainable finance taxonomy

The bank has assessed the percentage of its financial activities in Corporate Banking that are aligned with the criteria and categories in the European Union's sustainable finance taxonomy. They are:

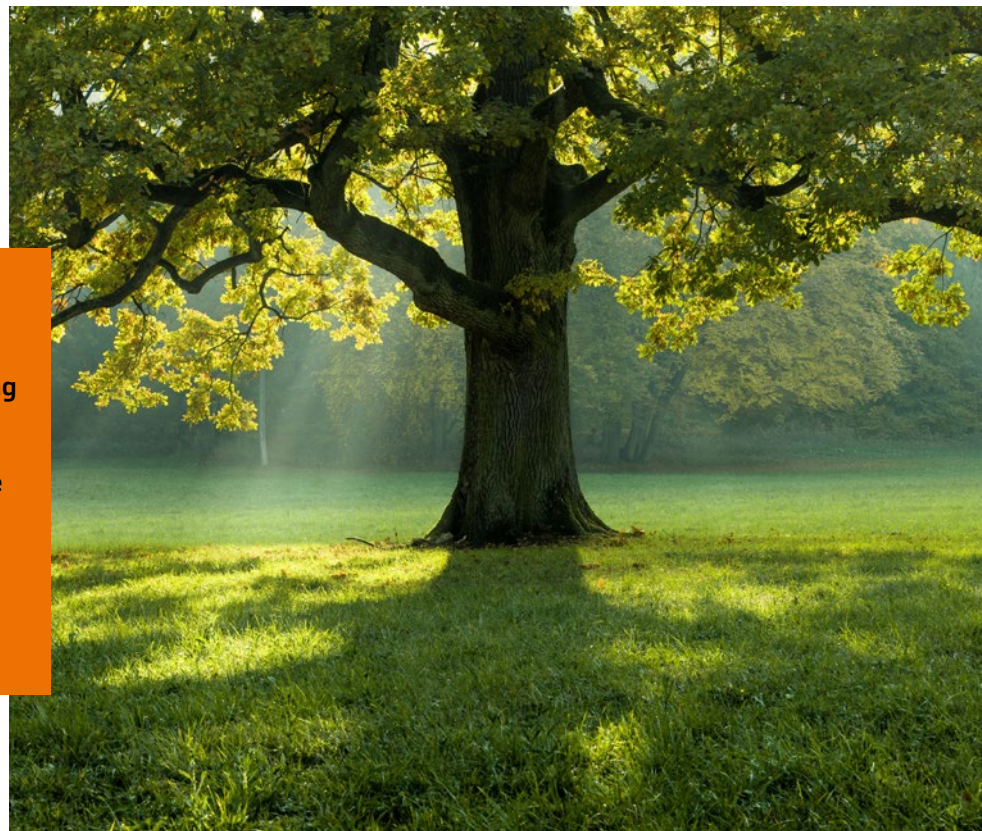
- Climate change mitigation
- Adaptation to climate change
- Sustainable use and protection of water and marine resources
- Transition to a circular economy
- Prevention and control of pollution
- Protection and restoration of biodiversity and ecosystems

## Extension of the Environmental Management System

In order to guarantee management of its environmental footprint and continuous improvement of its impact on the environment, Bankinter has set up an Environmental Management System (EMS), which is certified in accordance with the UNE EN ISO 14001 standard. This is a tool used to study the impact of the organisation's activities on the environment. It helps the organisation achieve its environmental objectives in a systematic and documented manner.

This certificate currently includes the four singular buildings that house its large work centres and its two office locations in Madrid, the main building in Barcelona and the main branches in Valencia, Bilbao and Vigo.

The bank has assessed the percentage of its financial activities in Corporate Banking that are aligned with the criteria and categories in the European Union's sustainable finance taxonomy.

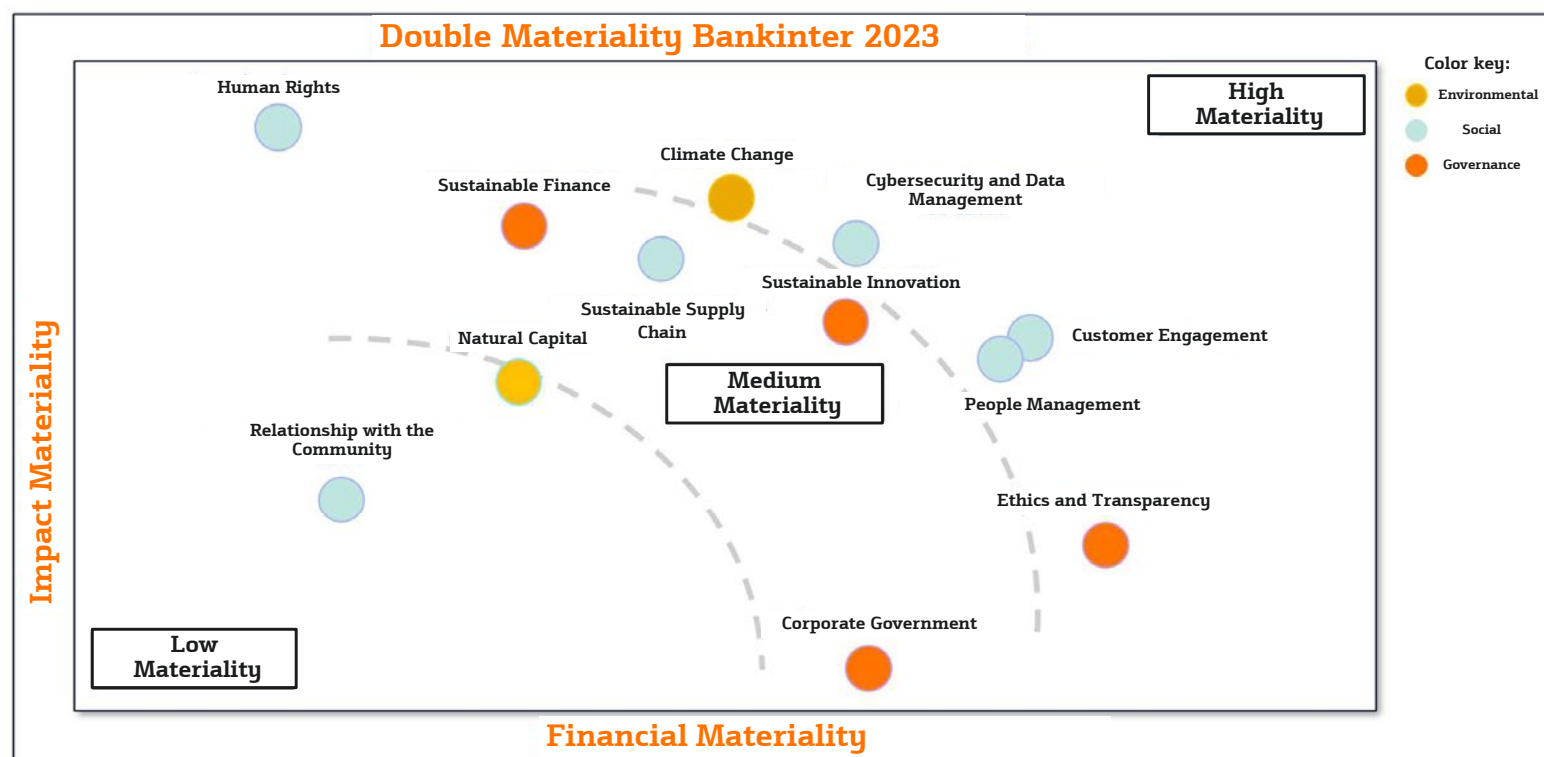




# The new 2024-2026 Plan

## A plan structured around the 3 pillars of our DNA

The new Sustainability Plan was defined through double materiality analysis to identify the main ESG (Environmental, Social and Governance) challenges of the coming years at the regulatory and market levels. This analysis sought to identify the most significant aspects for ESG management, considering the impact the bank can have on the environment in terms of sustainability and the financial repercussions of sustainability on the entity.



After analysing these results, Bankinter has designed a plan that is structured around the three pillars of our DNA, considering the expectations of all our stakeholders. This has been developed into twelve strategic lines:

D

**The "D" is for differentiation.** Bankinter is positioned as an entity with its own distinctive values through its range of innovative solutions using the best available technologies (such as artificial intelligence), its renowned quality of service and advanced people management. The strategic lines related to this area are customer relations, people management, sustainable innovation and relations with the local community.

N

**The "N" represents sustainable business ("negocio sostenible" in Spanish).** This includes aspects related to Bankinter's businesses from a perspective of sustainability and also addresses ESG risks. The strategic lines related to this pillar are sustainable finance, climate change, natural capital and cybersecurity.

A

**The "A" is for responsible action.** This focuses on the bank's ethical management and its commitment to responsible and transparent business practices. The strategic lines in this area are corporate governance, ethics and transparency, human rights and the supply chain.



## Action

The strategic pillar 'A', corresponds to 'Responsible Action'

Material issues:

- Corporate Governance
- Ethics and Transparency
- Human Rights
- Supply Chain



## Differentiation

The strategic pillar 'D', which corresponds to 'Differentiation'

Material issues :

- Customer Relationship
- People Management
- Sustainable Innovation
- Relationship with the Community



## Negocio (Business)

The strategic pillar 'N', corresponding to 'Negocio Sostenible' (Sustainable Business)

Material issues:

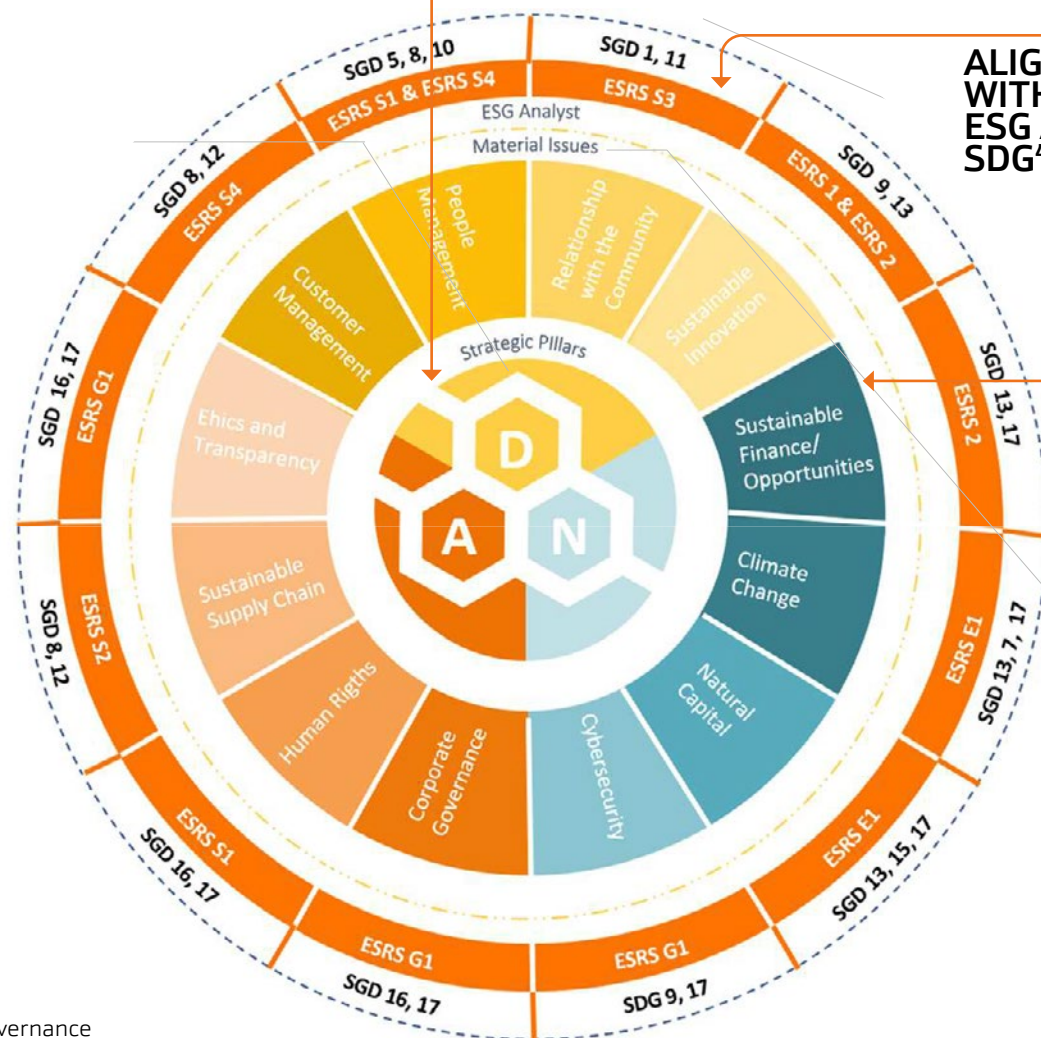
- Sustainable Finance/Opportunities
  - Climate Change
  - Natural Capital
  - Cybersecurity
- ESG Risk2



## Structure of the Plan

### ESG PILLARS<sup>1</sup>

These pillars give rise to the strategic lines



ALIGNMENT THE  
WITH CSRD<sup>2</sup> (ESRS)<sup>3</sup>,  
ESG ANALYSTS<sup>1</sup> and  
SDG<sup>4</sup>

MATERIAL  
ISSUES

1. ESG, environmental, social and governance
2. CSRD: Corporate Sustainability Reporting Directive
3. ESRS: European Sustainability Reporting Standards
4. SDGs: Sustainable Development Goals



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# People Management





# Individuals

## Ensuring we have the best talent to benefit our customers and the business

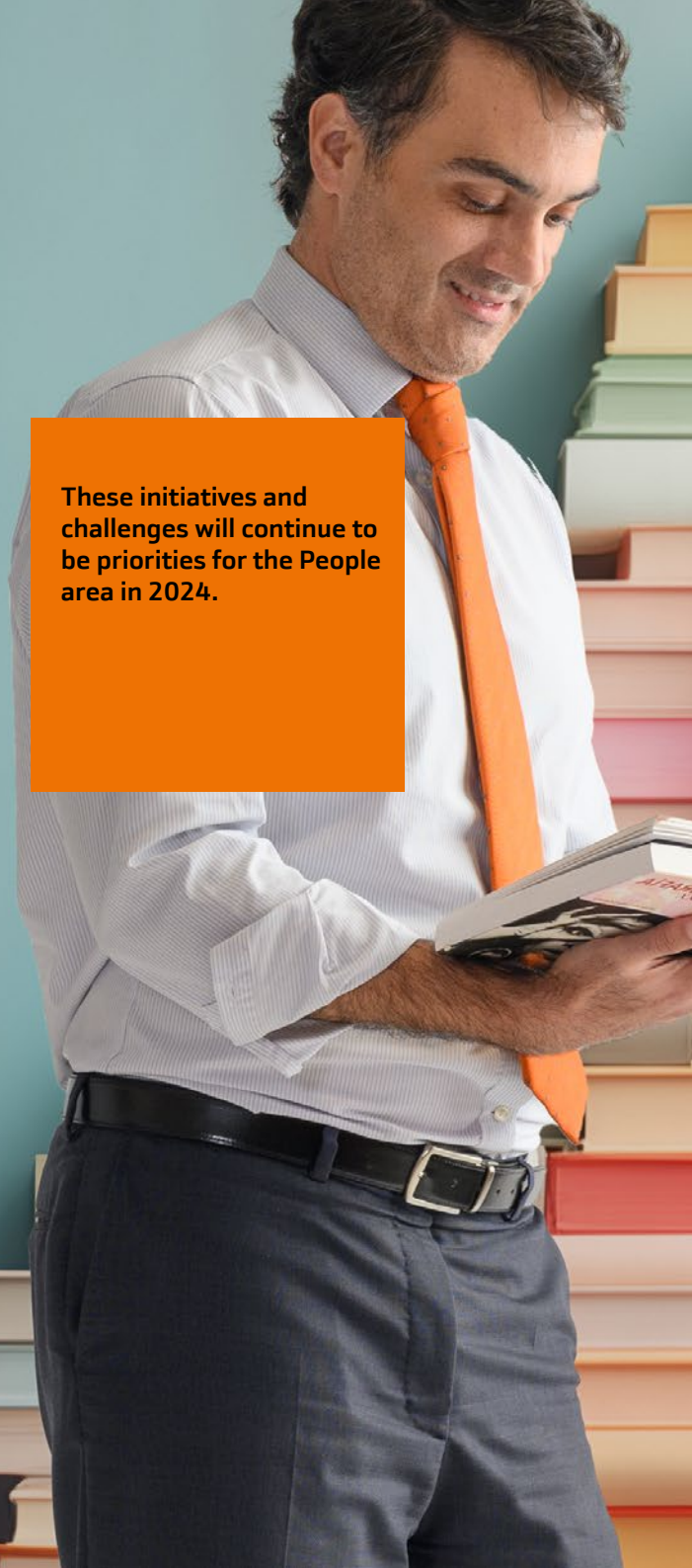
The Strategic Plan for People continued to evolve in 2023 with the objective of ensuring the bank has the best talent so its business is sustainable over time, grows robustly and delivers the maximum value to its customers. To this end, work has been carried out throughout the year on various initiatives centred on five main lines of action:

- **Attracting external talent and managing internal talent as effectively as possible**, promoting diversity in terms of age, gender and culture. We place particular attention on incorporating young talent, in order to generate meritocratic growth in our internal organisation, particularly in the groups most critical to our business strategy.
- **Developing talent.** It is essential to train our people so they have the knowledge and skills needed for their current roles and more complex challenges in the future. They must be ready to incorporate new technologies on a daily basis (such as advances in generative artificial intelligence and cybersecurity awareness) and have in-depth knowledge of the business to innovate and advise our customers.
- **Generating an inspiring and engaging environment.** This is about training leaders who set an example for service, openness and vision, through the most

suitable development programmes for where they are in their careers. The People area fosters the health and well-being of our employees, impacting our work spaces, with approachable leaders who promote health education to encourage healthy lifestyles. Our objective is to create an innovation ecosystem with programmes to promote cutting-edge techniques and methodologies and develop the necessary skills, in order to maintain the innovative DNA that has always been Bankinter's hallmark, and to generate a universal partnership model to share and retain knowledge, with our internal experts acting as trainers and managers of training communities.

- Working constantly so that our remuneration and benefits offer is competitive, and understood and valued by everyone.
- Continuing to advance our sustainability and diversity strategy. Our aim is to develop financial products consistent with our sustainable business strategy, train our people so they have the knowledge and skills needed in selling and advising on these products, and foster a general culture of sustainability and diversity so all behaviour is aligned with the bank's strategy.

**These initiatives and challenges will continue to be priorities for the People area in 2024.**





# Ensuring we have the best talent

## What talent do we need?



Strategic businesses  
Key groups  
Critical capabilities

## How do we ensure this?



Attract and engage  
talent to join us

Employer  
brand

Help talent grow  
and retain its  
footprint

Development  
and career

Inspire and engage  
talent

Environment  
and leadership

Culture of sustainability

Remuneration and benefits



## Health and safety

The well-being, health and safety of people are of the utmost importance for Bankinter. We strive continuously to ensure this, focusing our efforts to ensure the greatest possible protection. In 2023, we updated our Health and Safety Policy, expanding its scope to the entire Bankinter Group.

We also boosted the 'Bankinter, here to help' programme, which is a pillar of our good practices model. This focuses on improving the well-being of everyone in Bankinter, including initiatives in five dimensions of well-being: physical, emotional, social, financial and intellectual. This programme is promoted by the Internal Communication area, which offers a host of information and training content related to these five dimensions. This includes webinars with leading figures in their fields to raise awareness and educate about aspects of health and well-being. Another feature is the United Heroes application, which promotes physical exercise and sport, and significantly increased its number of followers in 2023 compared to the previous year.

As a result of these initiatives, 'Bankinter, Here to Help' has been recognised by the National Occupational Health and Safety Institute for the bank's good practices in promoting health at work, enabling it to join the Spanish Network of Healthy Companies.

In parallel, as part of the everyday activities of the Prevention area, health examinations continued to take place to facilitate early detection of

**'Bankinter, Here to Help' has been recognised by the National Occupational Health and Safety Institute for its good practices in promoting health at work.**

medical conditions. The option of an additional medical examination after long-term sick leave was introduced during the year. In addition, regular environmental assessments are performed in all workplaces, establishing the preventive measures needed to control risks and guarantee safe and pleasant environments for professional activity

To continue ensuring the integration of prevention in all the bank's activities and processes, and to guarantee excellence in health and well-being, we are working to obtain ISO 45001 certification in 2024. This is an international occupational health and safety standard. It is not mandatory but it will help to increase the effectiveness of preventive management, ensuring compliance with prevailing legislation and reducing the number of accidents at work.

## Closeness and relationship with people

New proximity programmes were launched in 2023 to continue meeting the needs of everyone in Bankinter and enrich their experience in the entity. The HR Business Partners have held more than 590 development conversations, aimed at identifying professional growth concerns and providing guidance on the paths available to employees to take ownership of their development in the company. To expand the scope of this initiative, six information sessions were held on the '5 paths for self-development guide', with over 350 people attendees and an NPS satisfaction index rating of 65%. Informative sessions open to all staff were also held on various human-resource issues, with over 200 people taking part.

A communication campaign was launched in 2023 on the company benefits available for many aspects of employees' lives, adapting the calendar of publications to needs that arise during the year. The objective is to provide information on the human-resource offering available to employees, considering what each person needs at all times. #PorSerBankinter (#ForBeingBankinter) has made nine posts and the project will continue in 2024.



## Training and talent

The mission of the People area is to be a driver of transformation for the organisation, so our team has the necessary capabilities and greater employability. Based on this, Bankinter's Training and Talent area set itself the key objective of maximising value creation for professionals in 2023. The objective is to develop our employees considering the needs of the business, updating and deepening their knowledge of the capabilities demanded by the market and our customers, and ensuring the best possible talent management.

A high level of training activity and quality learning has been maintained through Bankinter Corporate University. In addition to the extensive offer of training, with 512 courses taught, the training catalogue for the virtual campus offers 77 options. There were 328,747 hours of training in 2023, 71.47% of which were online. 100% of our employees received training over the year, with an average of 62.25 hours per employee. The satisfaction index (NPS) of the surveys carried out among attendees of training actions was 59.36% (annual moving average).

The learning strategy is implemented through the four schools (Business Excellence, Corporate Culture, Talent and Leadership, and Digital and Technical) of our Corporate University. This strategy focused on four levers in 2023:

- **Maintaining perceived quality.** We worked with leading schools and experts in each of the training courses.

- **Advancing the learning experience.** The development project for Bankinter Corporate University enabled constant improvement of our digital campus, enriching the catalogue with new technical courses and skills, and training and certifying 50 internal trainers.

- **Consolidating our leadership and skills plan.** More people took part in the Leadership Pathway programmes and skills workshops.

- **Accompanying the Technology and Digital Security teams through** training itineraries that facilitate the onboarding of new hires and the reskilling of teams.

Our technical training of the commercial network is particularly notable. This is adapted to the knowledge needed for each segment and the requirements of regulators to certify 98% of the target (around 3,000 people) in the MiFID regulations, the Real Estate Credit Contract Law and the Insurance Brokerage Law;

Other highlights include: the FUTURO programme, aimed at training, building loyalty and preparing more than 400 employees with junior profiles as future leaders of the bank; the Data LAB programme, to increase knowledge and development of a data-oriented culture that enables us to make better decisions and be more efficient in our work, with over 660 people taking part and more than 6,000 hours of training; and the Digital Security awareness and training plan for the entire bank.

In relation to talent, in addition to the annual performance assessment and feedback process covering 99.9% of the active workforce (not including interns, employees with less than 4 months experience and the management team), the third Comprehensive Talent Management exercise covered the extended management team for Spain, Portugal, Luxembourg and Ireland, in addition to the commercial network (over 1,000 people). This resulted in talent maps being created for all the teams, understanding each person and their future potential, and preparation of succession plans for critical positions in the bank and other strategic functions.

**A high level of training activity and quality learning has been maintained through Bankinter Corporate University.**



## Hiring

In 2023, Bankinter continued to create jobs, generating a host of opportunities for junior and experienced talent. The attraction of new talent focused on recent graduates and young professionals at the start of their careers, who mostly joined the branch network, telephone banking and the bank's analytical and technical areas (such as Data Management and Analytics, Consumer Finance and the main Technology and Transformation activities), through the STEAM Talent programmes to nurture recent graduates in science and technology. In 2023, 137 young people began their careers at Bankinter Group, 44% of the year's total onboarding.

University internship programmes aimed at both financial and STEAM profiles continued during the year and were very well received by students, with over 3,000 applications for the opportunities published. 276 students did internships in various areas of the Group, including the international destinations of Bankinter Luxembourg and Avant Money in Ireland, which welcomed nine recent graduates through ICEX VIVES scholarships financed with Next Generation Europe funds. These young scholarship recipients represent an extraordinary pool of talent, with 29 joining the bank when their internships ended.

As regards expert talent, its incorporation into the Bank centred on commercial profiles for the more specialised businesses, and specifically on the knowledge needed to continue growing the technology and digitisation projects.

Regarding its own talent, the bank continues to focus on its development and internal growth, offering a wide and varied range of vacancies in the group's companies, both nationally and internationally. In 2023, 96 vacancies were posted, of which seven were positions at Bankinter Luxembourg and nine at Avant Money in Ireland.

In line with the aim of providing growth and opportunities for internal talent, this year the second round of 'Bankinter Mobility' was held, a training and experiential programme aimed at facilitating the spread of knowledge and cultural integration, reinforcing our corporate identity through the professional contacts of employees from different companies and geographical areas. On this occasion, nine of our highest-potential talents from Bankinter Luxembourg, Bankinter Portugal, Avant Money and EVO Banco spent a week with the Bankinter Spain teams, touring two of the main headquarters in Madrid.

**University internship programmes aimed at both financial and STEAM profiles continued in 2023 and were very well received by students, with over 3,000 applications for the opportunities published.**



## Corporate benefits

Bankinter offers a range social benefits beyond the legal requirements that apply to all employees to improve the quality of their personal life and professional development, including training assistance for employees and their children, insurance (health, life and accident), monthly salary advances, special terms and conditions for banking products and services, and meal subsidies depending on their hours and type of working day.

Another benefit offered by the bank is a flexible remuneration system, whereby employees can partially swap their fixed monetary remuneration for certain goods and services (remuneration in kind), such as nursery vouchers, shares, training, pension plan contributions, travels cards and restaurant cards.

In this way, the employee increases their remuneration in two ways: through the bank's bargaining power to get the best prices possible for the goods and services included in the system; and through the tax advantages offered by certain products arranged through this system. Currently, 74% of employees use this flexible remuneration tool.

## Pension schemes

In long-term remuneration designed to cover certain contingencies, the Bank offers the following benefits:

- **Supplementary cover** additional to the benefits paid by the Social Security system in the case of widowhood, orphanhood, permanent occupational disability, absolute permanent disability or severe disability. It is provided for the entire workforce.
- **Coverage of pension commitments** for employees with recognised banking experience dating back to before 1 March 1980, as established in the sector collective bargaining agreement.
- **Annual contribution of 550 euros, pursuant to the provisions of the banking sector collective agreement, to the pension plan** of employees who have more than two years' service in banking and whose pension commitments are not covered by any other scheme.

Bankinter is also a member of the Employee Family Plan, promoted by the Adecco Foundation. This provides a variety of types of assistance to employees with disabilities and family members in a similar situation so they can achieve labour market and social integration or take part in other activities, including leisure activities.

## Total remuneration

Since 2018, Bankinter has had a total remuneration platform that allows employees to consult all the updated elements that form part of their pay package: fixed and variable remuneration, benefits and emotional remuneration. These are aimed at meeting their personal, family and professional needs, to improve their quality of life and work-life balance.



Integrated  
Annual  
Report  
2023

bankinter.



# Annexes



# Information for shareholders and investors

The Bankinter, S.A. Annual Report is presented at the Annual General Meeting and is available to all shareholders of the Company. The information contained includes the period from 1 January 2023 to 31 December 2023, unless otherwise specified. The previous Report, for the 2022 financial year, was published on 22 February 2023.

This document, coordinated by the Bank's Institutional Communication area, was prepared with information collected from the different areas of the entity through interviews, questionnaires addressed to those responsible and requests for accurate information.

The Bankinter Annual Report has followed a process of pooling, review, correction and audit.

In addition to the Annual Report, the bank publishes consolidated quarterly results in January, April, July and October. Both reports are available on the Bankinter Corporate Website.

## Shareholders office

Alfonso Martínez Vaquero  
Avda. de Bruselas, 12  
28108 Alcobendas (Madrid)  
Tel: 91 339 83 30-91 339 75 00  
Fax: 91 339 74 45  
Email: [ofiaccionista@bankinter.com](mailto:ofiaccionista@bankinter.com)

## Customer service

Eloy Antonio López Hernández  
Avda. de Bruselas, 12  
28108 Alcobendas (Madrid)  
Tel: 900 802 081  
Fax: 91 623 44 21  
Email: [incidencias\\_sac.bankinter@bankinter.com](mailto:incidencias_sac.bankinter@bankinter.com)

## Investor relations

Laurie Shepard Goodroe  
David López Finistrosa  
Pº de la Castellana, 29  
28046 Madrid  
Tel: 91 339 75 00  
Email: [Investor\\_Relations@bankinter.com](mailto:Investor_Relations@bankinter.com)

## Corporate Communication

Inés García Paine  
Paseo de la Castellana, 29  
28046 Madrid  
Tel: 91 339 83 38  
Email: [comunicacion@bankinter.com](mailto:comunicacion@bankinter.com)

**Telephone Banking**

|                                                                |                                                                                     |              |
|----------------------------------------------------------------|-------------------------------------------------------------------------------------|--------------|
| Customer assistance to Personal and Private Banking customers. | 8.00 to 22.00h Monday to Saturday (except bank holidays)                            |              |
| Individual Retail Banking                                      | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 91 657 88 00 |
| Insurance Specialists / Commercial Insurance                   | 09.00 to 18.00h Monday to Friday (except bank holidays)                             |              |
| Asset Specialists                                              | 9.00 to 18.00h Monday to Friday (except bank holidays)                              |              |
| Assistance in English                                          | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 91 657 88 01 |
| Assistance in Catalan                                          | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 93 410 84 85 |
| Customer Service support                                       | 9.00 to 18.00h Monday to Friday (except bank holidays)                              | 900 802 081  |
| Technical web assistance (particulares.com)                    | 8.00 to 22.00h Monday to Friday and Saturdays 9.00 to 15.00h (except bank holidays) | 91 657 88 69 |
| Investment and stock exchange specialists                      | 8.00 to 22.00h Monday to Friday (including bank holidays if markets are operating)  | 91 657 88 01 |
| International business specialists                             | 8.00 to 17.00h Monday to Friday (except bank holidays)                              | 91 050 00 96 |
| Corporate Telephone Banking                                    | 8.00 to 18.00h Monday to Thursday and Friday 8.00 to 17.00h                         | 91 050 01 08 |
| Online technical assistance (empresas.com)                     | August 8.00 to 15.00 Monday to Friday (except bank holidays)                        | 91 807 09 84 |



2023 milestones

Interviews

Strategy and results

Businesses

Risks

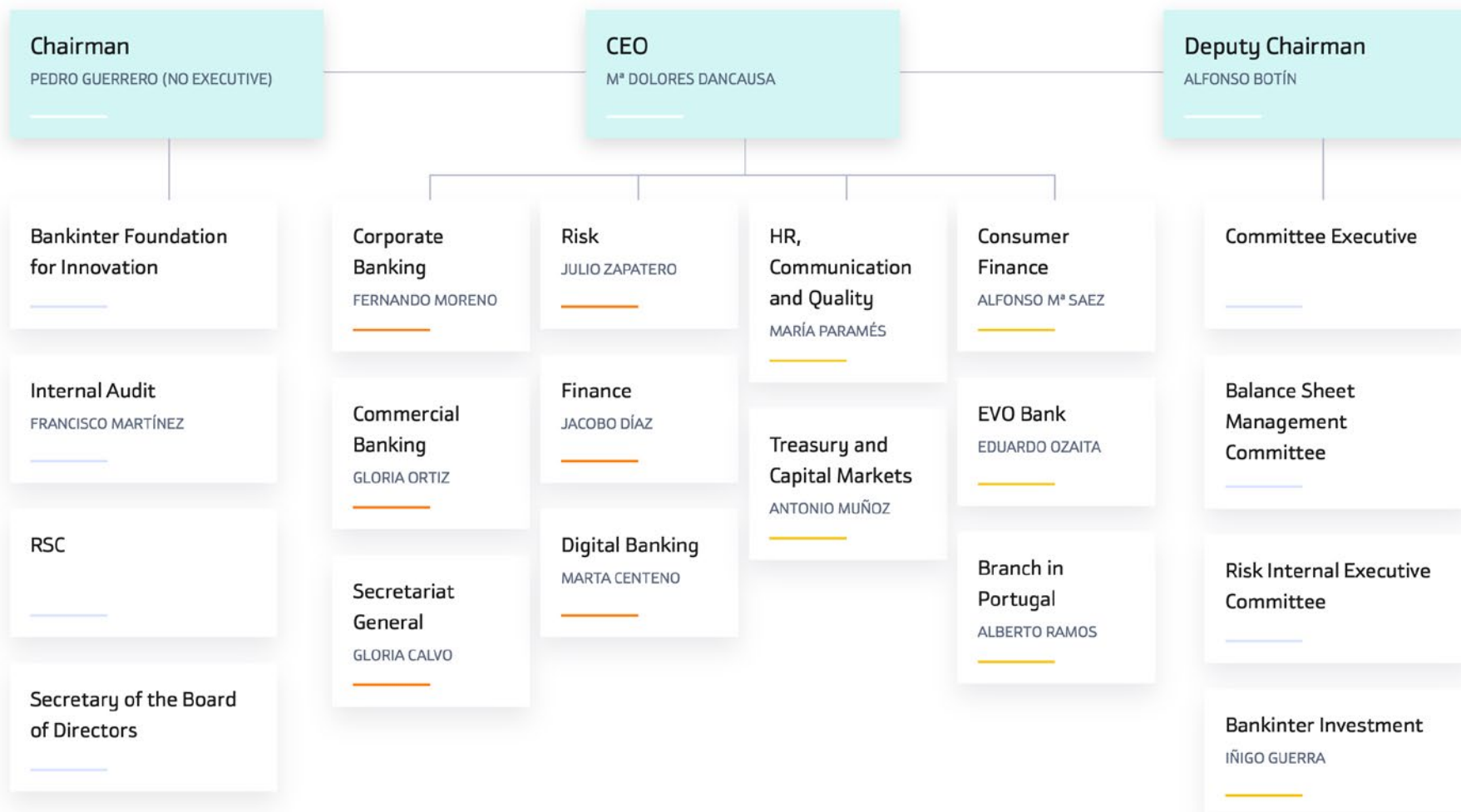
Innovation

Corporate governance

Sustainability

Individuals

Annexe



— Steering committee

— Management team



## Board of directors

| Role                    | Name / Company                                         | Director category | Appointment | Date of last reappointment | Upcoming reappointment |
|-------------------------|--------------------------------------------------------|-------------------|-------------|----------------------------|------------------------|
| Chairman                | Pedro Guerrero Guerrero                                | Other external    | 2000        | 2021                       | 2025                   |
| Vice chairman           | Alfonso Botín-Sanz de Sautuola y Naveda <sup>2</sup>   | Executive         | 2022        | 2022                       | 2026                   |
| Chief executive officer | María Dolores Dancausa Treviño                         | Executive         | 2010        | 2023                       | 2027                   |
| Director                | Marcelino Botín-Sanz de Sautuola y Naveda <sup>2</sup> | Proprietary       | 2005        | 2021                       | 2025                   |
| Director                | Fernando Masaveu Herrero <sup>3</sup>                  | Proprietary       | 2005        | 2021                       | 2025                   |
| Director                | María Teresa Pulido Mendoza                            | Independent       | 2014        | 2023                       | 2027                   |
| Director                | Teresa Martín-Retortillo Rubio                         | Independent       | 2017        | 2022                       | 2026                   |
| Director                | Álvaro Álvarez-Alonso Plaza                            | Independent       | 2019        | 2023                       | 2027                   |
| Director                | María Luisa Jordá Castro                               | Independent       | 2019        | 2023                       | 2027                   |
| Director                | Fernando Francés Pons                                  | Independent       | 2020        | 2020                       | 2024                   |
| Director                | Cristina García-Peri Álvarez                           | Independent       | 2021        | 2021                       | 2025                   |

Secretary (non director) to the board of directors: Gloria Calvo Díaz.

- (2) They represent, on Bankinter's board of directors, the significant shareholder CARTIVAL, with a 23.193% stake in Bankinter's share capital, and not directly holding the status of director. Alfonso Botín-Sanz de Sautuola y Naveda is executive vice chairman and chairman of the executive committee of Bankinter
- (3) On 4 March 2011, the proprietary director of Bankinter Fernando Masaveu Herrero announced that he controlled the voting rights of the Bankinter shares held by the various companies of the Masaveu Group, including Corporación Masaveu, S.A. This information was disclosed by the director purely for good governance purposes and in order to comply with prevailing legislation concerning transparency of information at listed companies. It does not entail any change of ownership or assignment of rights.

## Organisation managers

|                              |                                   |
|------------------------------|-----------------------------------|
| Juan Carlos Barbero Maeso    | Andalusia                         |
| Laura García Vera            | Canary Islands                    |
| Jacobo Cañellas Colmenares   | Castile-La Mancha and Extremadura |
| Eduard Gallart Sullà         | Catalonia                         |
| Antonio Berdiel Bitrián      | Levant and Balearic Islands       |
| Maite Cañas Luzarraga        | Madrid Corporate Banking          |
| Rafaela Vergara Ruiz         | Madrid East                       |
| Ignacio Lozano Egea          | Madrid West                       |
| Yolanda Gella Ferrer         | Navarre, Aragon, Rioja and Soria  |
| Joaquín Da Silva Castaño     | Northwest                         |
| Juan Manuel Astigarraga Capa | North                             |

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